

IN LATIN AMERICA, THE ENERGY CRISIS IS EXPECTED TO HAVE A MODERATE IMPACT ON PUBLIC FINANCES

Lucas Plé

Latin America is not exposed to the risk of a disruption in hydrocarbon supplies due to the conflict in the Middle East. However, the rise in international energy prices is exerting pressure on the region's public finances. In Brazil, Mexico and Colombia, fuel subsidies are increasing the risk of fiscal slippage; however, this risk is somewhat mitigated by the projected rise in oil-related fiscal revenues. In Chile and Peru, the lack of subsidies points to a significant inflationary impact that could result in a monetary tightening. This would increase the interest burden on public debt, but the moderate fiscal deficits in these countries should enable them to absorb the shock. Furthermore, governments in the region are expected to manage any tightening of international financial conditions with relative ease.

The energy shock poses moderate risks to public finances in Latin America

	Brazil	Colombia	Mexico	Chile	Peru
Fiscal deficit 2025, % GDP	8.1	5.7	4.9	2.8	2.4
Interest payments on debt 2025, % government revenue	19.5	8.4	24.4	3.3	7.4
Government debt, % GDP	75.2	64.3	47.8	43.5	28.8
Share of debt held by non-resident investors, % total	12.0	28.8	25.7	34.2	12.4
Share of foreign-currency debt, % total	3.4	28.3	15.7	34.0	41.6

Note: Sovereigns are ranked according to their level of risk exposure, ranging from green (low exposure) to red (high exposure).

SOURCES : IMF, WORLD BANK, NATIONAL INSTITUTES OF STATISTICS, BNP PARIBAS

The impact of the energy shock on primary fiscal balances is expected to be limited, but the risks of slippage should be closely monitored

The governments of Chile and Peru have not introduced any fuel subsidies. Consequently, gasoline and diesel prices have risen by 31% and 60% respectively in Chile, and by 43% and 65% in Peru since the start of the conflict in the Middle East. The inflationary impact of rising energy prices in these countries will be significant¹, as transport accounts for 12-13% of the consumer price index.

In Brazil, the cost of the subsidies introduced since March (BRL 7.5 billion per month) is expected to be entirely offset by the rise in oil revenues (BRL +8.5 billion per month). However, given the electoral context, these subsidies could be increased. In such a scenario, the energy shock could result in a negative net cost for public finances.

In Mexico and Colombia, fuel prices are set by the government, which increases the risk of fiscal slippage. The difference between international and domestic prices is an indirect subsidy financed by the state. Since late February, gasoline and diesel prices have risen slightly in Mexico (+10.6% and +4.1% respectively) while remaining virtually unchanged in Colombia (+1.9% and +2.7% respectively). The cost of subsidies could therefore be significant and may not be fully offset by the increase in fiscal revenue from oil.

Chile and Peru have the fiscal leeway to absorb higher rates in the event of a monetary tightening.

So far, the monetary *status quo* expected prior to the energy shock has been preserved in Chile and Peru; however, given the inflationary impact of the energy shock, an increase in key interest rates is likely. Monetary tightening is expected to result in a higher interest burden on debt, yet these countries have the fiscal leeway to absorb this additional cost. Fiscal deficits were below 3% of GDP in 2025, and interest payments did not exceed 8% of fiscal revenue (*Heatmap, lines 1 and 2*).

Other central banks in the region are not expected to react to the energy shock. In Brazil and Mexico, they have cut their key interest rates since the start of the conflict, in reaction to disinflation (in Brazil) and slowing growth (in Mexico). In contrast, the Colombian central bank has raised its key interest rate in response to domestic inflationary pressures that existed prior to the conflict in the Middle East. In Colombia, the rise in debt interest payments in 2026 will further reduce fiscal space, which has already been diminished by the government's expansionary fiscal policy.

¹ Year-on-year, inflation rose from 2.2% in February to 3.9% in May in Peru. In Chile, it rose from 2.4% in February to 4% in April.



The risks associated with a tightening of global financial conditions are limited in the short term

Latin American sovereigns appear vulnerable to a tightening of international financial conditions (Heatmap, lines 4 and 5), which raises risks of capital outflows and downward pressure on currencies. This vulnerability arises from the significant shares of debt denominated in foreign currency (Peru, Chile, Colombia) and debt held by foreign investors (Chile, Colombia, Mexico). Only Brazil has limited exposure to these risks.

However, certain factors help to mitigate the risks for the most vulnerable countries. In Chile and Peru, the governments can manage an increase in debt servicing costs due to their comfortable fiscal buffers. Besides, the depreciation of exchange rates against the US dollar since the start of the conflict has been modest (-3.3% in Chile and -1.7% in Peru). Colombia and Mexico, being oil-producing countries, have thus far avoided the financial volatility resulting from the energy shock – Colombia's energy trade balance shows a healthy surplus, while Mexico's shows a moderate deficit².

In conclusion, similar to Asia³, the energy shock poses moderate risks to Latin America's public finances, which should remain manageable if the conflict in the Middle East is resolved soon. Despite the fact that Colombia and Mexico are oil-producing countries, the deterioration of public finances in these countries is expected to continue.

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² See also: [Latin America: more exposed to inflationary pressures than to disruptions in hydrocarbon supplies](#).

³ See also: [The impact of the energy crisis on public finances in emerging Asia](#).



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Avril 2026

2026-2027 Economic Outlook: Advanced Economies Facing the Risk of Stagflation

By Lucie Barette, Anis Bensaidani, Maëlys Biot, Stéphane Colliac, Guillaume Derrien and Marianne Mueller (Advanced Economies Team) and Hélène Baudchon (Deputy Chief Economist)

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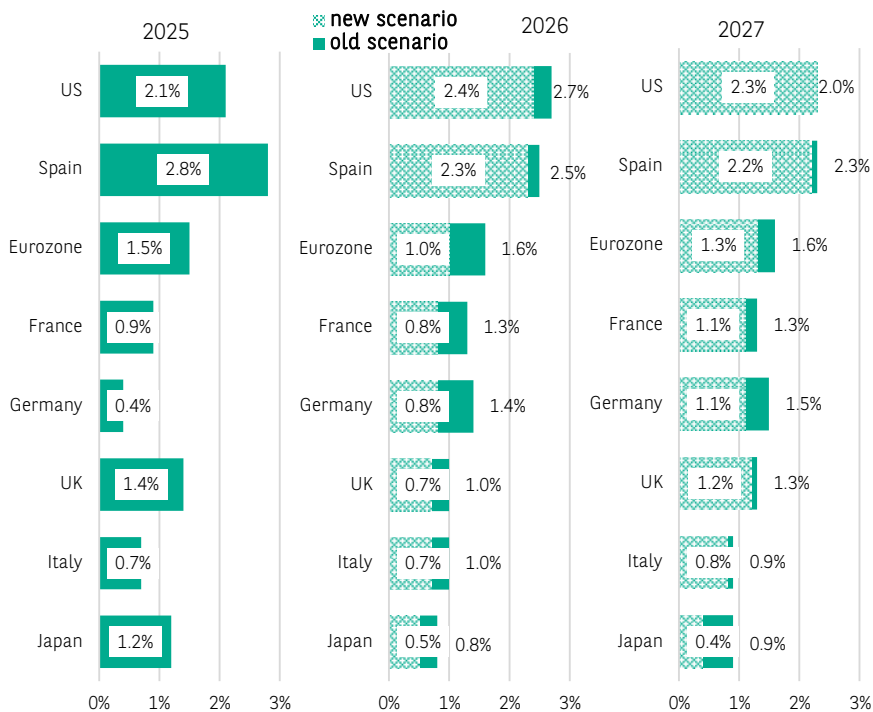


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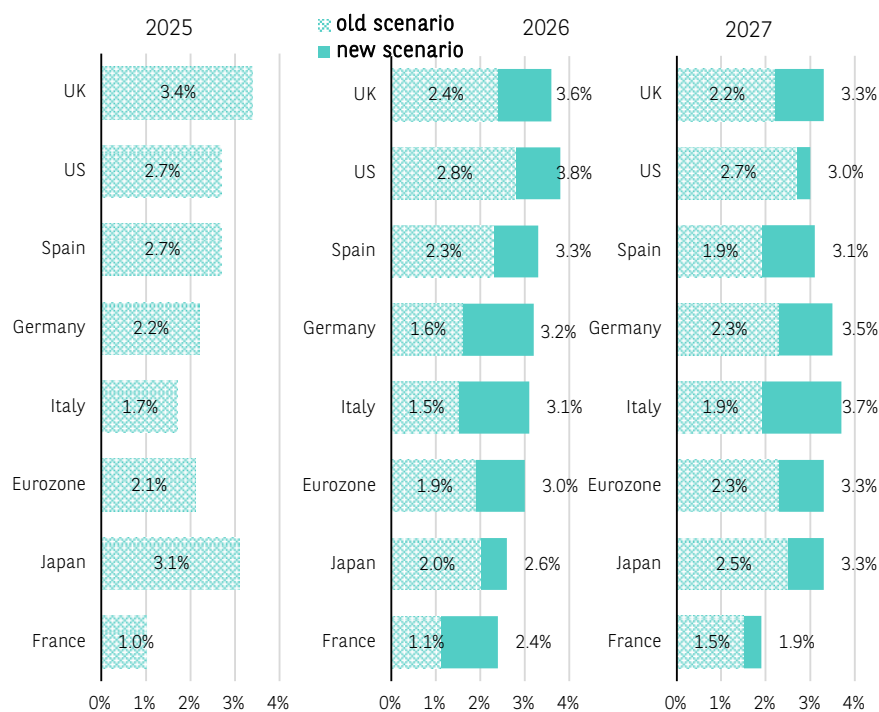
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2026-2027 Economic Outlook (as of 27 May 2026)

Growth forecasts
(annual average, %)



Inflation forecasts
(annual average, %)



Source: National, BNP Paribas



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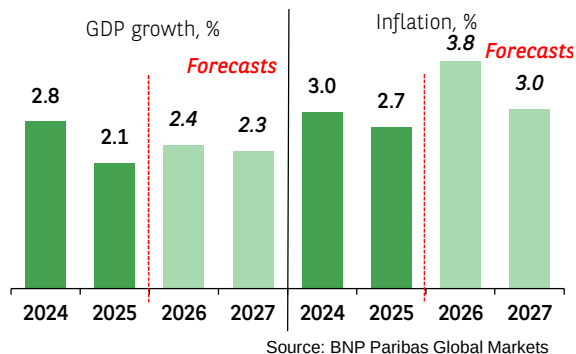
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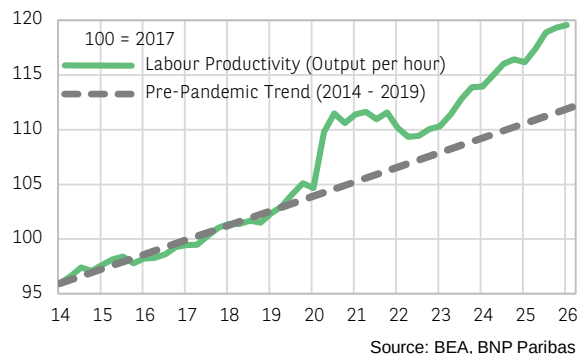
United States: Growth and Full Employment Tested by Uncertainty



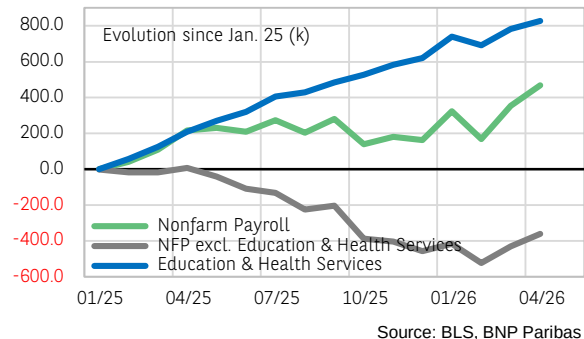
Growth above potential, inflation above target



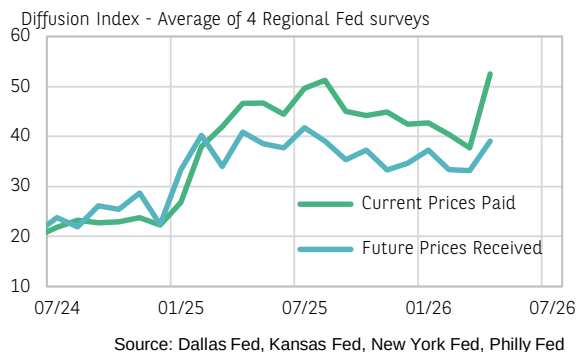
Above-trend productivity underpins growth



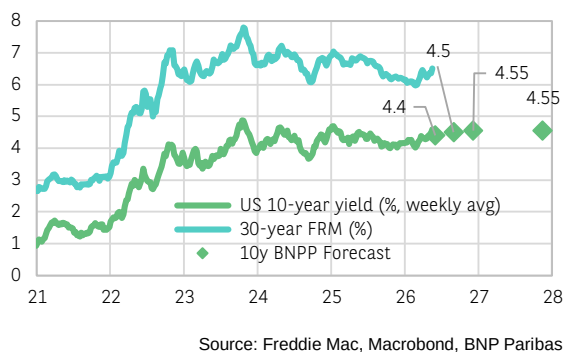
Slow payroll growth supported by healthcare



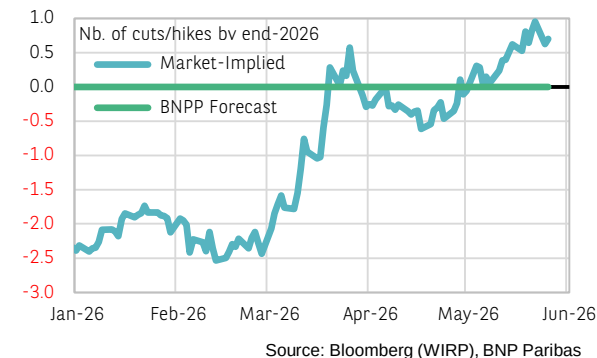
Prices: One shock follows another



Mortgage Rates: A short-lived relief?



FOMC to hold through end-2026 with a less-dovish stance priced-in by markets



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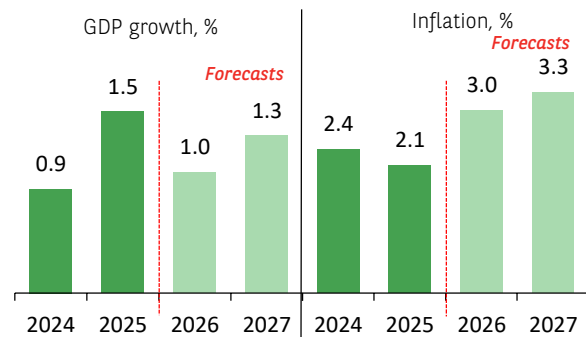
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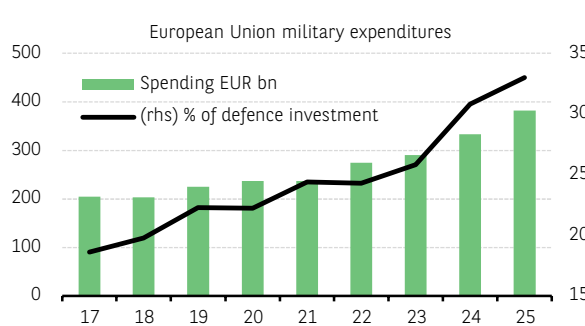
Euro area: Recovery fragile but not in doubt



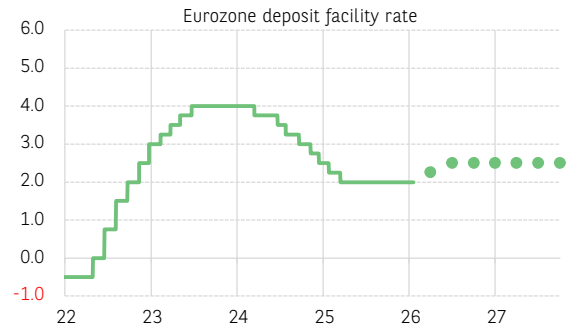
Growth hindered but structural strengths preserved



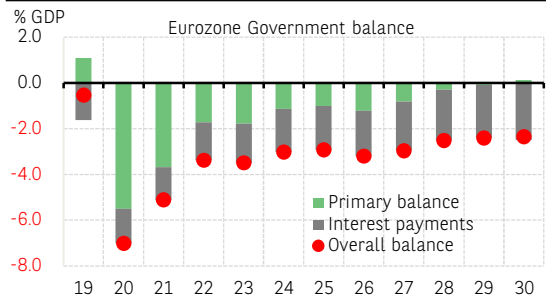
Structural factors supporting the recovery remain intact



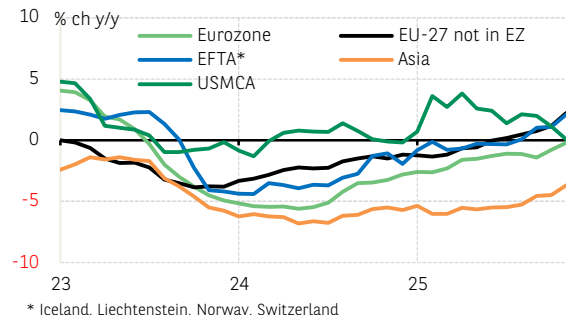
Interest rate rises brought forward to 2026



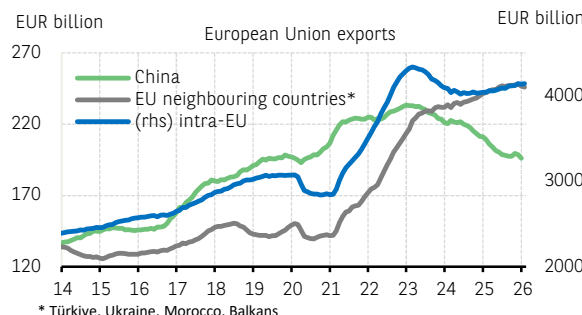
Moderate deterioration in public finances expected



Intra-EU trade expected to gain further momentum



The reorganization of export flows will continue



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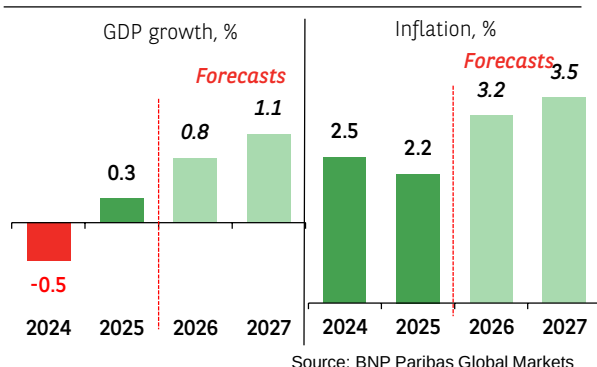
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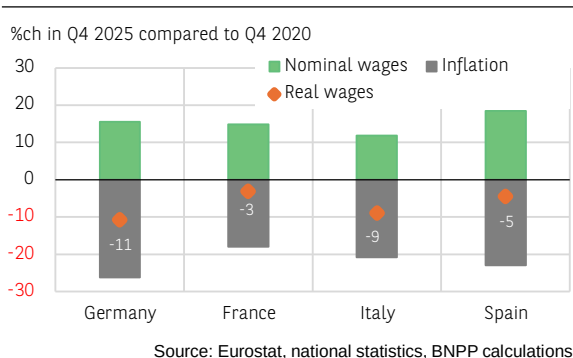
Germany: A modest recovery, but one that is expected to take hold



In 2026, the growth recovery should strengthen but inflation increase



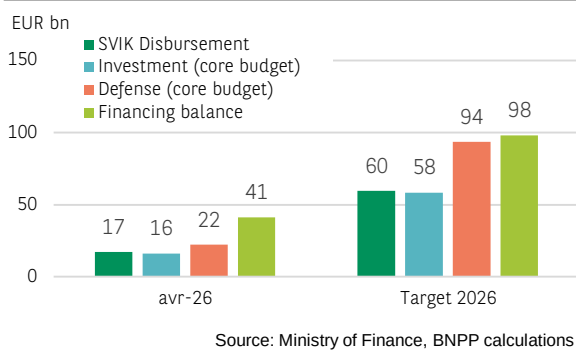
German wages have recovered less than in other countries to their pre-Covid inflationary crisis levels



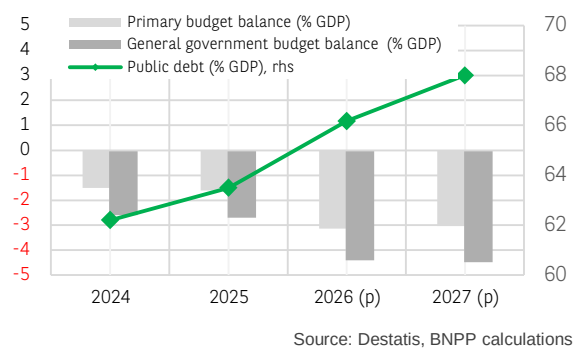
The labour market remains historically strong



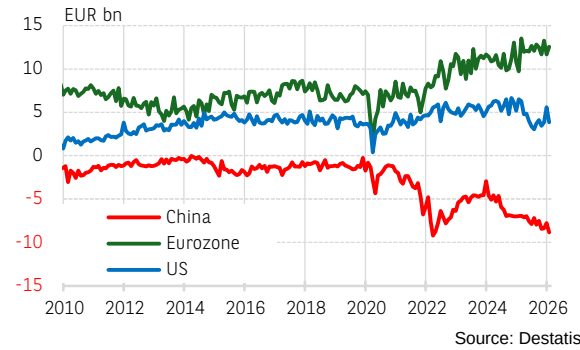
Domestic demand should stay the main growth driver



A fiscal trajectory largely unchanged at this stage



A rebalancing of foreign trade in underway



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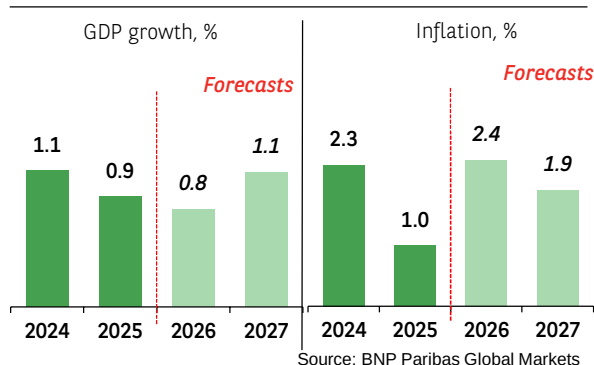
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Classification : Internal

France: growth and public finance to stay on track despite the inflation shock



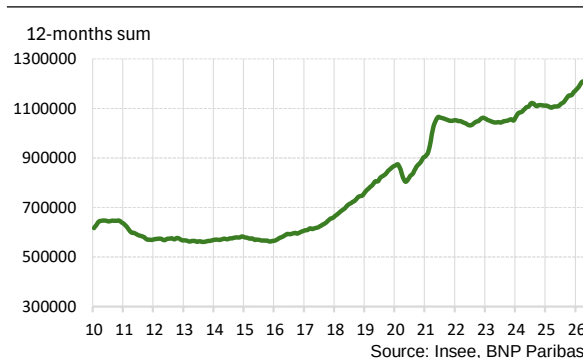
GDP Growth to be resilient despite the inflation shock



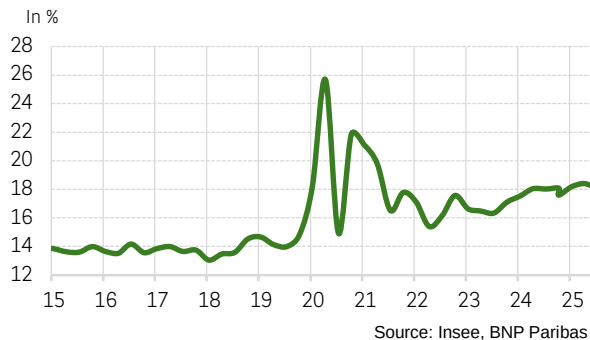
French exports are boosted by increased AI, military and aeronautics



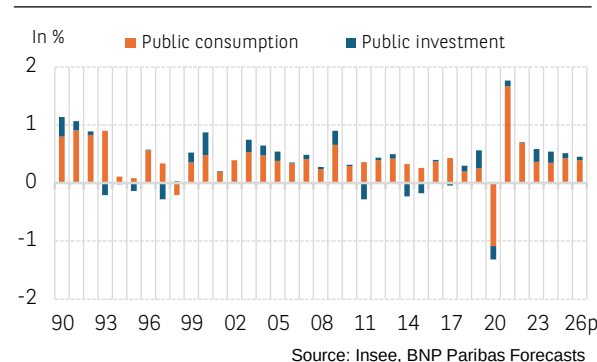
Business creations: a new wave (AI driven)



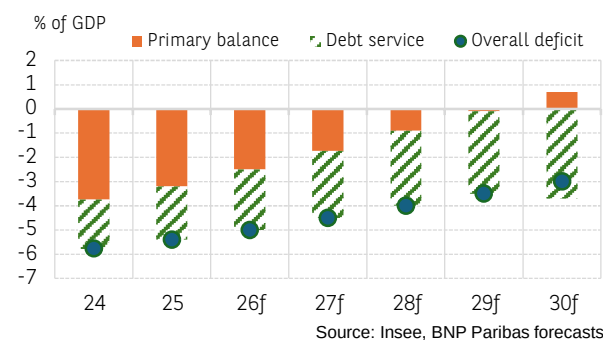
Household savings to remain high as a result of purchasing power pressures



Military and social spending are boosting public contribution to GDP growth



Fiscal consolidation should be increasingly constrained by the debt service



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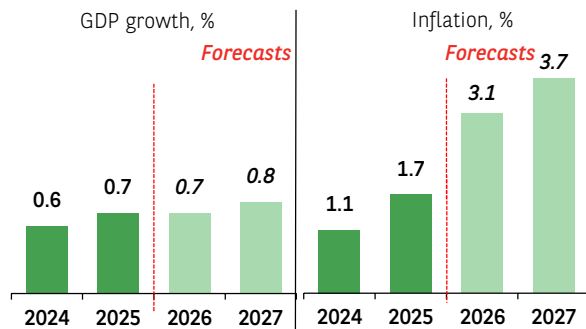
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Italy: Navigating energy vulnerability, resilient trade and limited fiscal capacity

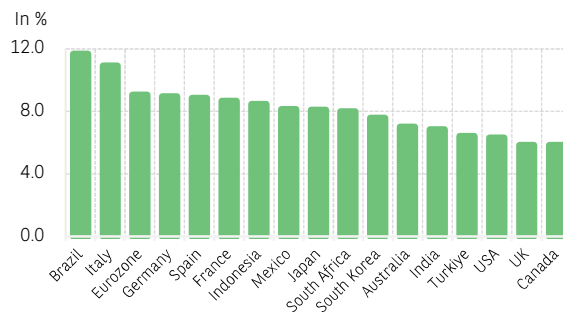


Growth is expected to stagnate while inflation surges



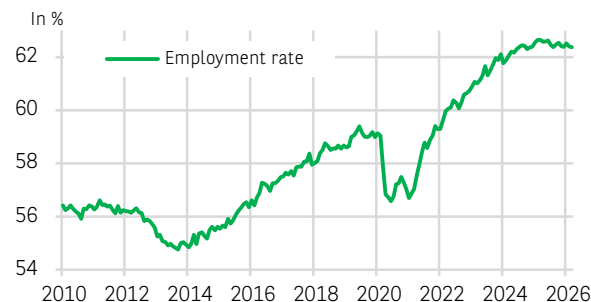
Source: BNP Paribas Global Markets

Energy accounts for a significant proportion of the consumer basket



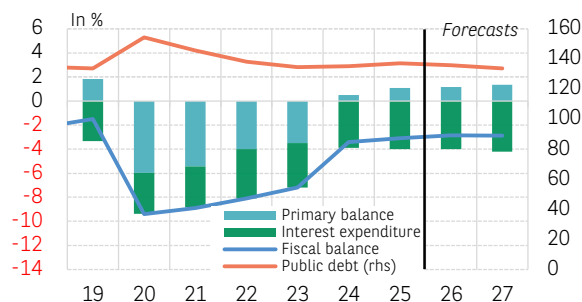
Source: OCSE, BNL Economic Research

The employment growth is beginning to run out of steam



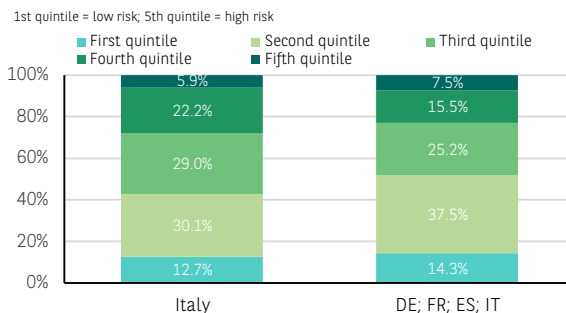
Source: Istat

Public finances: real progress, thin margins



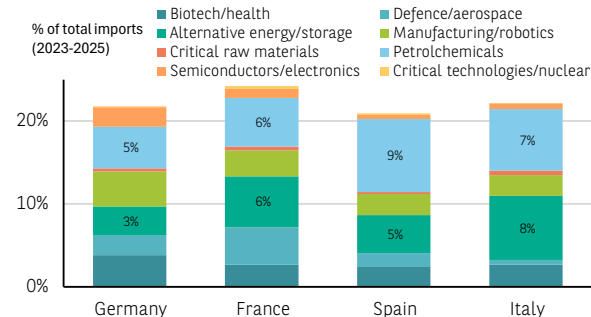
Source: Eurostat, BNP Paribas

Italy's strategic imports originate from countries that are politically riskier than its eurozone peers



Source: Istat

The import side remains vulnerable to potential disruptions in the supply of strategic goods



Source: Istat



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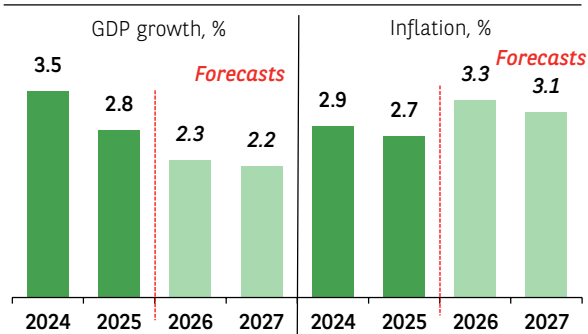
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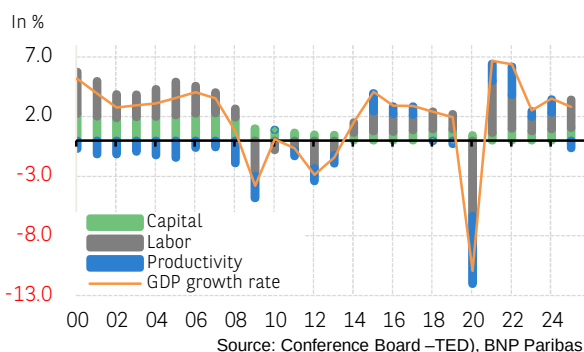
Spain: Domestic demand is expected to continue to drive growth



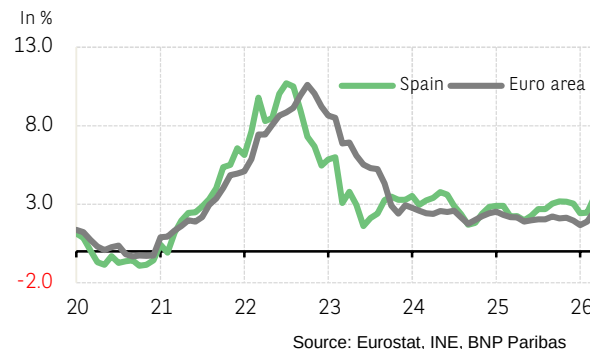
Growth is expected to remain strong and inflation is set to rise



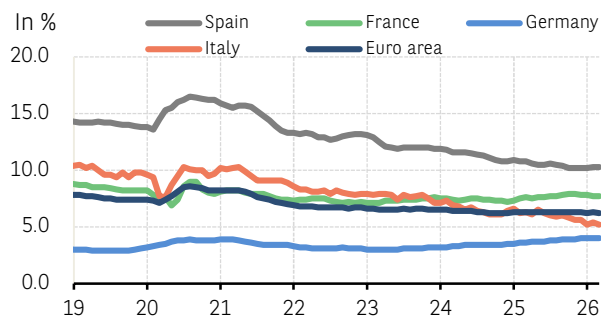
Growth driven by employment and held back by productivity



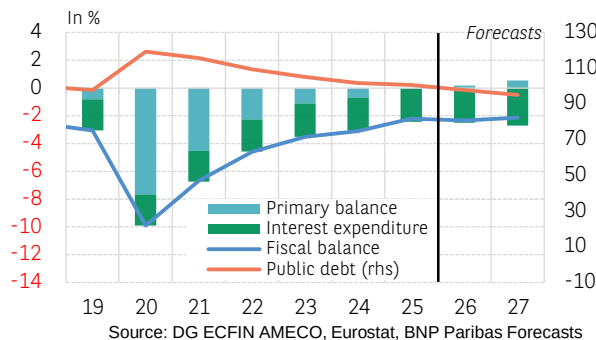
Inflation remains higher than in the eurozone



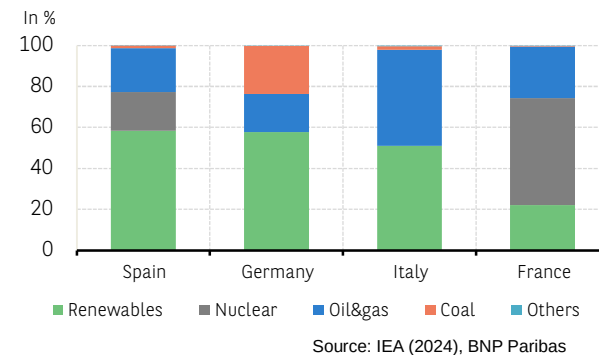
The unemployment rate remains above the Eurozone average



Strong nominal growth will reduce public debt



Renewable energy accounts for more than half of Spain's electricity generation



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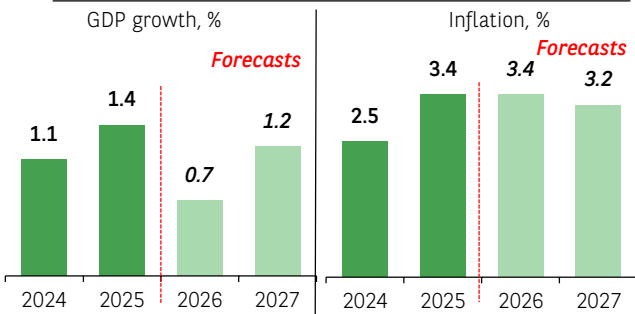
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United Kingdom: Risk of stagflation

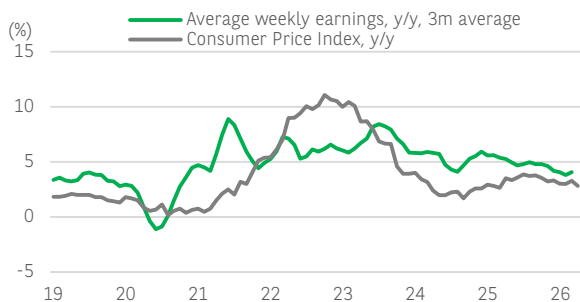


Significant growth slowdown, inflation rebound



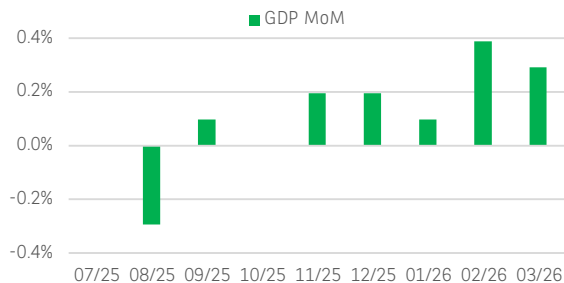
Source: BNP Paribas Global Markets

As labour market conditions have loosened, nominal wage growth has been decelerating and could undershoot inflation



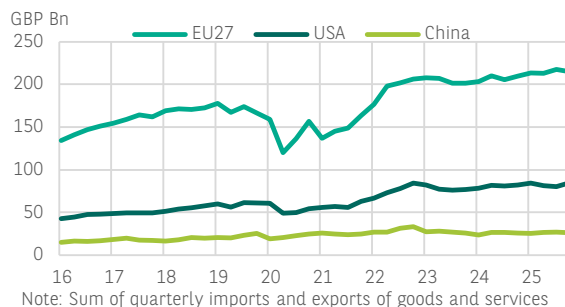
Source: ONS, BNP Paribas

Strong early-year momentum is expected to offset weaker quarters later on, weighed down by private domestic demand



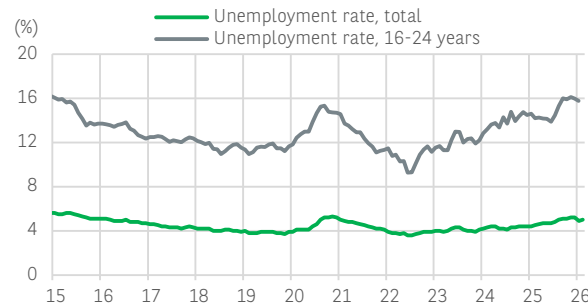
Source: ONS, BNP Paribas

Trade intensity (exports and imports of goods and services) underscores realignment with the EU



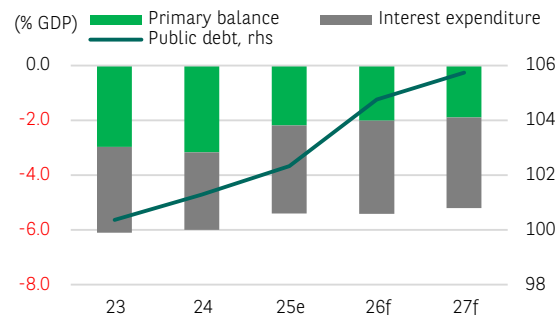
Source: ONS, BNP Paribas

Labour market stabilised at the start of the year after several months of deterioration, but is expected to weaken slightly



Source: ONS, BNP Paribas

Limited fiscal room for manoeuvre constrains the government's ability to respond to new shocks



Source: ONS, BNP Paribas



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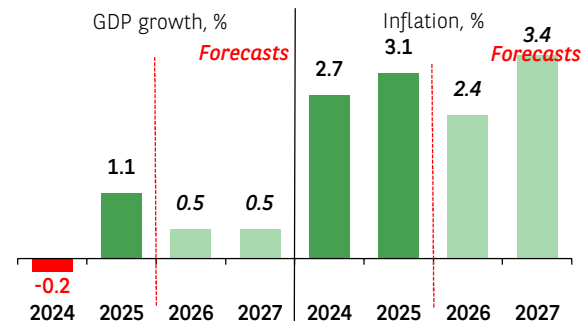
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Japan: Strong momentum, already under threat

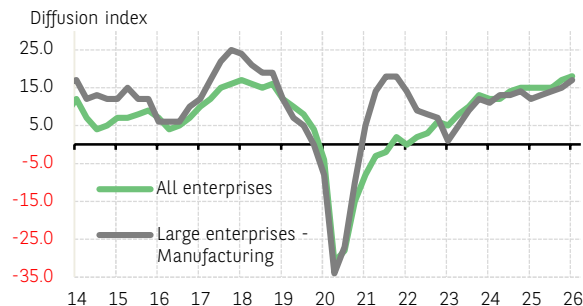


Energy shock weighting on the outlook



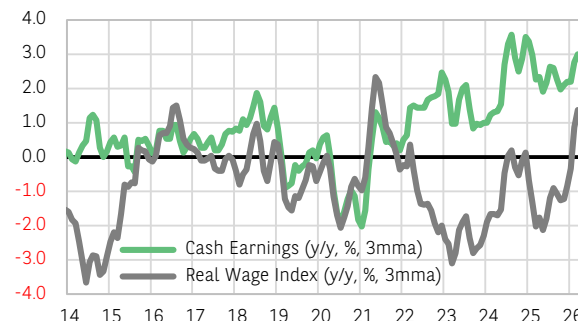
Source: BNP Paribas Global Markets

A sustained improvement in the business climate, undeterred by the tariff shock



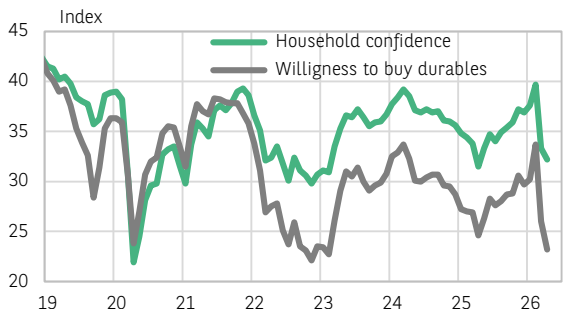
Source: BoJ, BNP Paribas

Real wages are struggling to move into positive territory



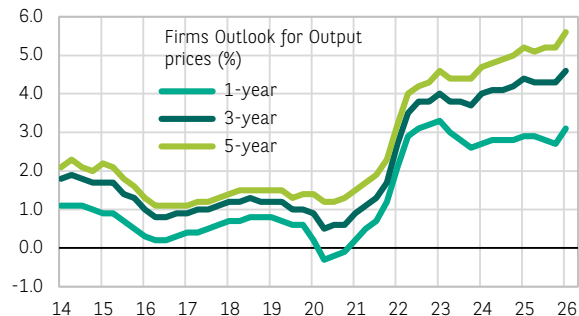
Source: Japanese Ministry of Health, Labour and Welfare, BNP Paribas

Abrupt change in consumer confidence



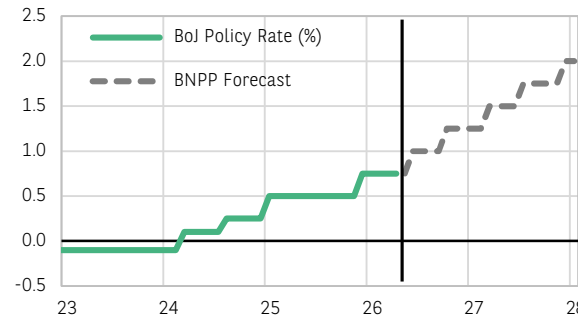
Source: Cabinet Office, BNP Paribas

Shift in firms' price-setting behavior



Source: BoJ, BNP Paribas

A cautious adjustment of the degree of monetary accommodation



Source: Bank of Japan, BNP Paribas Global Markets



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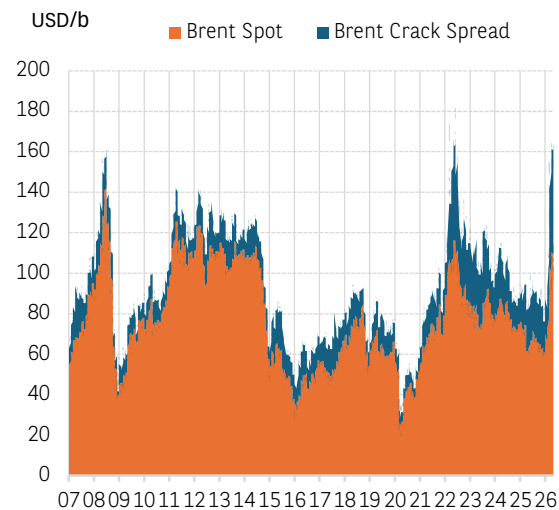
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Oil prices: a significant rise, but one that should be put into perspective

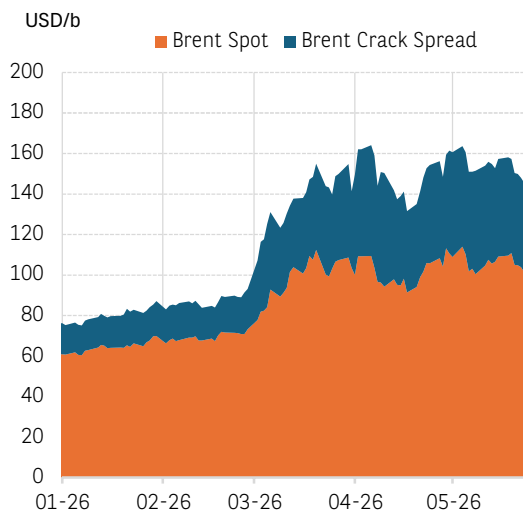
Will the shock have the same impact as it did in 2022? — Energy shock: Dashboard 2026 vs. 2022

When the crack spread is added to the spot oil price, the total approaches the highs reached in 2008 and 2022



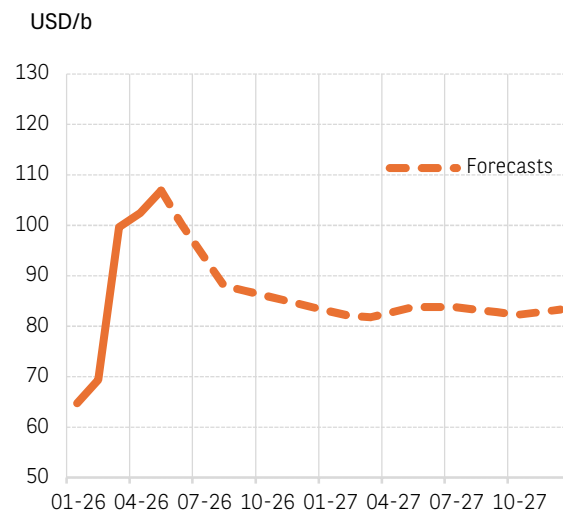
Source: ICE, Macrobond, BNP Paribas

In 2026, for consumers, the rise in oil prices is driven more by the crack spread than by the increase in spot prices



Source: ICE, Macrobond, BNP Paribas

Our baseline scenario for Brent prices does not anticipate any easing of tensions before the end of the second quarter



Source: BNP Paribas



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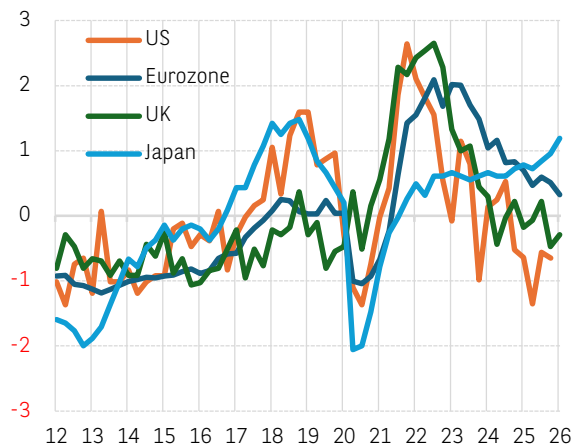
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The impact of the shock will be different from 2022

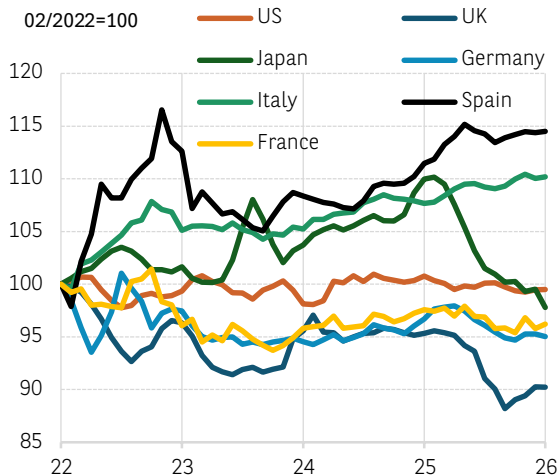
Supply constraints are limited except in Japan

z-score Supply-side constraints indicators



Source: National statistics, BNP Paribas

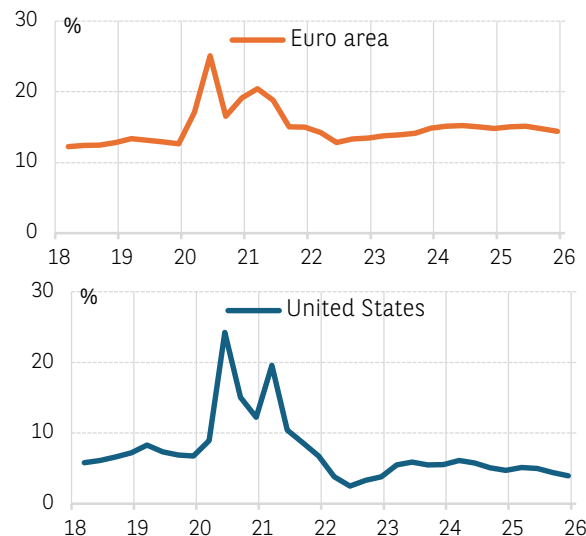
The decline in fuel consumption took some time to materialize following the 2022 energy crisis



Note: Data smoothed over a three-month period

Source: National statistics, Macrobond, BNP Paribas

The household savings rate is higher than pre-Covid levels in the Eurozone and significantly lower than that level in the United States



Source: BEA, Eurostat, BNP Paribas



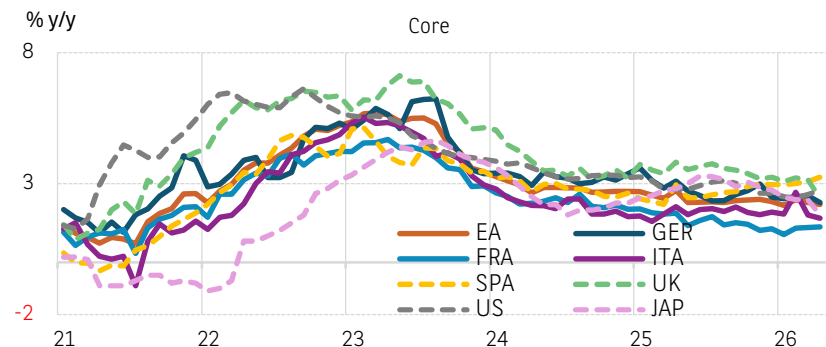
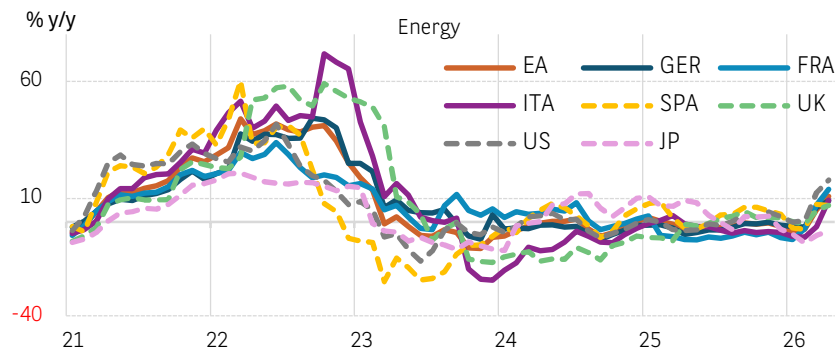
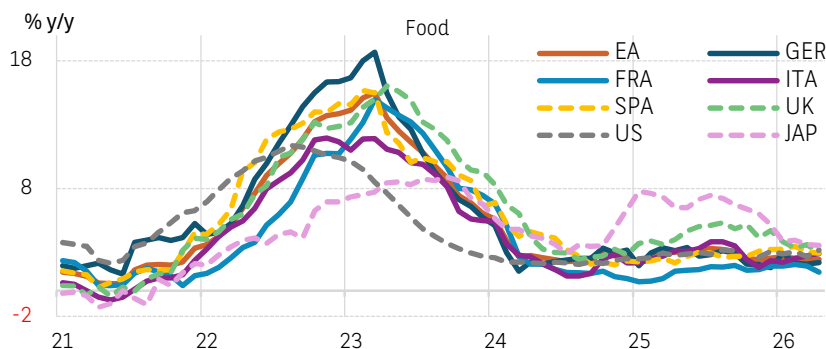
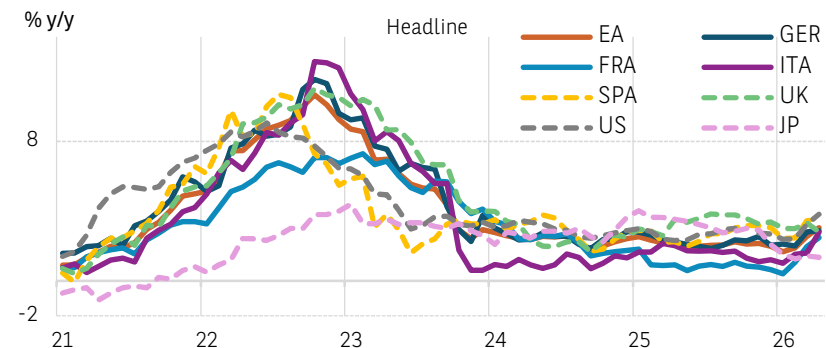
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An impact on inflation limited for now

Energy inflation is just beginning to pick up, while inflation in other categories shows no signs of accelerating at this stage



Source: National statistics, BNP Paribas



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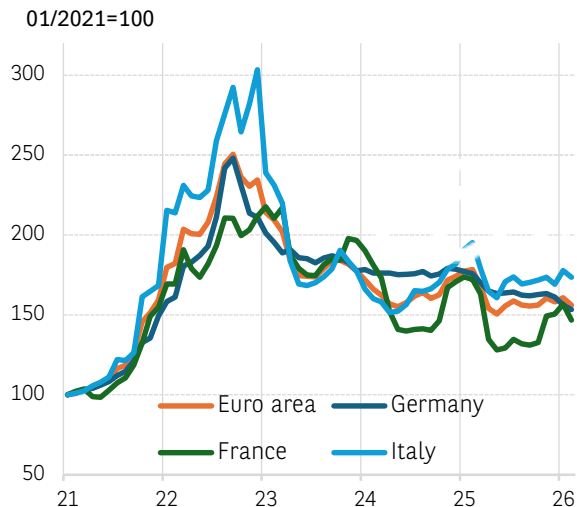
Source: National statistics, Macrobond, BNP Paribas

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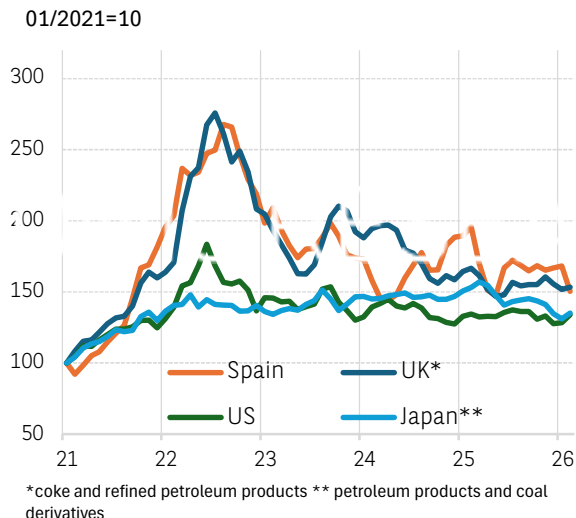
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A low impact for the time being on energy producer prices and a boost for electrification

After peaking in 2022, energy producer prices have stabilized

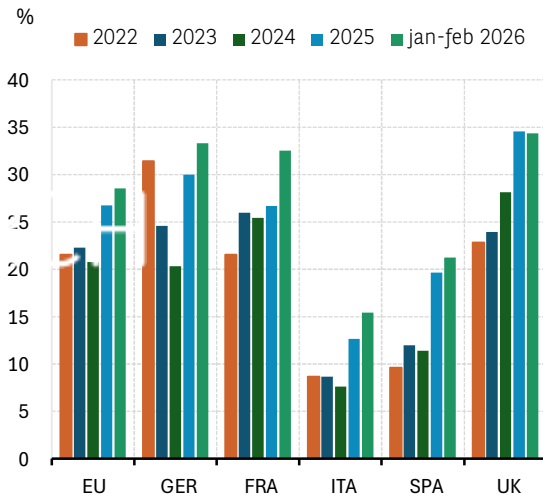


Source: National statistics, BNP Paribas



Source: National statistics, BNP Paribas

New green transition measures are expected to boost the share of EVs in the automotive market



Source: ACEA, BNP Paribas



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The first effects of the Trump tariffs on Australia, and they are massive

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ECONOMIC RESEARCH

EDITORIAL

3

COMPETITIVE BANKS FOR A SOVEREIGN EUROPE

Energy transition, reindustrialisation, digital transition, innovation, defence: these strategic priorities require annual funding flows far greater than those historically seen in the European Union (EU). The consultation conducted by the European Commission on the competitiveness of the banking sector, which concluded on 19 April, highlights the need for a banking system that can finance these ambitions.

As banks provide nearly three-quarters of financing in the EU, their competitiveness is a key determinant of European sovereignty. Without a robust banking sector capable of increasing its financing supply and competing with major international players within its own market, the EU would be exposed to increased reliance on non-European financing. In various segments of investment banking, non-European institutions — particularly American ones — have strengthened their presence. Nevertheless, these challenges call for a broader understanding of banking competitiveness than the microeconomic focus on profitability or market share: it is essential to consider the banking sector's ability to respond effectively to the unprecedented rise in financing needs.¹

Significant progress has already been made: banking profitability has recovered strongly since 2022, and the prudential framework has been considerably strengthened over the past decade or so. However, several areas still require improvement, particularly in adapting prudential requirements to new challenges and increasing the integration of capital markets, as highlighted in the Letta and Draghi reports.

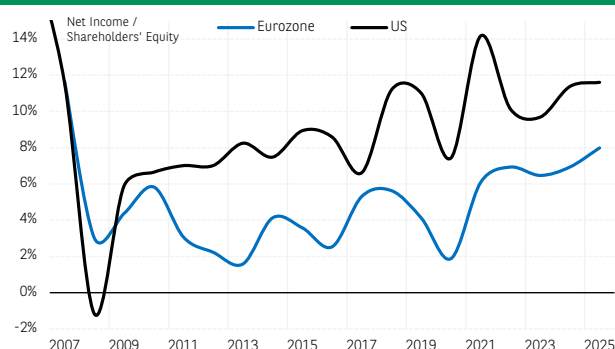
THE RECOVERY IN BANK PROFITABILITY: A NECESSARY YET INSUFFICIENT CONDITION

Following an extended period characterised by low or negative interest rates, the normalisation of rates since 2022 has bolstered the profitability of major European banks (see Chart 1). However, the disparity with their US counterparts remains. This is mainly due to structural factors. In a US financial system that is more reliant on markets, financing generates more commission income for banks while consuming minimal capital, a combination conducive to higher profitability.

This disparity is not neutral: by generating more equity organically, US banks have a greater ability to absorb an increase in their risk-weighted assets (RWAs). Consequently, they can more readily expand their lending and invest in new activities, further strengthening their competitive advantage.

In light of improved financial profitability, the average price-to-book ratio (P/B) of major European banks has recovered and, for the first time since 2010, exceeded the 1 threshold in 2025, suggesting that expected returns now cover the cost of capital required by investors (see Chart 2). However, US banks continue to benefit from more favourable valuations. These enable them to finance their acquisitions through share issuances or exchanges, including within the new technology sector. European banks, on the other hand, are more reliant on cash, which is inherently more constrained.

COMPARATIVE PROFITABILITY OF MAJOR EUROPEAN BANKS AND U.S. BANKS*

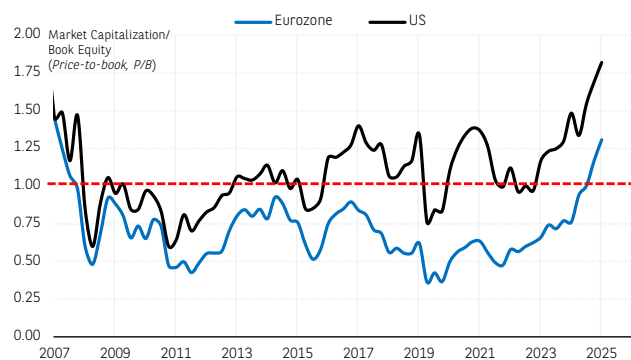


* Top 10 Banking Groups by Tier One Capital (The Banker Ranking, July 2025). Consolidated Group Data, Shareholders' Equity-Weighted Average.

CHART 1

SOURCE: BNP PARIBAS CALCULATIONS FROM S&P CAPITAL IQ DATA

COMPARATIVE EQUITY VALUATIONS OF MAJOR EUROPEAN AND U.S. BANKS*



*Publicly Listed Entities of the Top 10 Banking Groups by the Tier One Capital (The Banker Ranking, July 2025). Shareholders' Equity-weighted average.

CHART 2

SOURCE: BNP PARIBAS CALCULATIONS FROM DATASTREAM

¹ The European Commission estimates that the additional funding required for the energy and digital transitions alone will amount to EUR 600 billion per year until 2030, representing a 74% increase compared with the EUR 810 billion allocated annually to these sectors between 2011 and 2020 (see ECB (2024), 'Massive investment needs to meet EU green and digital targets', published as part of 'Financial Integration and Structure in the Euro Area 2024'). Additionally, the initiative to boost defence spending has recently been revised upwards to EUR 1,200 billion per year, see [Speech by Prof. Dr Mario Draghi at the Charlemagne Prize ceremony in Aachen, Germany, 14 May 2026](#). See also Derrien G., Quignon L. (2025), "[EU: Rearmament, energy and digital transitions, the scale of the effort](#)", Chart of the week, BNP PARIBAS, 10 April.



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In its broadest sense, banking competitiveness refers to the banking system's ability to support economic activities, to operate effectively within an integrated market and contend with its international competitors². Moreover, it is significantly shaped by the prudential environment and the structure of the market.

PRUDENTIAL FRAMEWORK: RECOGNISING THE PROGRESS MADE AND STRIKING THE RIGHT BALANCE

Since the financial crisis, the EU has significantly strengthened its prudential framework: transposition of Basel III, standardisation of internal models (TRIM, EBA guidelines), followed by the adoption of the final Basel III package (CRR3/CRD VI), with the output floor³ (applicable from 2025) being the most prominent feature. Although European banks are among the best-capitalised and most closely supervised institutions, the gradual incorporation of climate risks could further increase capital requirements in the coming years.

While the objective is commendable, the issue of optimal calibration arises. The BIS's work indicates that, beyond current levels, the gains in financial stability associated with a further increase in capital requirements are modest, whereas the costs in terms of financing capacity remain considerable⁴. Striking the right balance is now crucial to maintain the soundness of the European banking system without hampering potential growth or the sector's ability to support the transformation of the economy.

REDUCING FRAGMENTATION AND SIMPLIFYING THE FRAMEWORK: STRATEGIES TO BOOST COMPETITIVENESS

European banking competitiveness continues to be hampered by the incomplete status of the Banking Union. While the European Deposit Insurance Scheme (EDIS) faces political hurdles, the real missing link is a European liquidity framework for resolution — an essential tool for effectively managing banking challenges. This gap must not lead to inaction: alternative strategies are available to reduce fragmentation and facilitate the flow of capital.

The absence of a genuinely integrated market limits economies of scale, increases the cost of funding, hinders cross-border consolidation and restricts the optimal flow of capital and liquidity within European banking groups. This fragmentation results in differences in financing conditions between countries and, in times of stress, can accentuate discrepancies in the transmission of monetary policy. Ultimately, it impacts the cost of corporate financing and, by extension, affects investment and productivity. The Draghi and Letta reports have highlighted the importance of a more integrated internal market and a financial sector that can effectively support European investment.

Greater integration of capital markets would also allow for increased risk-sharing between countries, thereby improving the ability to absorb asymmetric shocks and bolster financial stability.

The resurgence of securitisation, launched in 2025, is a key driver of this. By enabling banks to transfer part of the credit risk to the markets, more effective securitisation would free up equity capital and increase their capacity to finance new loans. While the intention to simplify due diligence requirements for investors is welcome, the proposed introduction of disproportionate financial penalties risks limiting its scope.

The second constraint that could be eased slightly relates to the complexity of the regulatory framework. The aim is not so much to relax it as to make it more consistent: reducing national options, improving coordination of macroprudential buffers, and providing greater clarity. A more predictable framework would reduce regulatory uncertainty and the implicit market demand for capital that exceeds prudential requirements.

STRENGTHENING THE POSITION OF EUROPEAN BANKS IN INVESTMENT BANKING

The financing of the European economy will increasingly depend on banking intermediation rather than capital markets. However, greater integration of the latter — central to the savings and investments union initiative — would boost the availability of finance by improving the allocation of savings within the EU.

In this regard, it is crucial to uphold the competitiveness of the market activities of major European banks. However, data from the European Banking Authority show a decline in their market share across various segments of investment and market banking. Consequently, institutions from non-EU countries represent the majority of commissions on commodities (65% in 2024) and nearly half in fiduciary transactions (48%). Their influence is also notable in services to collective investment undertakings (30%), corporate finance (29%), securities custody (24%) and foreign exchange transactions (19%). In certain fund-related services, over half of the assets are now managed by three groups whose parent companies are based in the US.

The rise of banking groups headquartered outside the EU illustrates, if proof were needed, the fierce international competition that major European banks face on their own turf. By postponing, in June 2025, the implementation of the FRTB to 1st January 2027, the European Commission has, however, taken care not to introduce a competitive disadvantage, as this overhaul of capital requirements relating to the trading book is not yet enforced by either the United States or the United Kingdom.

CONCLUSION: STRENGTHENING BANKING COMPETITIVENESS FOR EUROPEAN SOVEREIGNTY

Completing the Banking Union, advancing capital market integration, and ensuring a balanced prudential framework: this is the EU's strategy for creating a resilient and competitive banking system, capable of sustainably financing the growing needs of the European economy while safeguarding its sovereignty. In an economy where financing relies heavily on banks, maintaining the banking sector's competitiveness is vital to ensure sufficient profitability, support the investments needed for the green, digital and industrial transitions, and strengthen the European Union's ability to influence international economic dynamics.

Laurent Quignon

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² European Commission, [Targeted consultation on the competitiveness of the EU banking sector](#), 11 February 2026.

³ The output floor serves as a regulatory minimum, requiring that a bank's total risk-weighted assets (RWA) — whether derived from internal models or the standardised approach — must not fall below a specific percentage (50% in 2025 and increasing to 72.5% by 2030) of the RWA calculated using the standardised approach alone. See Humblot T. (2026), ['Credit in the Eurozone: towards a tightening of lending criteria targeted at households but limited in scope'](#), Chart of the Week, BNP PARIBAS, 25 February.

⁴ See Quignon L. (2016), ["The diminishing returns of prudential regulation"](#), Revue Banque No. 795.



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ADVANCED ECONOMIES

UNITED STATES

Inflation rises while growth disappoints. In April, PCE inflation reached 3.8% y/y (+0.9pp since February), primarily due to rising fuel prices (+29% y/y). Core PCE inflation, which is the preferred measure of the FOMC, stands at +3.3% y/y (+0.3pp since February), with significant increases for digital products, transportation services and financial services. According to the Dallas Fed's Trimmed Mean PCE measure, which is favoured by Kevin Warsh, inflation stands at 2.35% y/y. Several FOMC members have expressed views ranging from a wait-and-see approach to being "ready to tighten". Underlying orders for durable goods, excluding transportation, were strong in April (+1.1% m/m, +0.6pp compared to March), driven by defence and civil aeronautics. Conversely, consumer spending is slowing down (+0.5% m/m, -0.5pp). Q1 2026 growth has been revised downwards (+1.6% AR vs +2.0% previously) due to an adjustment on inventory changes. *Coming up: ISM manufacturing (Monday) and non-manufacturing (Wednesday), JOLTS & Beige Book (Wednesday), employment survey (Friday).*

EUROPEAN UNION

A step forward on capital markets and a firmer stance towards China. The six largest economies have agreed on a plan for centralised oversight of capital markets, which Germany no longer opposes. Furthermore, five countries (France, Spain, Netherlands, Italy, Lithuania) have called for an increased use of tariffs and safeguard measures against Chinese exports. The Commission's proposals are set to be discussed at the G7 in Evian, then endorsed by the EU heads of state on 18 June.

EUROZONE

The likelihood of a rate hike as early as June is growing, with the business climate showing signs of stabilisation. Inflation has risen in three out of the four main economies in the area. This adds to the hawkish stance reflected in the minutes of the ECB's April meeting and the remarks made by ECB Executive Board members advocating for monetary tightening during the meeting scheduled for 11 June. The economic sentiment indicator (ESI) of the Commission (+0.3 m/m in May) has improved in industry and services, as well as consumer confidence, but continues to be adversely affected in the retail trade and construction sectors. New vehicle registrations continued to rise in April (+4.8% y/y). In the first four months of the year, two-thirds of new registrations were for electric or hybrid vehicles. *Coming up: inflation (Tuesday), producer prices (Wednesday), retail sales and PMI (Thursday), Q1 GDP and employment (Friday).*

France: Inflation is spreading, consumer confidence is declining, while the housing market is improving. Q1 growth was revised to -0.1% q/q (previously reported at 0%), impacted by extraordinary factors such as low aeronautical deliveries prior to a significant increase in April and a temporary decline in construction activity, which has since recovered. Meanwhile, salaried employment remained stable. Inflation rose in May to 2.8% y/y (2.5% in April), mainly due to a 15% increase in gas prices. Production prices in industry rose by 2% year-on-year in April (0.2% in March). This inflation is spreading to intermediate goods (+2.9% y/y) in addition to refined products (+67% y/y), although it remains minimal in other areas. The household confidence index fell to 82 in May (-2 m/m; -9 in three months), but expectations regarding financial wealth and prices are stabilising. The opportunity to make significant purchases is diminishing (-5 m/m to -40), but there is a rebound in real estate and home improvement purchases intentions

(9.5% and 24% of respondents, respectively, reflecting increases of +2pp and 1.5pp. This follows a Q1 that saw real estate transactions in the secondary market stabilise, as did prices (0.2% q/q and 0.1% y/y). *Coming up: Vehicle registrations (Tuesday); industrial production and foreign trade (Friday).*

Italy: Q1 growth revised upwards and inflation goes higher. GDP growth reached 0.3% q/q in Q1 (+0.1pp), driven by foreign trade, private consumption and investment. Inflation increased in May (3.3% y/y; +0.5pp m/m), driven by energy, transport and leisure. In April, production prices rose by 6.8% y/y, driven up by energy prices (+22.8%) and prices in the chemistry and metallurgy sectors. The ESI index remained stable in May (+0.1pt), bolstered by household confidence (+2.5 m/m), but adversely affected by services (-1.5 m/m). *Coming up: Composite PMI (Wednesday), retail sales (Friday).*

Germany: Inflation slowed in May (+2.7% y/y vs +2.9% in April) thanks to lower energy taxes. The unemployment rate remained stable at 3.8% according to Destatis (ILO definition, internationally comparable), while it fell slightly to 6.3% according to the national definition. *Coming up: Vehicle registrations (Thursday).*

Spain: Inflation is on the rise. Inflation (+3.6% y/y in May; +0.1pp m/m) was pushed up by transport and leisure, and down by clothing. Core inflation remains stable at +2.9%. In April, production prices rose by 8.3% y/y, with a notable increase in energy costs (+22.3%), which also impacted intermediate goods (3.8% y/y) and durable goods (2.9% y/y). *Coming up: Composite PMI (Wednesday).*

JAPAN

Improvement in economic indicators in April. The unemployment rate fell to 2.5% (-0.2 pp) in April, bolstered by employment (+610,000). The participation rate has reached its highest level in nearly thirty years (64.4%). Industrial production rose by 0.8% m/m (+2.3% y/y), while retail sales increased by 1.3% (+2.1% y/y), and consumer confidence improved (+1.4 m/m to 33.6). The BoJ Governor (K. Ueda) indicated that second-round effects on inflation are more likely in the current context, which is characterised by "already high" inflation expectations and "accelerating" wages. *Coming up: Wages and household spending (Friday).*

EMERGING ECONOMIES

AFRICA & MIDDLE EAST

South Africa: 25bp hike in the benchmark rate to 7%. The central bank revised its inflation forecast for 2026 upwards to 4.4% (previously 3.7%), and its growth forecasts for 2026 and 2027 downwards (1.2% and 1.7%). Other rate hikes are possible this year, while cuts were expected prior to the onset of the conflict in Iran. Moody's has changed its outlook from "stable" to "positive", and the rand has appreciated against the US dollar since 20 May, recovering almost all losses since the conflict began.

ASIA

Manufacturing PMI in industrialised Asia: Activity remains dynamic: The PMI index in South Korea, Taiwan and Vietnam surpassed the 50 mark and improved in May, driven by a global surge in demand for electronic goods. In China, both the NBS and RatingDog PMIs have seen slight declines but remain in expansion territory (at 50 and 51.8, respectively).



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China: A minor initiative to bolster household demand. The government has instructed local authorities to extend public services to all of their residents, even those without a "residence permit" (*Hukou*). This announcement will formalise practices already in place in a large number of cities and is not expected to result in significant changes. However, it can be seen as a measure, albeit modest, that supports the movement of people within China, the establishment of a cohesive national market (a goal outlined in the five-year plan), and the enhancement of private consumption. Furthermore, **Beijing has tightened controls on offshore stock transactions:** to better manage capital outflows, it now prohibits Chinese investors from engaging with foreign markets outside of officially authorised channels.

South Korea: Monetary status quo. The central bank kept its key rate unchanged at 2.5% in May (a rate that has remained on hold for a year). However, it will likely raise its policy rates in the coming months. Economic growth remains robust, driven by the semiconductor sector and the expansion of AI; it is expected to reach 2.6% in 2026 according to the latest forecast from the central bank (up from the previously expected 2%). Inflation, as measured by the CPI index, rose to 2.6% in April.

EMERGING EUROPE

Hungary: Current monetary policy remains on hold, but easing in the short-term is likely. The central bank kept its key rate unchanged at 6.25% on 26 May. However, the governor indicated that a cut in the benchmark rate was a topic of discussion. The appreciation of the forint since the latest elections in April (+6.0% against EUR and 5.4% against USD) provides some leeway. The rise in inflation remains contained so far (+1.6% y/y in February, +2.1% in March, +2.6% in April).

Poland: Inflation was stable in May. Preliminary estimates point to a 3.1% y/y print, after 3.2% in April and 3.0% in March (2.1% in February). The rate of inflation for food and non-alcoholic beverages has decreased, while fuel price inflation continues to rise. The Central Bank's target range is set at 2.5% $\pm$ 1%.

LATIN AMERICA

Brazil: Domestic demand driving a cyclical recovery. GDP growth rebounded in Q1 2026 (+1.1% q/q vs +0.3% in Q4 2025), driven by agriculture and construction on the supply side, and investment and household consumption on the demand side. The recovery, along with rising inflation and stimulus measures, is hindering the prospects for rapid monetary easing.

Colombia: The State Council upholds the independence of the Central Bank by temporarily lifting the requirement for the presence of the Finance Minister on the monetary policy committee. This alleviates concerns regarding the legitimacy of monetary policy decisions made in the absence of the minister. **In the first round of the presidential election, the far-right candidate Abelardo de la Espriella secured the lead with 43.7% of the votes, followed closely by the left-wing candidate Ivan Cepeda, who garnered 40.9%.** The right-wing candidate Paloma Valencia, with 6.9% of the votes, has urged support for Mr de la Espriella in the second round.

Mexico: GDP contraction in Q1 (-0.6% q/q). The dynamism of exports did not offset the weakness of domestic demand. Industrial production fell by more than 1% y/y in Q1, and retail sales slowed significantly. Despite the anticipated positive impact of the football World Cup on tourism, risks are tilted to the downside. In addition to the conflict in the Middle East, uncertainty over the USMCA review is weighing on investment and exports' outlook, with 83% of exports directed towards the US in 2025.

Following a series of discussions with the United States from 27 to 29 May, the Mexican Minister of Economy described the dialogue as "complex and difficult". The central bank downgraded its growth forecast for 2026 to 1.1% (1.6% in February). It considers the recent rise in inflation as temporary but believes that the cycle of monetary easing cycle is now over.

COMMODITIES

A preliminary agreement proposal between the US and Iran led to a decline in oil prices last week: -4.2% for the July 2026 Brent maturity (-15% over May at USD 92/b), -13% for the Dated Brent (-20.5% at USD 93.4/b). According to the draft agreement, Iran would gradually permit the movement of ships in the Strait of Hormuz, remove mines within a 30-day period, and suspend the transit fees applied to ships for a period of 60 days. In return, the United States may consider easing its sanctions, including the release of Iranian assets. However, ongoing insecurity has prevented the resumption of traffic for the time being.

The ability of US oil exports to ease tensions in markets is showing signs of weakening. Crude oil and petroleum product exports fell sharply last week (-4% w/w for crude and petroleum products combined, and -21% w/w specifically for crude). Nevertheless, the rate of reduction in the United States' Strategic Petroleum Reserve remains near its historical peak (recorded in the first half of May), with a decrease of 9.1 million barrels between the weeks of 15 May and 22 May, out of a total stock of 365 million.



MARKETS OVERVIEW

7

Bond Markets

	In %	In bps			
	29/05/2026	1-Week	1-Month	Year to date	1-Year
Bund 2Y	2.49	-14.5	-16.1	+40.2	+72.3
Bund 5Y	2.62	-21.6	-18.4	+15.2	+58.5
Bund 10Y	2.90	-22.9	-16.5	+4.1	+39.0
OAT 10Y	3.49	-24.2	-21.3	-1.2	+29.9
BTP 10Y	3.66	-26.4	-28.0	+16.5	+16.0
BONO 10Y	3.36	-22.8	-21.5	+11.5	+25.0
Treasuries 2Y	3.98	-7.7	+6.5	+49.7	-0.7
Treasuries 5Y	4.13	-12.8	+8.3	+40.9	+12.7
Treasuries 10Y	4.43	-1.2	+1.5	+26.8	+3.2
Gilt 2Y	4.22	-27.2	-34.3	+46.6	+22.0
Treasuries 5Y	4.36	-26.9	-25.7	+51.1	+22.7
Gilt 10Y	4.82	-3.9	-26.5	+47.6	+17.2

Currencies & Commodities

	Level	Change, %			
	29/05/2026	1-Week	1-Month	Year to date	1-Year
EUR/USD	1.17	+0.2	-0.3	-0.6	+2.8
GBP/USD	1.35	+0.6	-0.2	+0.2	-0.0
USD/JPY	159.19	+0.2	-0.6	+1.6	+10.2
DX	98.91	-0.3	-0.1	+0.6	-1.3
EUR/GBP	0.87	-0.4	-0.1	-0.8	+2.8
EUR/CHF	0.91	-0.3	-1.3	-2.0	-2.6
EUR/JPY	185.77	+0.5	-0.8	+0.9	+13.3
Oil, Brent (\$/bbl)	93.77	-16.3	-20.7	+54.1	+46.1
Gold (\$/ounce)	4591	+1.1	+1.2	+6.2	+38.4

Equity Indices

	Level	Change, %			
	29/05/2026	1-Week	1-Month	Year to date	1-Year
World					
MSCI World (\$)	4865	+2.6	+5.6	+9.8	+25.9
North America					
S&P500	7580	+2.4	+6.2	+10.7	+28.2
Dow Jones	51032	+2.7	+4.4	+6.2	+20.9
Nasdaq composite	26973	+3.4	+9.3	+16.1	+40.7
Europe					
CAC 40	8183	+2.5	+1.4	+0.4	+5.2
DAX 30	25105	+3.3	+4.8	+2.5	+4.9
EuroStoxx50	6051	+3.4	+4.0	+4.5	+12.6
FTSE100	10409	+0.8	+1.9	+4.8	+19.4
Asia					
MSCI, loc.	1900	+3.1	+3.8	+12.5	+30.0
Nikkei 225	66330	+9.1	+10.7	+31.8	+72.6
Emerging					
MSCI Emerging (\$)	1752	+5.4	+8.3	+24.7	+49.7
China	75	-2.7	-4.7	-9.0	+2.0
India	934	+1.9	-1.5	-11.7	-11.5
Brazil	1838	-2.3	-7.7	+11.7	+30.4

Performance by sector

Eurostoxx600

Year 2026 to 29-5, €

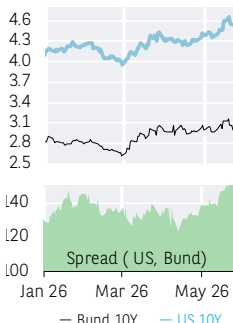
+28.6%	Commodities
+27.6%	Oil & Gas
+24.3%	Telecoms
+19.7%	Technology
+10.4%	Chemical
+9.8%	Utilities
+8.2%	Industry
+5.8%	Banks
+5.7%	Eurostoxx600
+1.7%	Financial services
+1.7%	Food industry
+1.2%	Construction
-1.0%	Real Estate
-2.5%	Health
-3.1%	Travel & leisure
-3.7%	Insurance
-3.9%	Retail
-6.6%	Media
-9.8%	Consumption Goods

S&P500

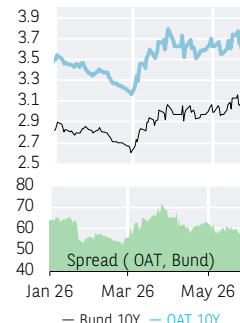
Year 2026 to 29-5, \$

+42.9%	Semiconductors
+30.0%	Tech. Hardware & Equip.
+24.4%	Energy
+15.6%	Capital Goods
+11.2%	Materials
+10.7%	S&P500
+10.4%	Consumer Discretionary
+9.7%	Media
+8.8%	Food, Beverage & Tobacco
+6.8%	Retail
+3.7%	Utilities
+1.7%	Telecoms
+0.7%	Pharmaceuticals
-1.4%	Automobiles
-5.0%	Bank
-6.0%	Consumer Services
-8.3%	Insurance
-10.6%	Healthcare
-14.0%	Commercial & Pro. Services
-33.5%	Real Estate

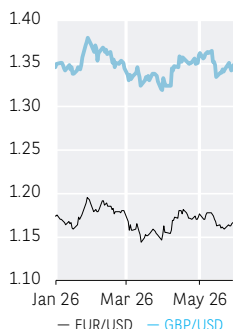
Bund 10Y & US Treas. 10Y



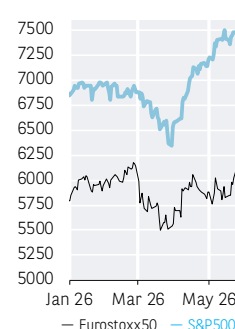
Bund 10Y & OAT 10Y



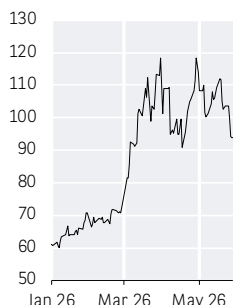
EUR/USD & GBP/USD



EUROSTOXX 50 & S&P500



Oil, Brent (\$/bbl)



Gold (\$/ounce)



MSCI World (\$)



MSCI Emerging (\$)



SOURCE: LSEG, BLOOMBERG, BNP PARIBAS
DATA VISUALISATION AND CARTOGRAPHY: TARIK RHARRAB



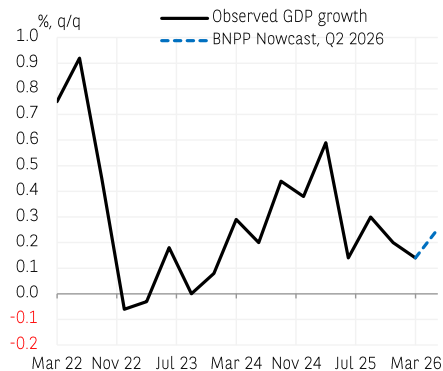
BNP PARIBAS

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world

The scenario, forecasts and nowcasts of the Economic Research – 1st June 2026

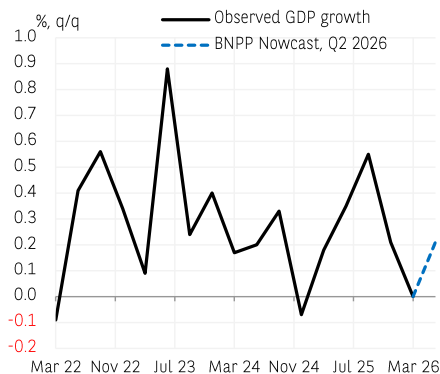
NOWCASTS OF THE ECONOMIC RESEARCH

Eurozone



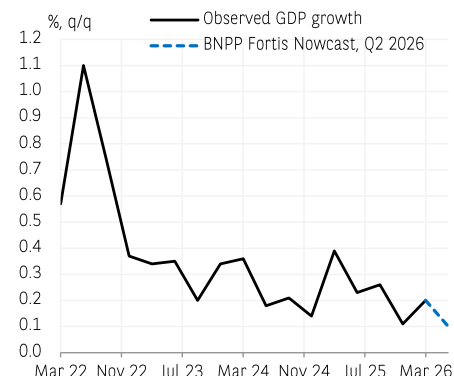
Source: Refinitiv, BNP Paribas

France



Source: Refinitiv, BNP Paribas

Belgium



Source: Refinitiv, BNP Paribas

Our nowcast for Eurozone growth has been revised downward due to the deterioration in confidence surveys (PMI, consumer confidence). It still points to a 0.2% q/q increase in activity in Q2, in line with our forecast.

Our *nowcast* for French GDP growth suggests a recovery in Q2 2026, at +0.2% q/q, driven by the one-off factors that weighed on Q1 GDP (aeronautics exports and construction output).

Our *nowcast* for Q2 Belgium GDP growth suggests a low figure (0.1% q/q), driven by the propagation of energy price shock throughout the economy, with 40% of construction and manufacturing firms announcing selling price hikes in the next 3 months.

Read the [Nowcast methodology](#)
Tarik.rharrab@bnpparibas.com

ECONOMIC SCENARIO AND FORECASTS

GDP growth and Inflation

%	GDP Growth					Inflation			
	2024	2025	2026 e	2027 e		2024	2025	2026 e	2027 e
United States	2.8	2.1	2.4	2.3		2.9	2.7	3.8	3.0
Japan	-0.2	1.1	0.5	0.5		2.7	3.1	2.3	3.1
United Kingdom	1.0	1.4	0.7	1.2		2.5	3.4	3.4	3.2
Euro Area	0.9	1.5	1.0	1.3		2.4	2.1	3.0	3.3
Germany	-0.5	0.3	0.8	1.1		2.5	2.2	3.2	3.5
France	1.1	0.9	0.8	1.1		2.3	1.0	2.4	1.9
Italy	0.6	0.7	0.7	0.8		1.1	1.7	3.1	3.7
Spain	3.5	2.8	2.3	2.2		2.8	2.7	3.3	3.1
China	5.0	5.0	4.6	4.5		0.2	0.0	1.3	1.4
India*	7.1	7.6	6.6	6.8		4.6	2.1	4.5	4.2
Brazil	3.4	2.3	2.0	1.6		4.4	5.0	4.7	4.5

Source : BNP Paribas (e: Estimates & forecasts)

Last update: 01/06/2026

* Fiscal year from April 1 of year N to March 31 of year N+1

Interest and exchange rates

Interest rates, %		2026				2027
End of period		Spot 29/05	Q2	Q3	Q4	Q4
US	Fed Funds (upper limit)	3.75	3.75	3.75	3.75	3.75
	T-Note 10y	4.43	4.40	4.50	4.55	4.55
Eurozone	deposit rate	2.00	2.25	2.50	2.50	2.50
	Bund 10y	2.90	3.15	3.20	3.35	3.10
	OAT 10y	3.49	3.77	4.00	4.17	3.60
	BTP 10y	3.66	3.85	3.95	4.10	3.60
	BONO 10y	3.36	3.57	3.64	3.79	3.42
	Base rate	3.75	4.00	4.25	4.25	3.50
UK	Gilts 10y	4.82	4.70	4.60	4.50	4.30
	Bol Rate	0.75	1.00	1.00	1.25	2.00
Japan	JGB 10y	2.63	2.40	2.55	2.60	2.70
Exchange Rates		2026				2027
End of period		Spot 29/05	Q2	Q3	Q4	Q4
USD	EUR / USD	1.17	1.19	1.20	1.21	1.25
	USD / JPY	159	159	159	160	160
	GBP / USD	1.35	1.35	1.35	1.35	1.36
EUR	EUR / GBP	0.87	0.88	0.89	0.90	0.92
	EUR / JPY	186	189	191	194	200
Brent		2026				2027
Quarter Average		Spot 29/05	Q2	Q3	Q4	Q4
Brent	USD/bbl	94	110	90	85	83
Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 01/06/2026						

Sources: BNP Paribas (Market Economics, Interest Rate Strategy, FX Strategy, Commodities Desk Strategy). Last update: 01/06/2026


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UNITED STATES

The US economy is expected to grow above its potential in 2026, with an average annual growth rate of 2.4%, a yearly improvement (up from 2.1% in 2025). This apparent resilience to energy, uncertainty and tariff and energy shocks, together with above-trend productivity growth, masks K-shaped growth, driven by investment linked to AI-optimism and consumption by the wealthiest amid a wealth effect (historically high stock market valuations). Inflation overshooting is set to continue (3.8% in 2026) at least through 2028, largely because of the rise in oil prices and tariffs – although the impact of these appears to be less significant than expected. The labour market is experiencing a slowdown in both demand and supply, reflecting a less dynamic economy than after the pandemic and the administration's tighter immigration policy. We expect the Fed Funds target range to remain steady at 3.5% - 3.75%, with a FOMC shifting to a 'two-sided outlook', signaling equal readiness to implement rate hikes or cuts if warranted.

CHINA

Economic growth accelerated to +5.0% y/y in Q1 2026, vs. +4.5% in Q4 2025. It stood at 5% in 2025 as a whole and it is expected to slow moderately in 2026. Growth remains characterized by a K-shaped trajectory. On the one hand, exports are still dynamic, and Chinese goods are likely to remain competitive in the short term. On the other hand, domestic demand remains sluggish. It rebounded in the first two months of 2026 but has weakened significantly since March. The crisis in the property sector continues and confidence of households and private investors remains low. The authorities will maintain supportive fiscal and monetary policies, but their measures may continue to be modest, even in a less supportive global environment. Deflationary pressures are expected to decline in 2026, notably thanks to higher global energy prices and anti-involution measures implemented by the authorities.

EUROZONE

Eurozone growth would slow due to spillovers from the Middle East conflict. In Q1 2026, GDP growth disappointed as a result of one-off factors (France and Ireland) but remained resilient in Germany and Italy. In 2026, consumption would be held back by falling real wages. GDP growth, which reached 1.5% in 2025, would slow down to 1.0% in 2026 and 1.3% in 2027, while inflation would rebound to 3.0% in 2026 and 3.3% in 2027 (compared to 2.1% in 2025). Activity would nevertheless withstand the energy shock, supported by investment in defence, AI, and electrification, which should continue to boost intra-EU trade. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%. As inflation rebounds, two 25-basis-point hikes in the ECB's policy rate would take place in 2026 – with the first hike expected in June – pushing the deposit facility rate to 2.5%.

FRANCE

GDP growth deteriorated to -0.1% q/q in Q1 (after 0.2% q/q in Q4) as a result of one-off factors, including low aeronautics exports (-20% q/q despite an increase of the output) and construction output (-1.5% q/q). From Q2 2026, growth should be affected by the impact of higher oil prices on inflation (2.4% in 2026, after 1% in 2025) and household purchasing power (with a likely impact on their consumption). In 2026, GDP growth should reach 0.8% in 2026 (after 0.9% in 2025), driven by public spending and private investment in AI. Higher inflation (2.4% in 2026, after 1% in 2025) would weigh on GDP growth.

UNITED KINGDOM

Economic activity is expected to slow down in 2026, with growth limited to 0.7% after 1.4% in 2025; following a forecasted +0.4% q/q in Q1, the average quarterly pace would fall to around +0.1%. This slowdown would occur against a backdrop of renewed inflationary pressures triggered by the war in Iran: inflation would reach 3.4% y/y before easing only gradually to 3.23% y/y in 2027, remaining well above BoE's target. In this context, and contrary to the initially envisaged easing scenario, monetary policy would shift toward a tightening of 50 basis points in 2026. 10y gilt yields will remain elevated in 2026, before falling to 4.30% in 2027 on reduced net supply, a decline in political risk premia and a market starting to eye BoE rate cuts.

JAPAN

The energy shock is set to impact the strong momentum of the Japanese economy negatively. We expect annual GDP growth to stand at 0.5% in 2026, down from 1.1% in 2025. Higher inflation and production costs are expected to weigh on the economy's overall performance. On the other hand, the latter is still tempered by structural supply constraints and supported by fiscal policy and wage growth. Inflation has generally overshoot the 2% y/y target since 2022 and is expected to stay there through at least 2028. Accordingly, the Bank of Japan initiated a process of "adjustment in the degree of monetary accommodation" in 2024, lifting the policy rate to 0.75% so far (previously negative). We expect the process to extend, including one hike (25pb) in Q2 2026, until a 2.0% terminal rate in end-2027. Japan is facing long-term rates pressure, illustrated by historically high 10- and 30-year yields, probably fueled by the level of public debt and the pace of monetary adjustment.

EXCHANGE RATES

In our base-case scenario (gradual normalisation of the Middle East situation with persistent price tensions), we expect the USD depreciation against the EUR to resume, albeit very gradually, amid broader diversification away from the dollar. We forecast EUR/USD to reach 1.21 by Q4 2026 and 1.25 by Q4 2027. We anticipate stabilisation of the yen and the GBP against the dollar in 2026 (USD/JPY 160 and GBP/USD 1.35 by Q4 2026) and 2027.



INFLATION

INFLATION TRACKER:

INFLATION CONTINUES TO RISE GLOBALLY, IN BOTH ADVANCED AND EMERGING ECONOMIES, AND REMAINS LARGELY DRIVEN BY ENERGY PRICES



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General dynamics of inflation:

Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.

Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.

Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

Emerging economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.

Commodities:

Commodity prices remain high, but are stabilising.

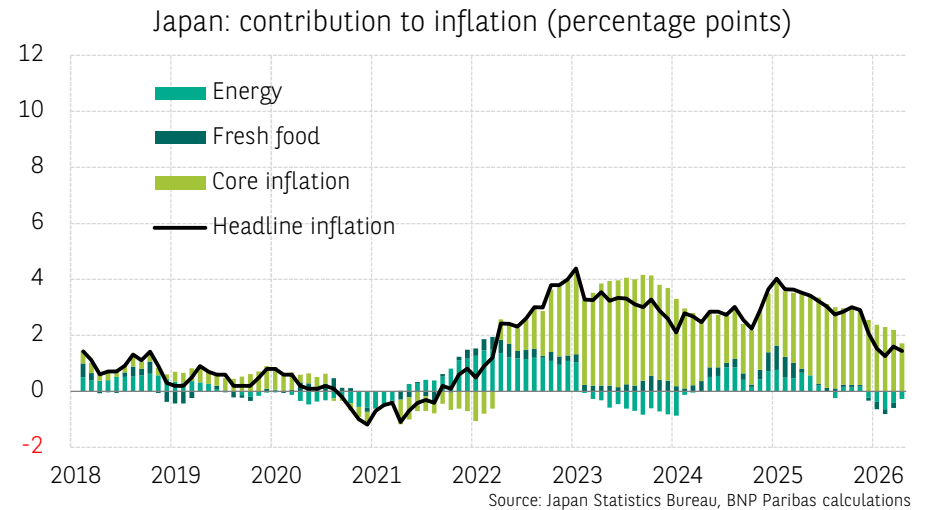
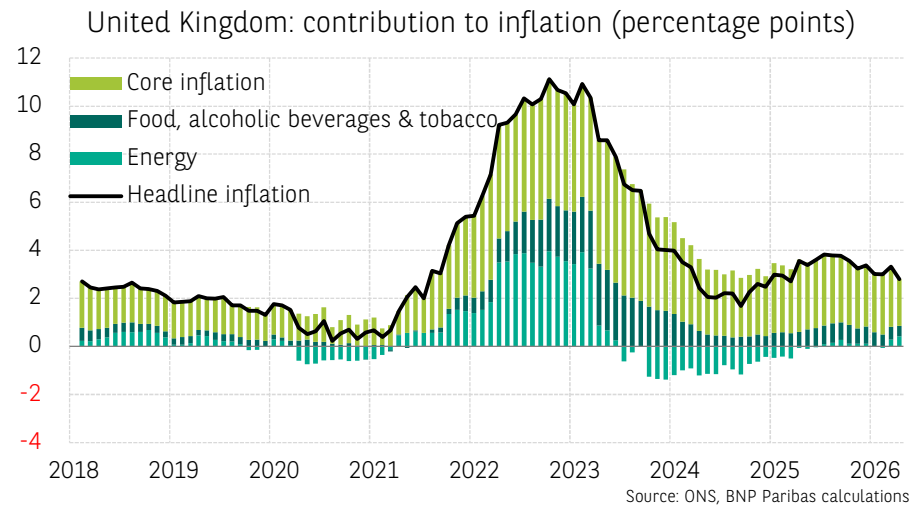
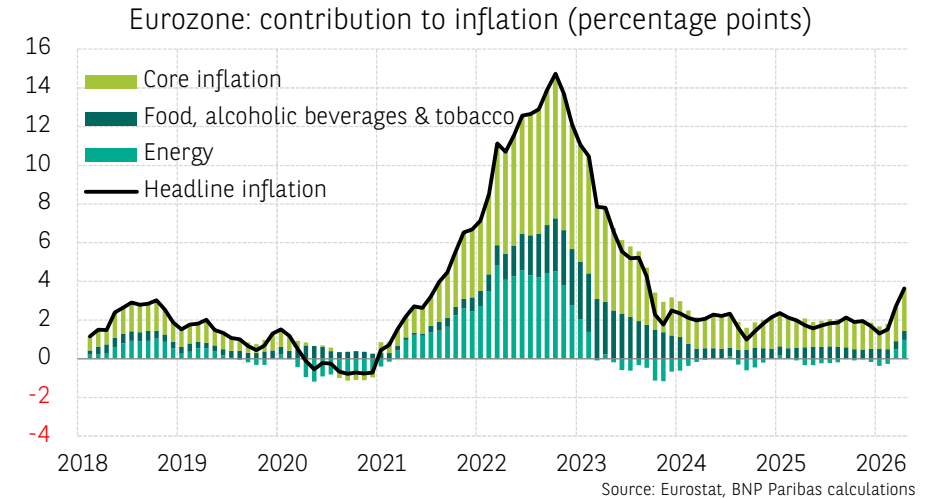
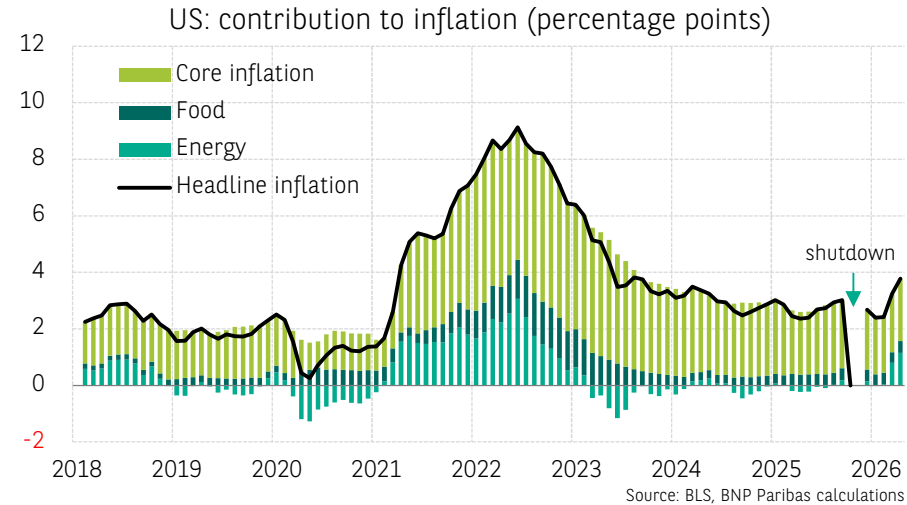


General dynamics of inflation:

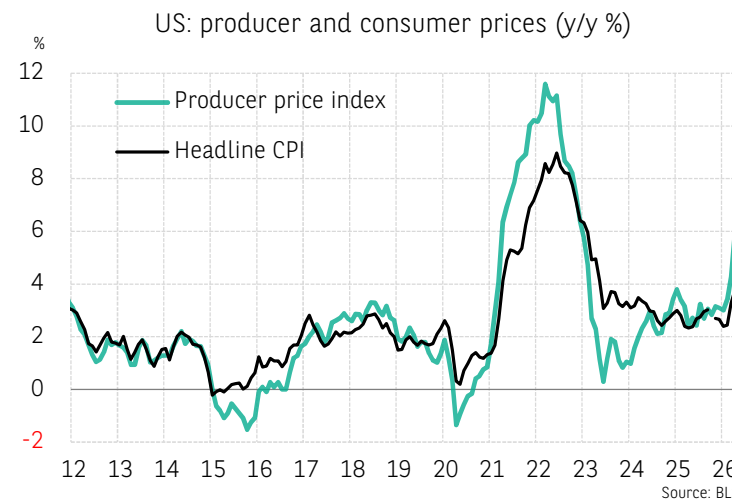
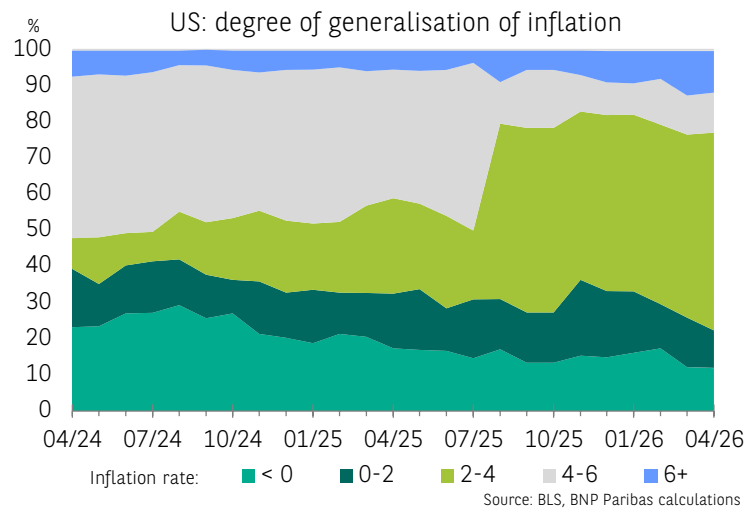
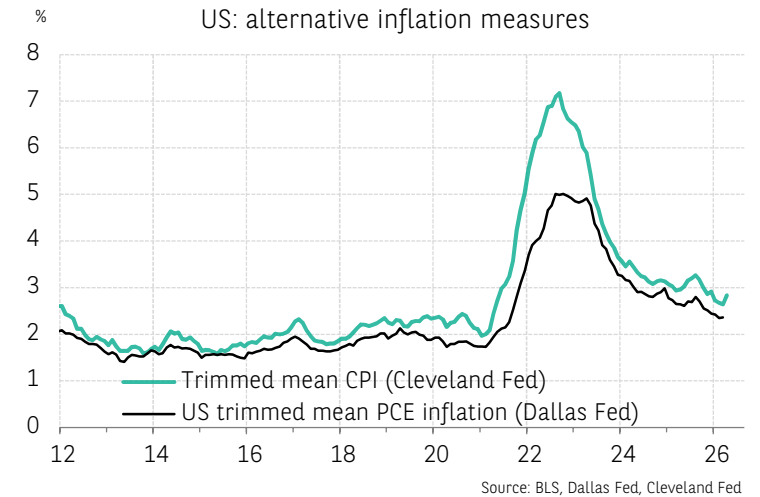
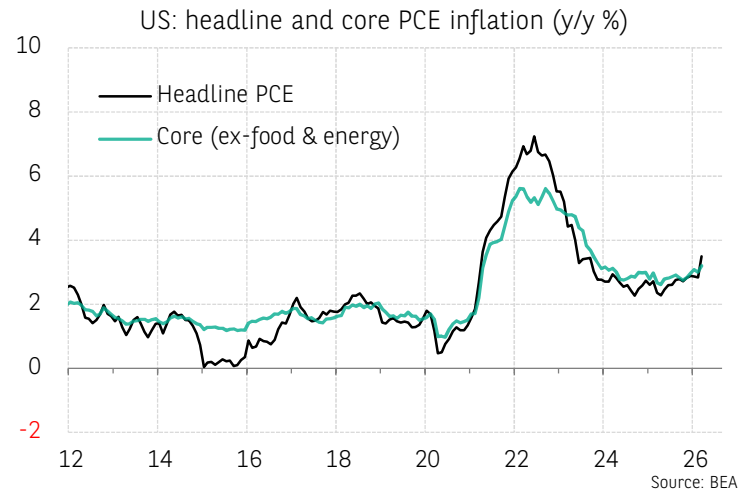
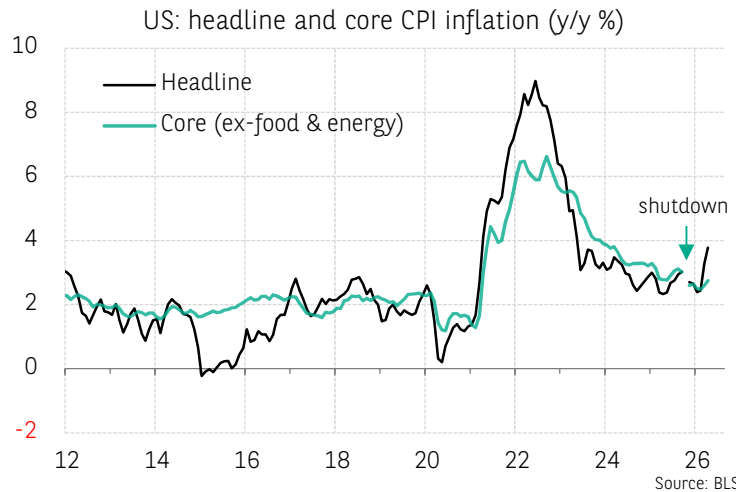
Inflation continues to rise in the United States and the euro area, driven by energy prices, whilst temporary factors are causing it to fall slightly in the United Kingdom and Japan.



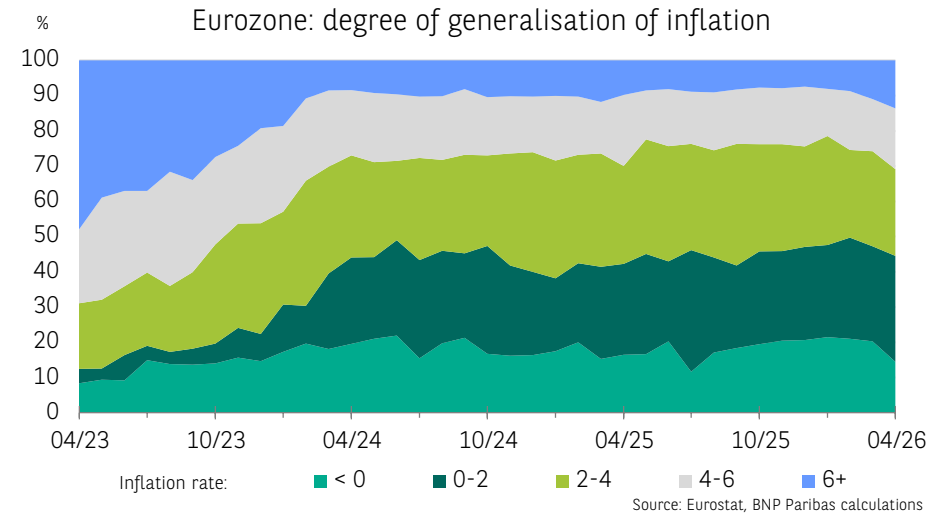
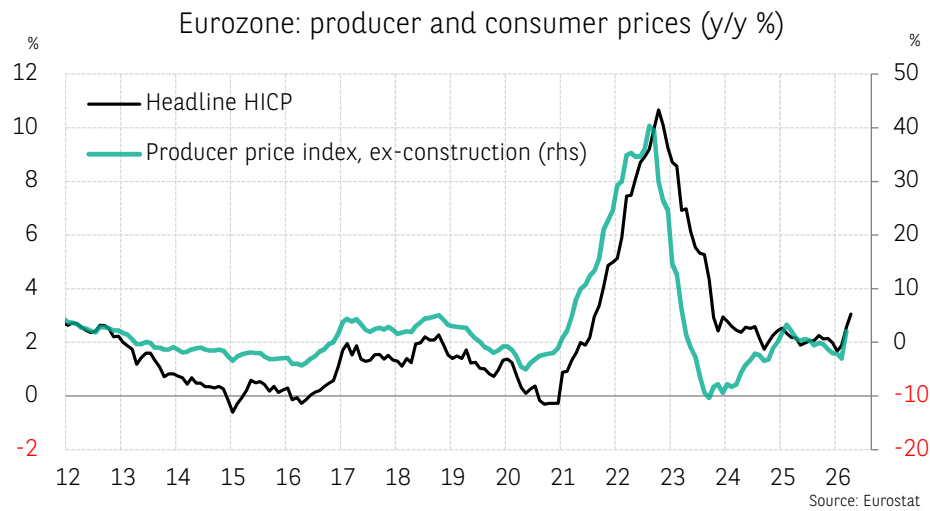
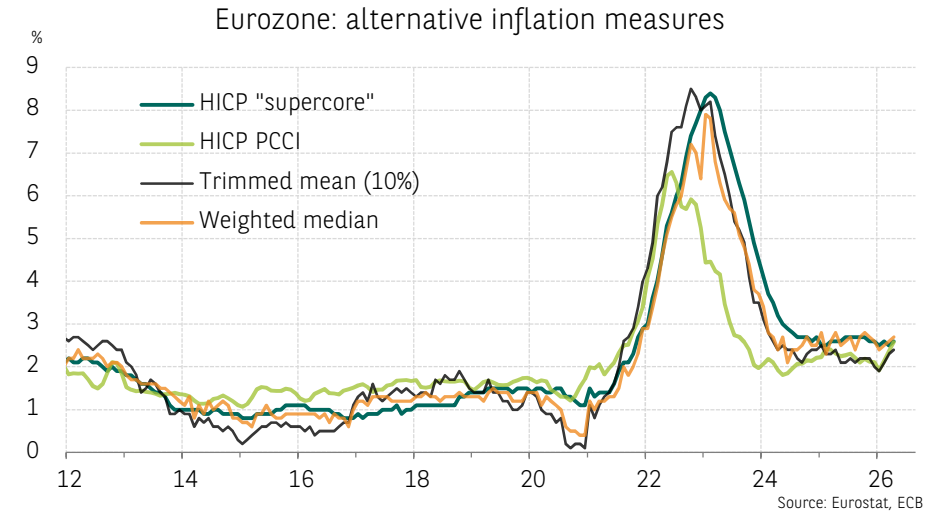
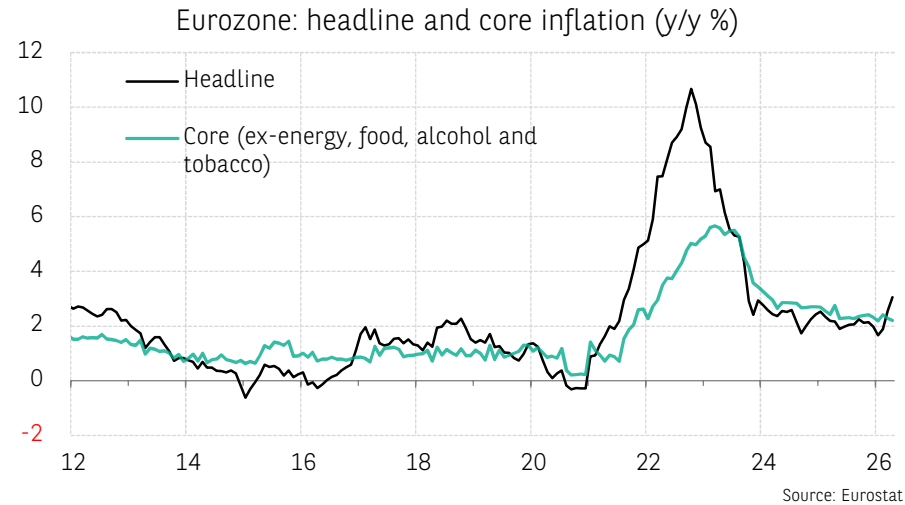
General dynamics of inflation: decomposition of inflation



Inflation dynamics in the United States: different metrics and degree of generalisation

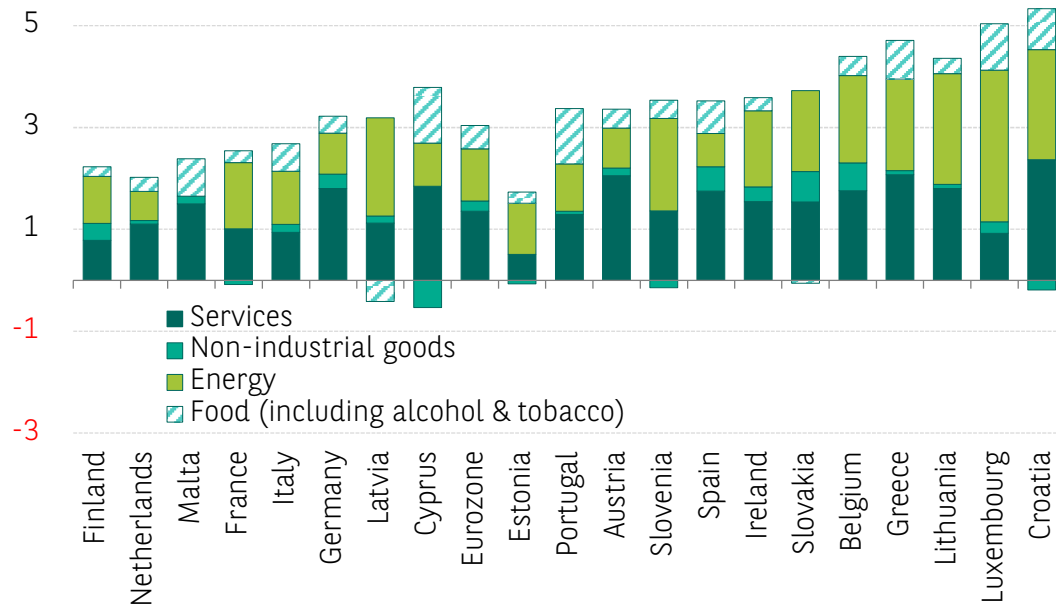


Inflation dynamics in the Eurozone: different metrics and degree of generalisation



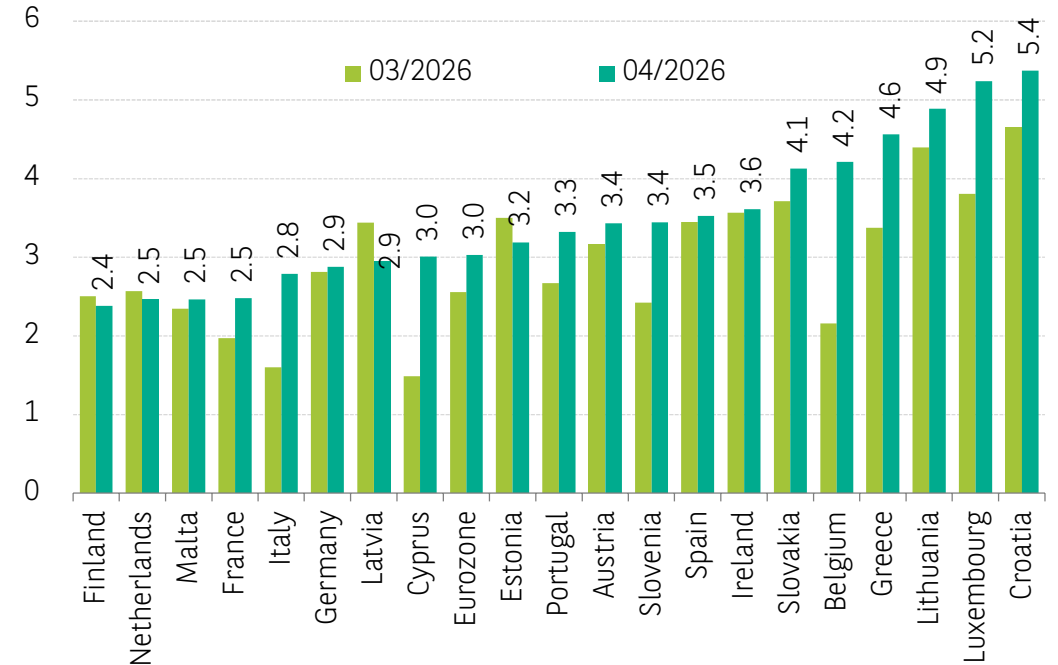
Inflation dynamics in the Eurozone by country (1)

Eurozone: contribution to inflation (% points), April 2026



Source: Eurostat

Eurozone: inflation in y/y % change



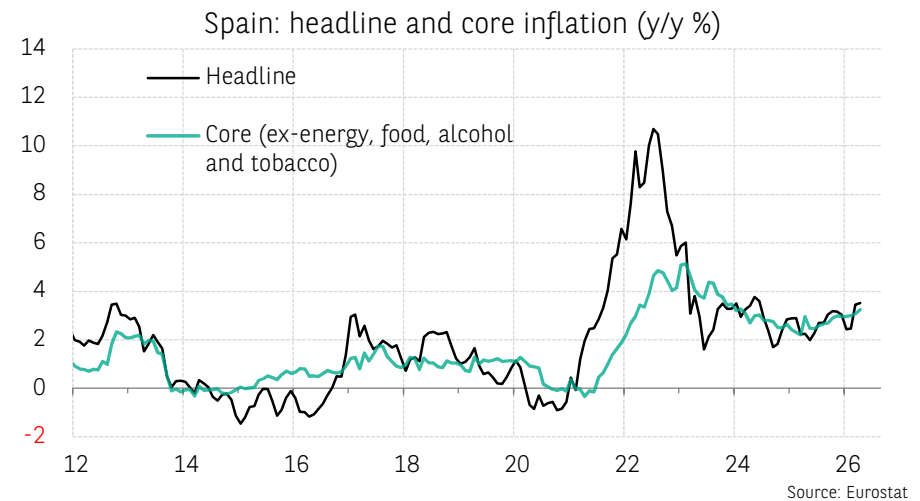
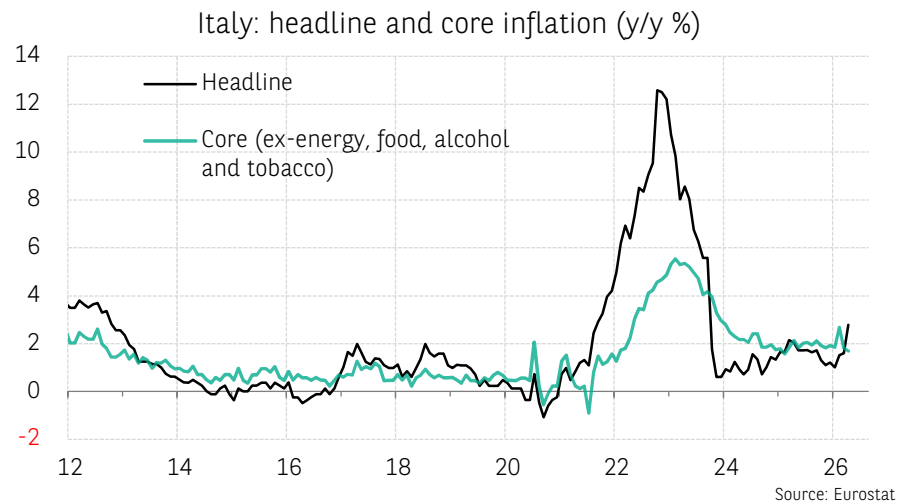
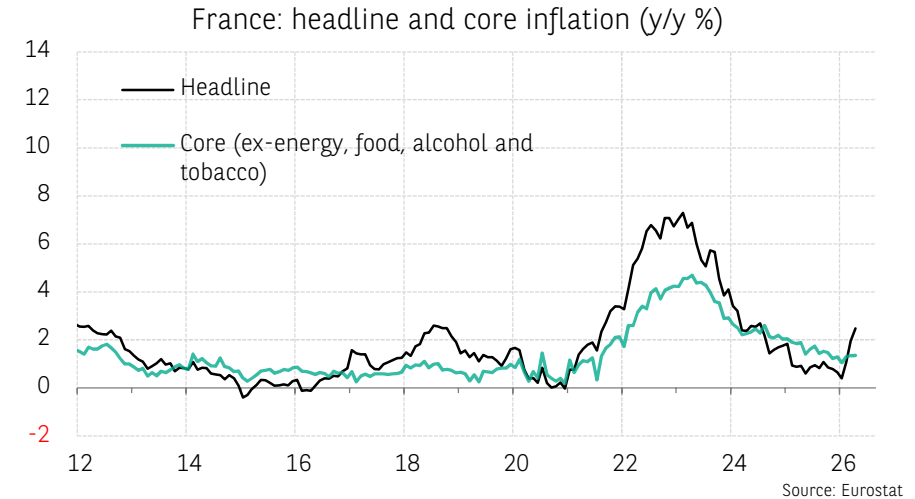
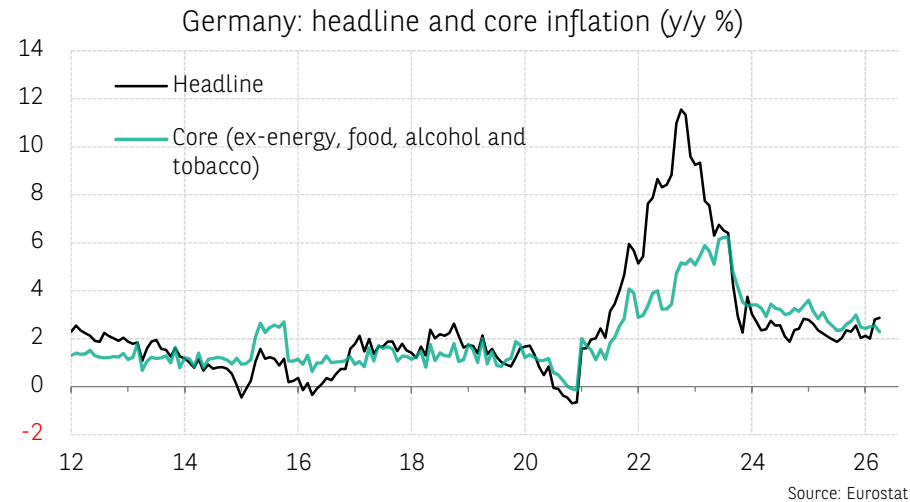
Source: Eurostat



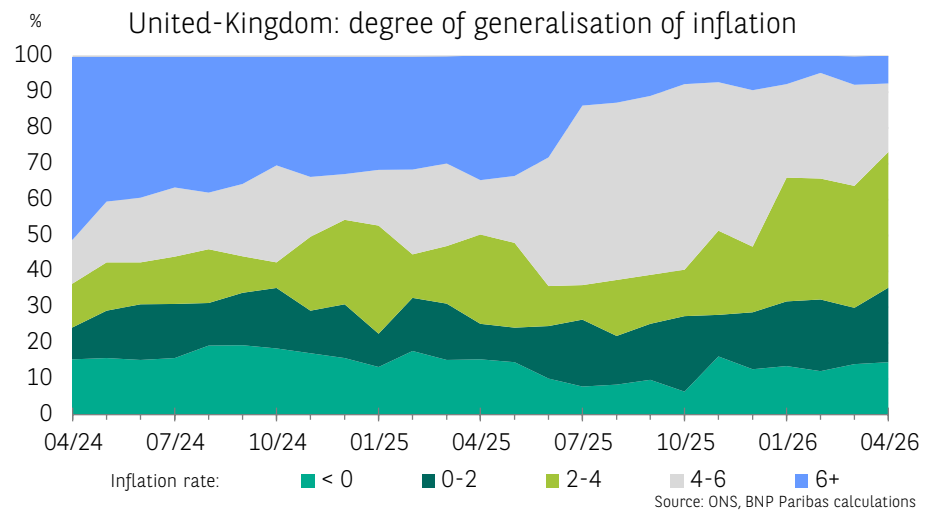
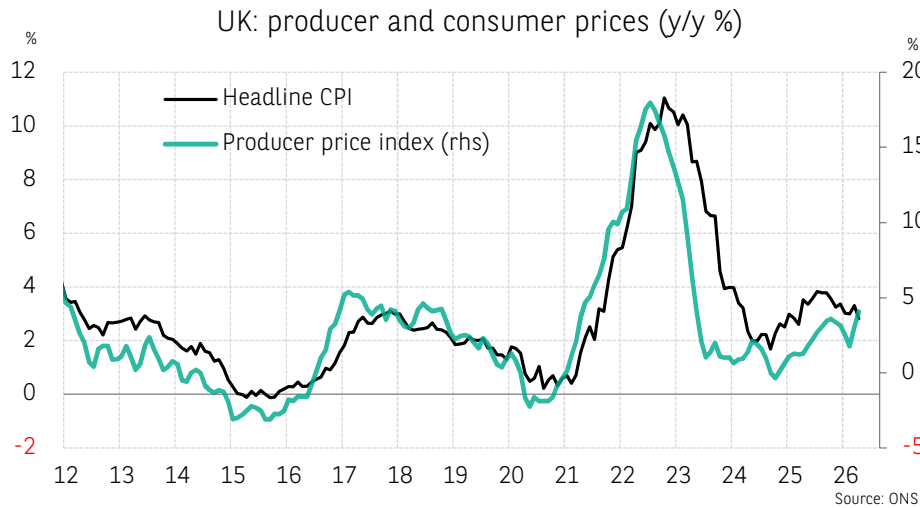
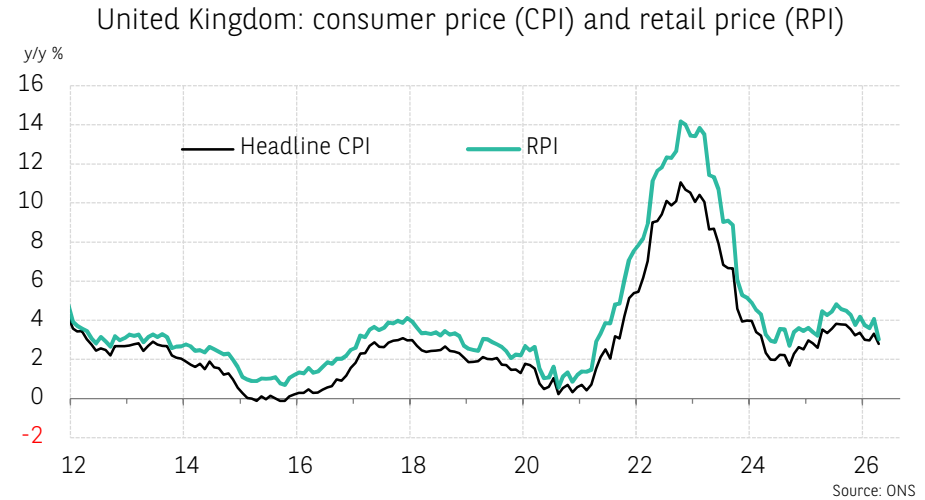
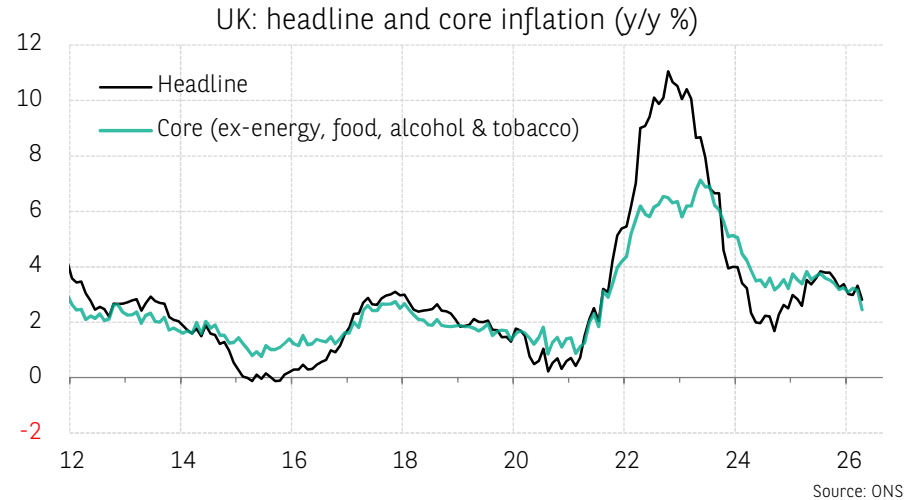
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Inflation dynamics in the Eurozone by country (2)

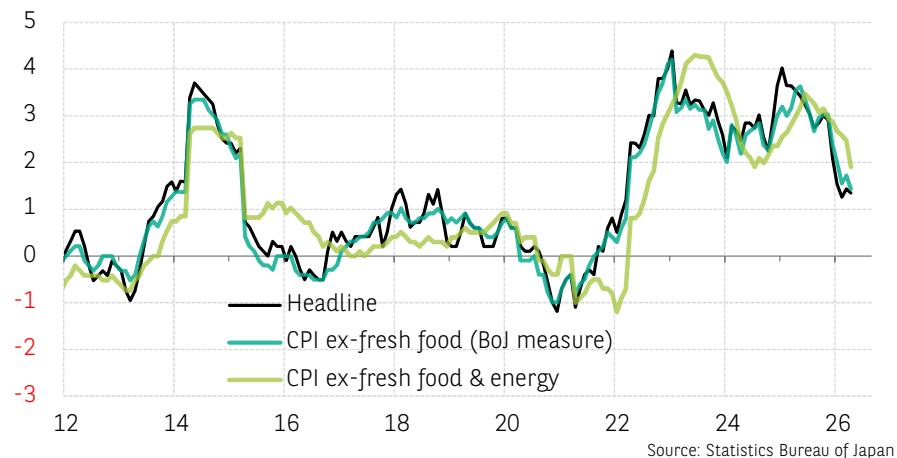


Inflation dynamics in the United Kingdom: different metrics and degree of generalisation

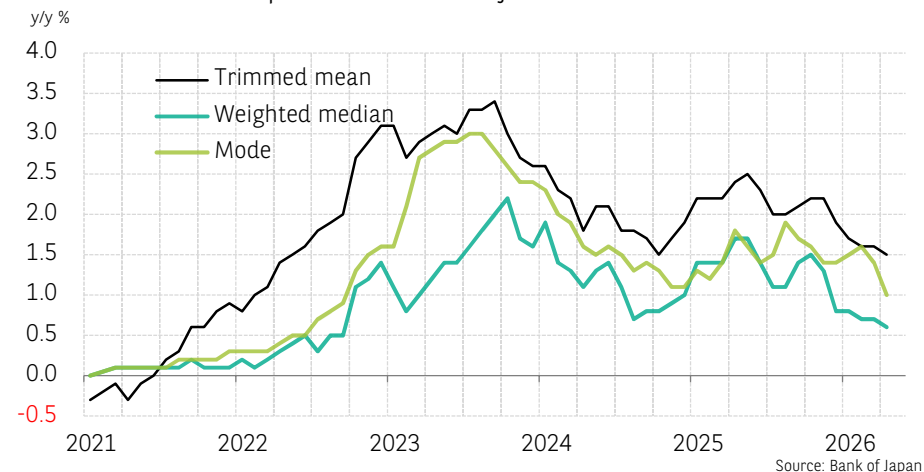


Inflation dynamics in Japan: different metrics and degree of generalisation

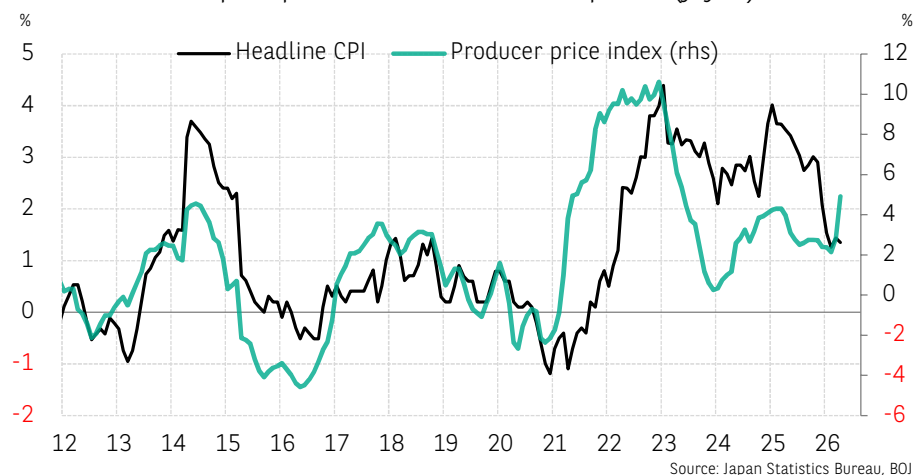
Japan: headline and core inflation (y/y %)



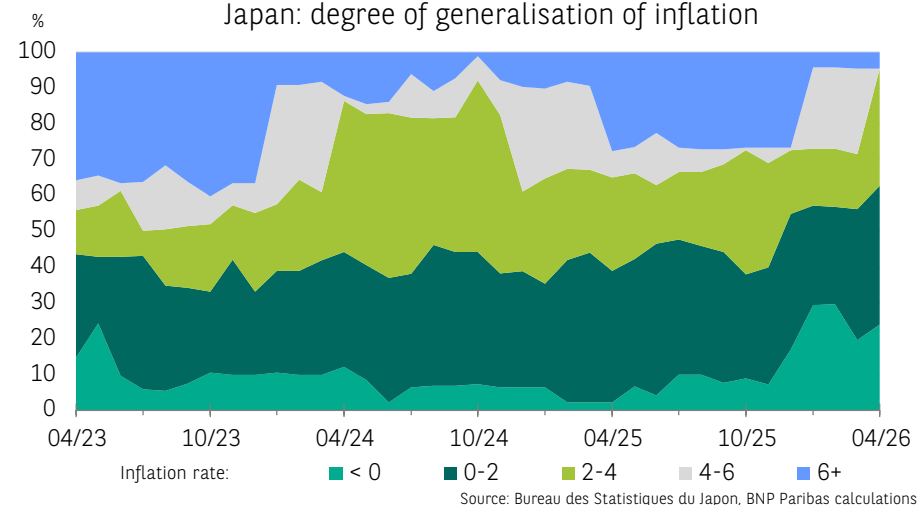
Japan: alternative inflation measures



Japan: producer and consumer prices (y/y %)



Japan: degree of generalisation of inflation

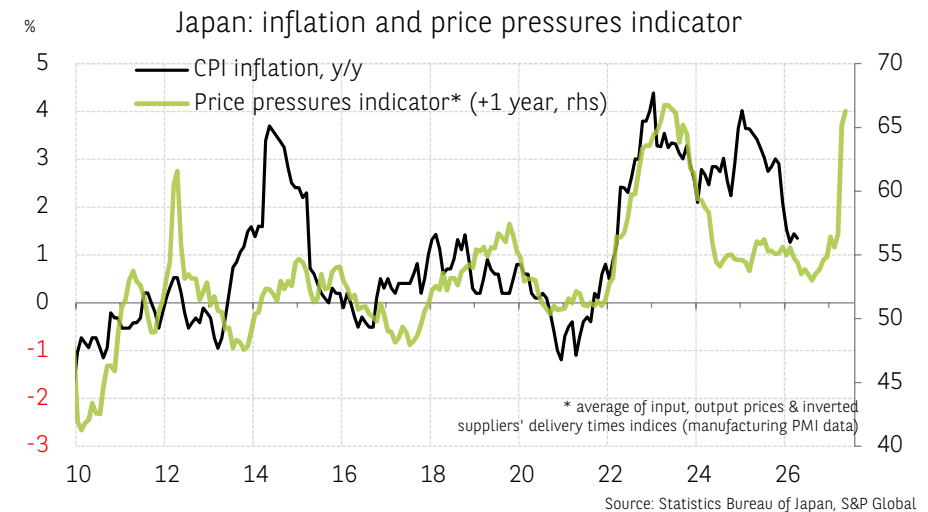
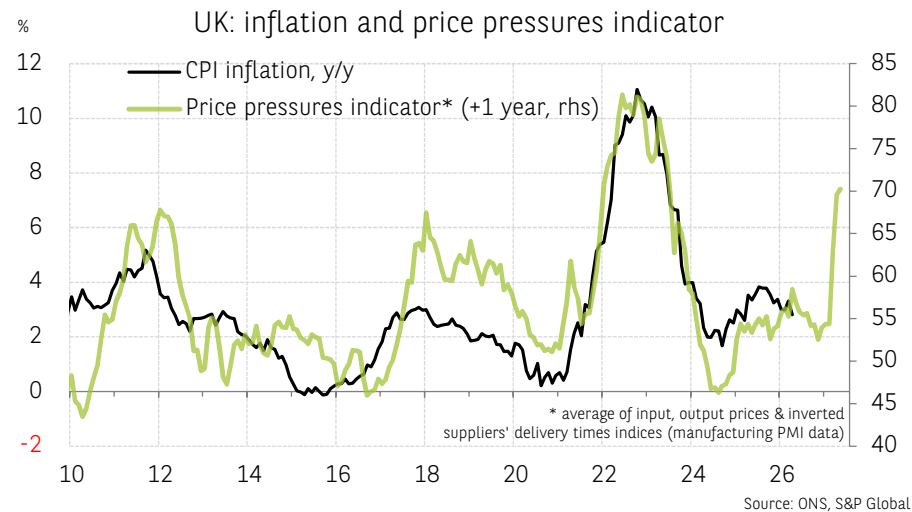
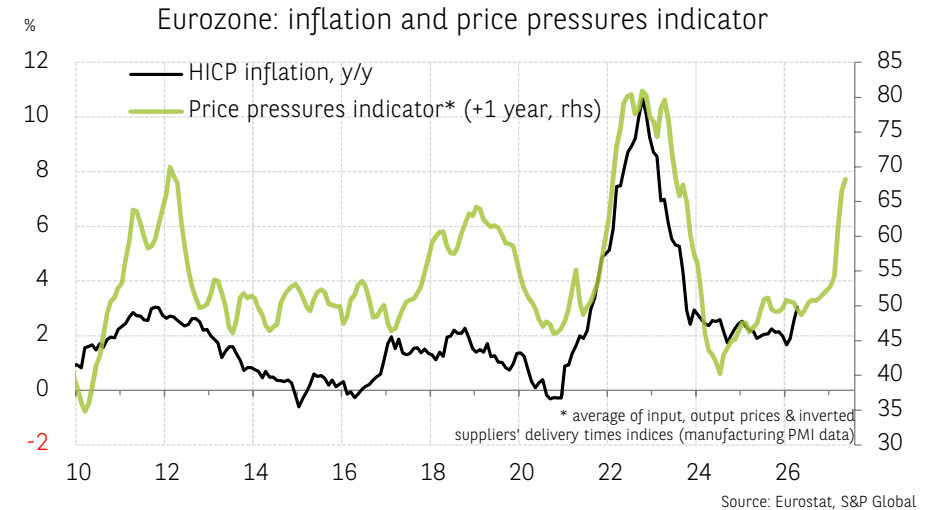
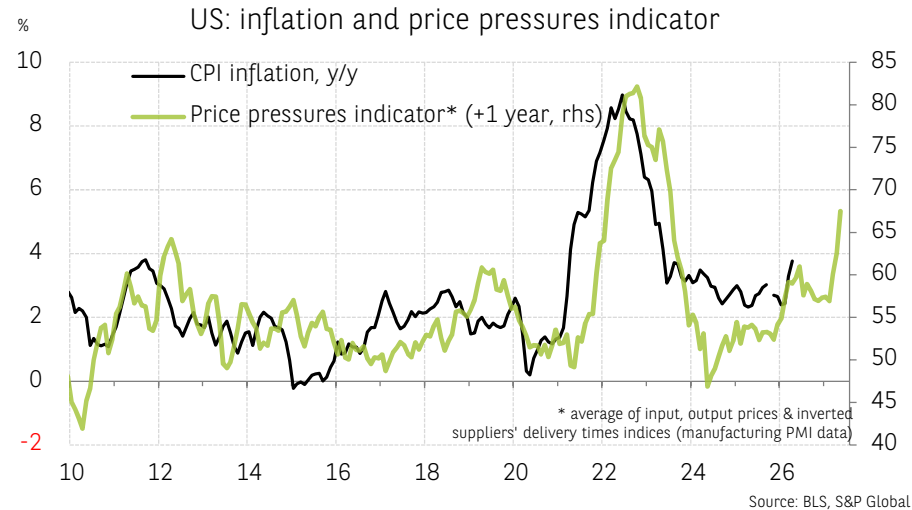


Inflation and survey data:

Indicators of price pressures continue to rise, with the increase being more pronounced on the input price side than on the output price side.



PMI surveys: an indication of inflationary pressures



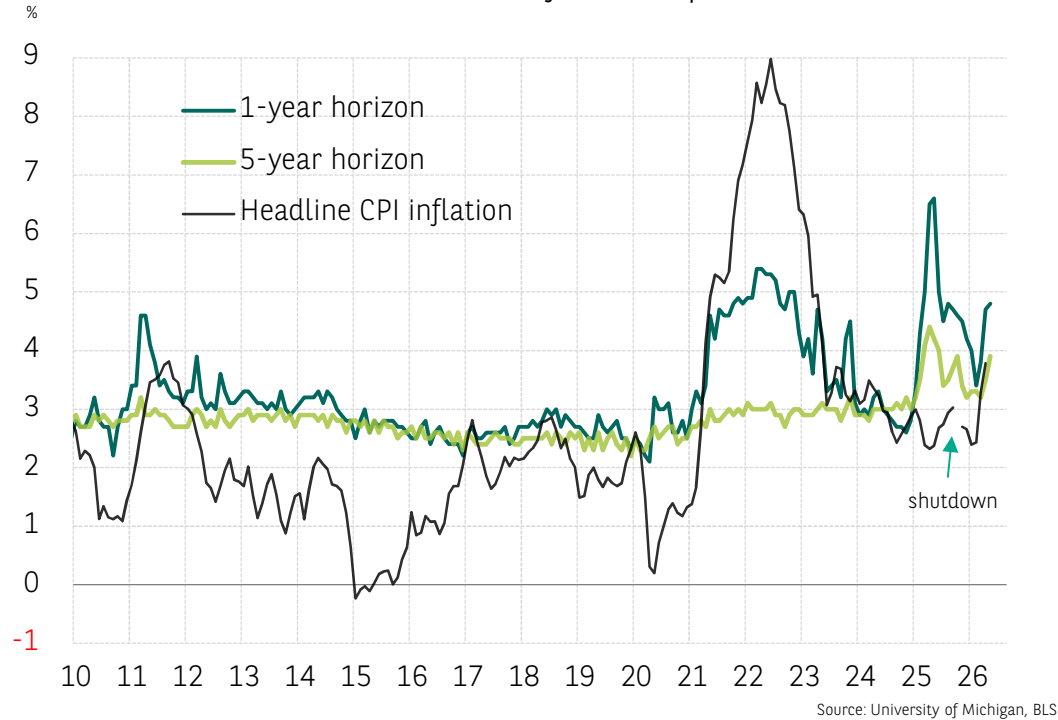
Inflation expectations (households, forecasters, markets):

Short-term inflation expectations continue to rise, whilst longer-term expectations remain stable.

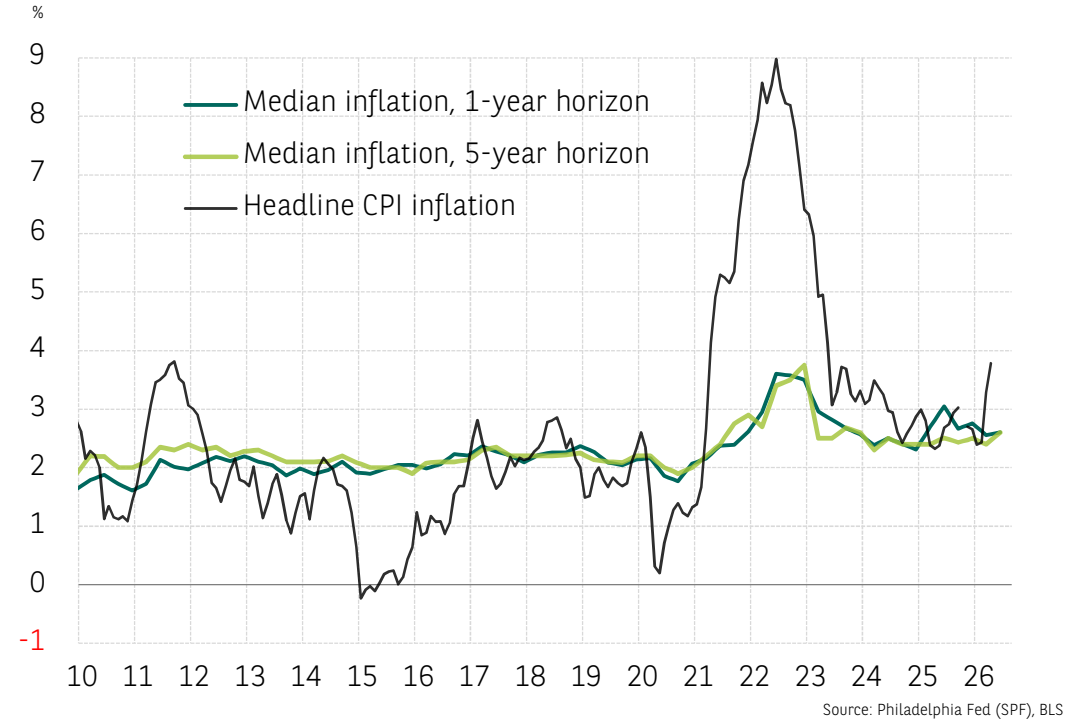


Inflation expectations in the United States

US: consumer inflation expectations

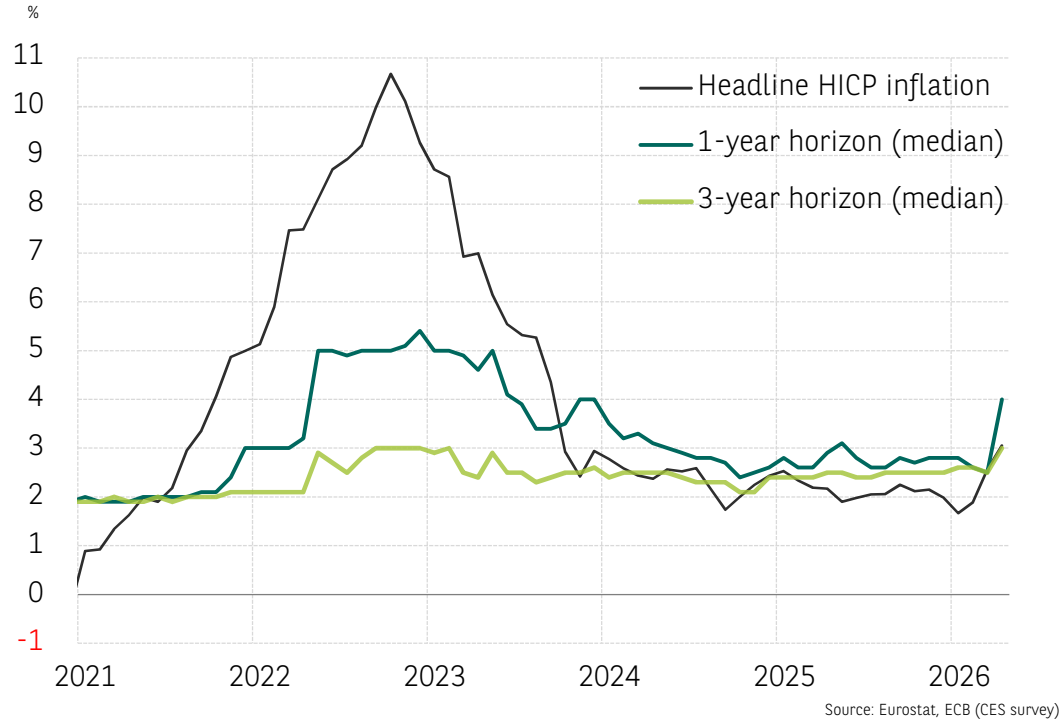


US: Survey of professional forecasters

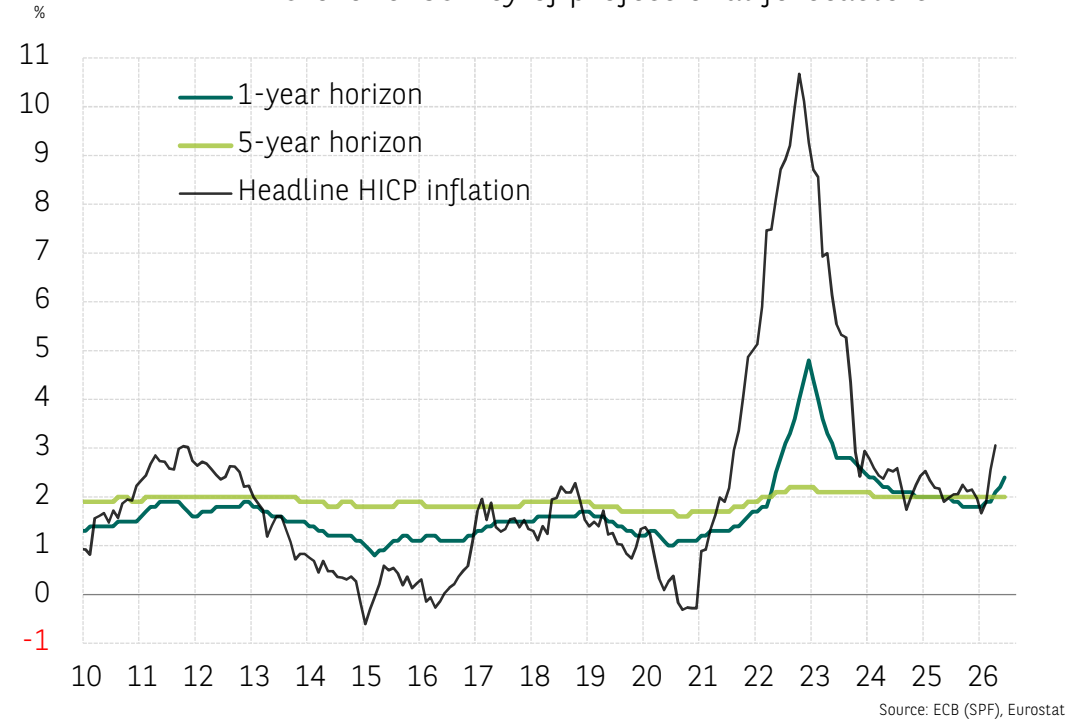


Inflation expectations in the Eurozone

Eurozone: consumer inflation expectations

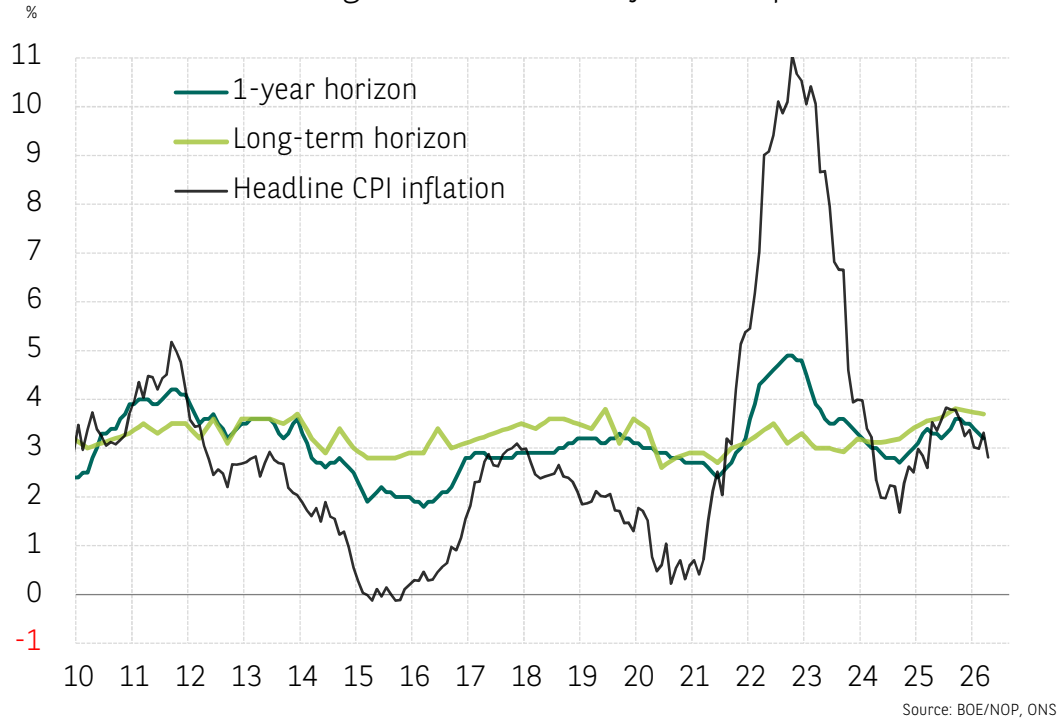


Eurozone: Survey of professional forecasters

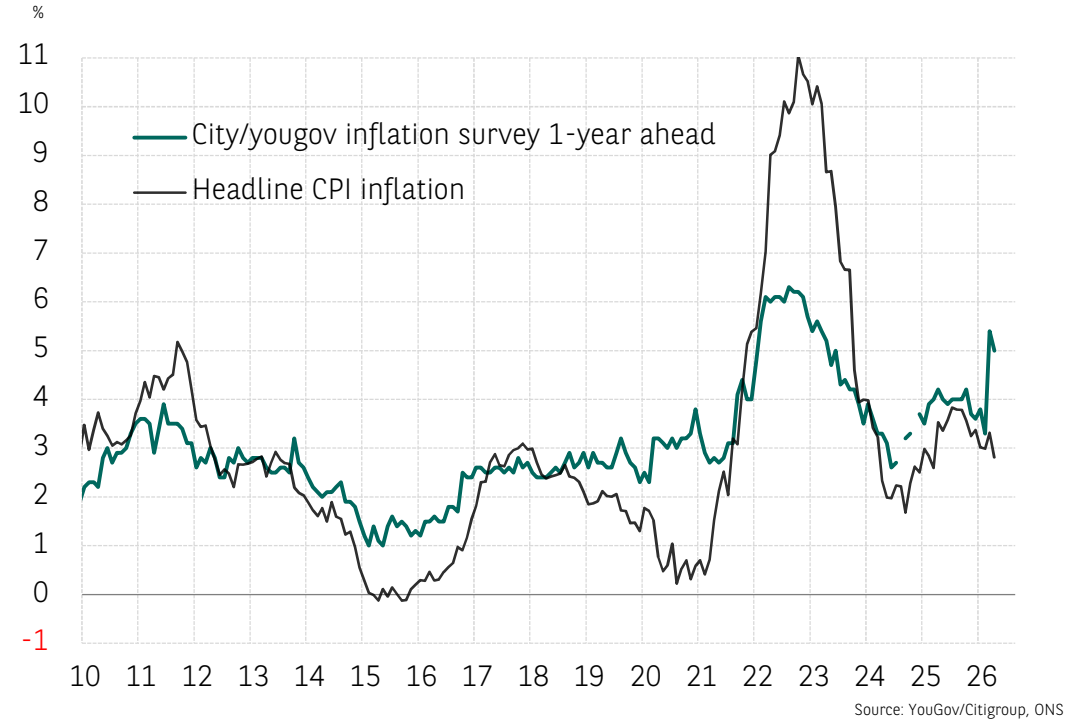


Inflation expectations in the United Kingdom

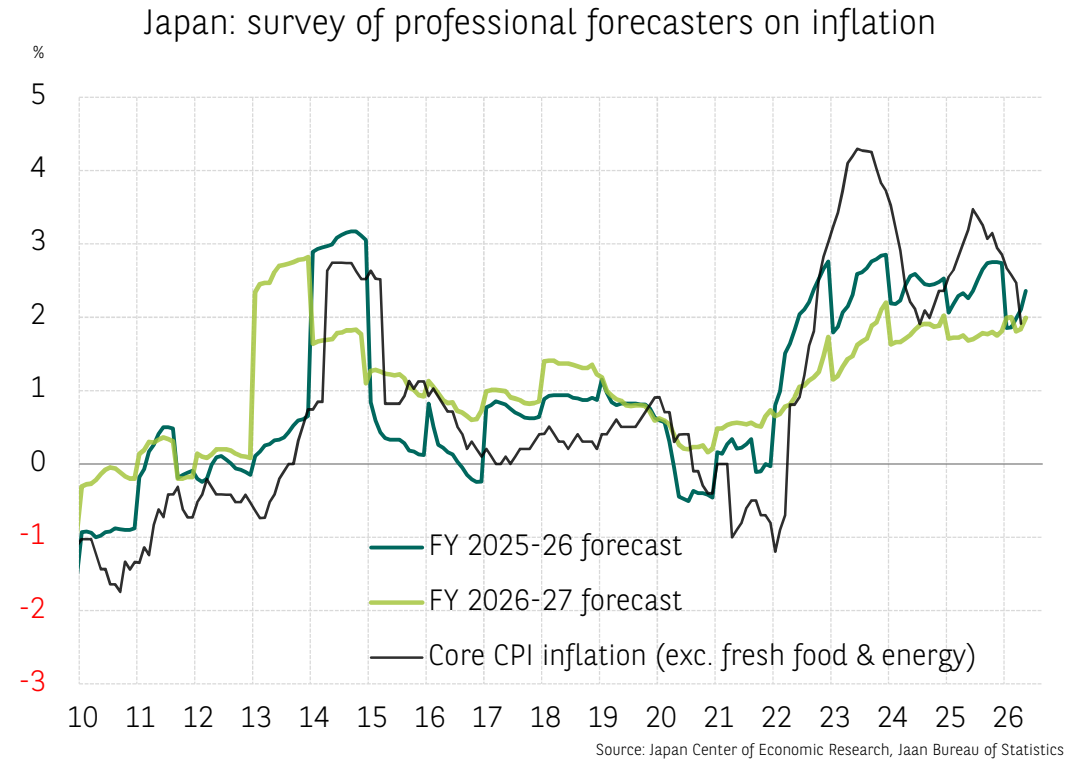
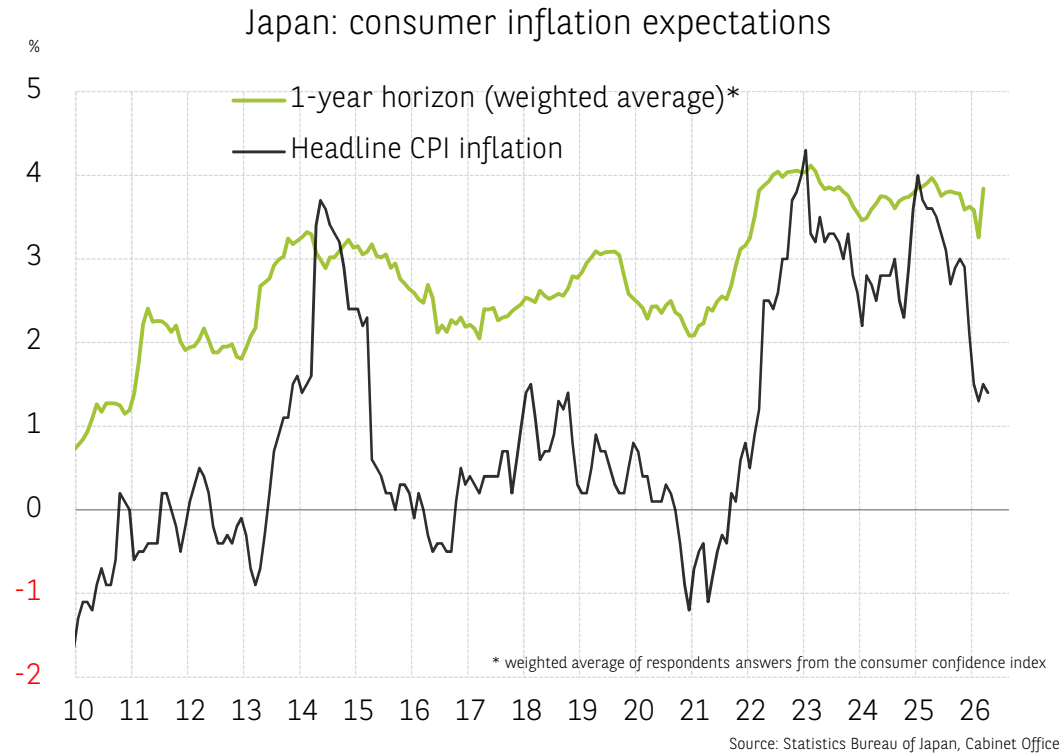
United Kingdom: consumer inflation expectations



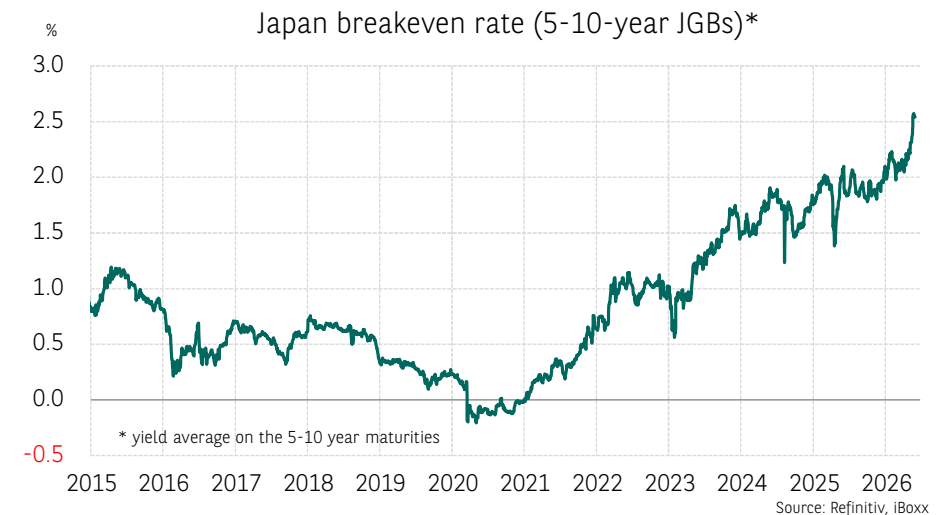
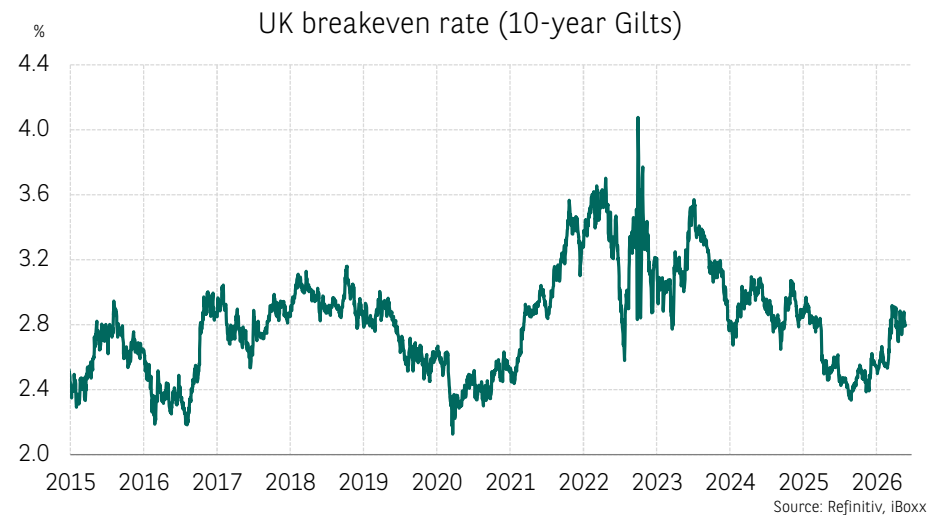
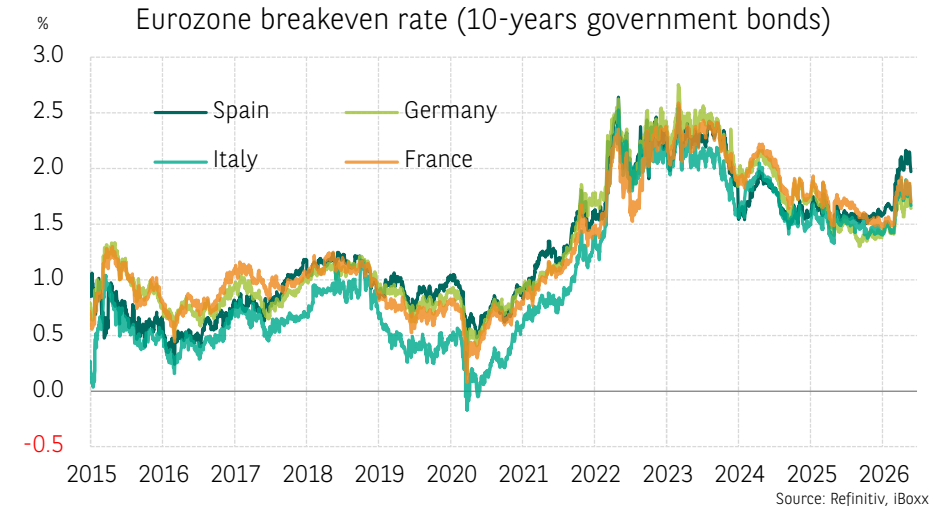
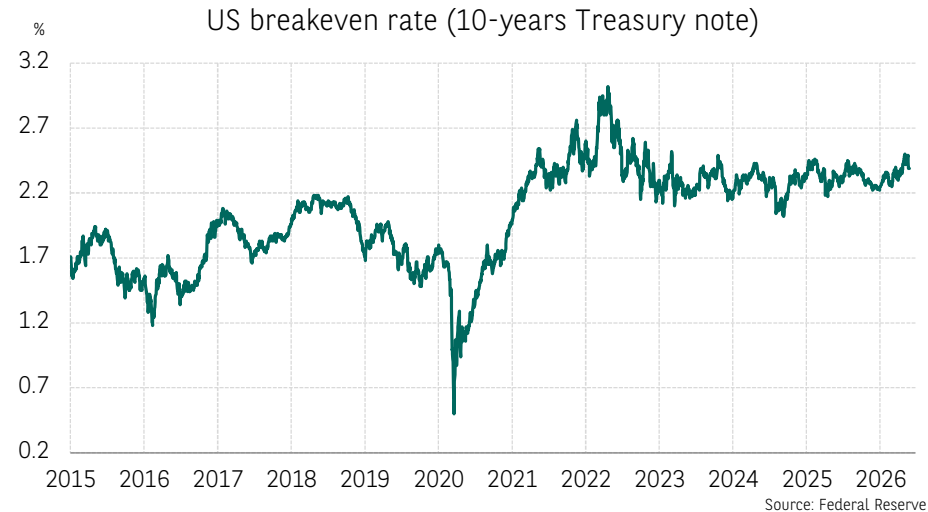
United Kingdom: inflation expectations



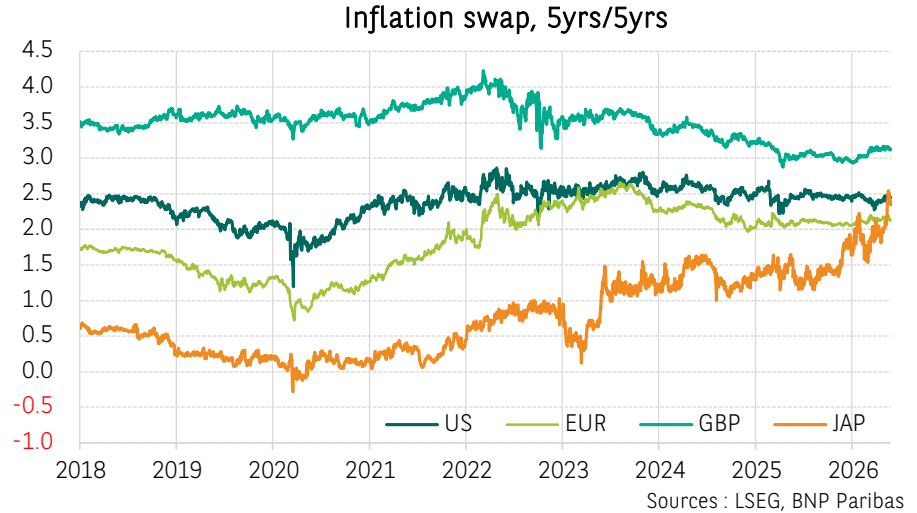
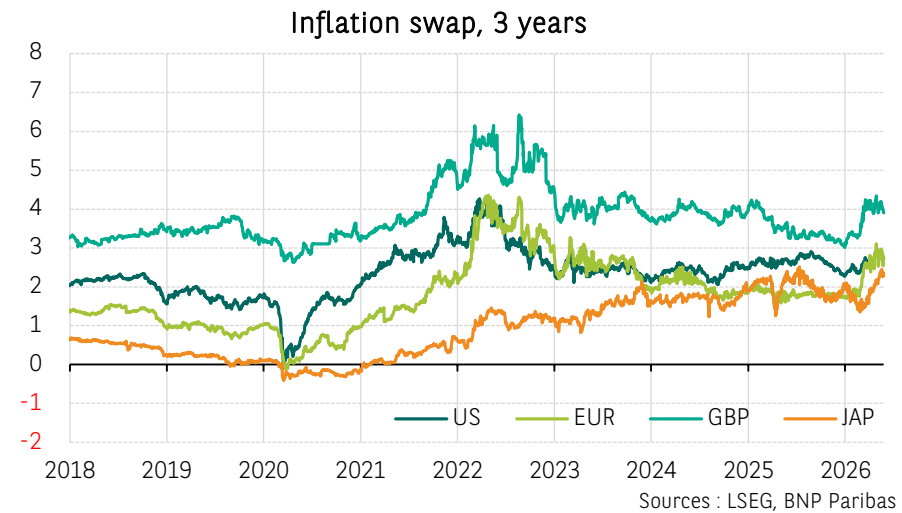
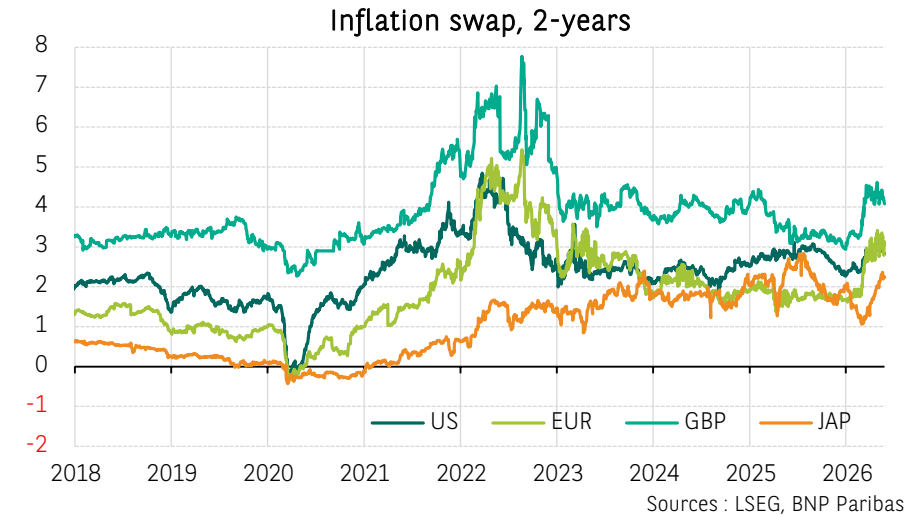
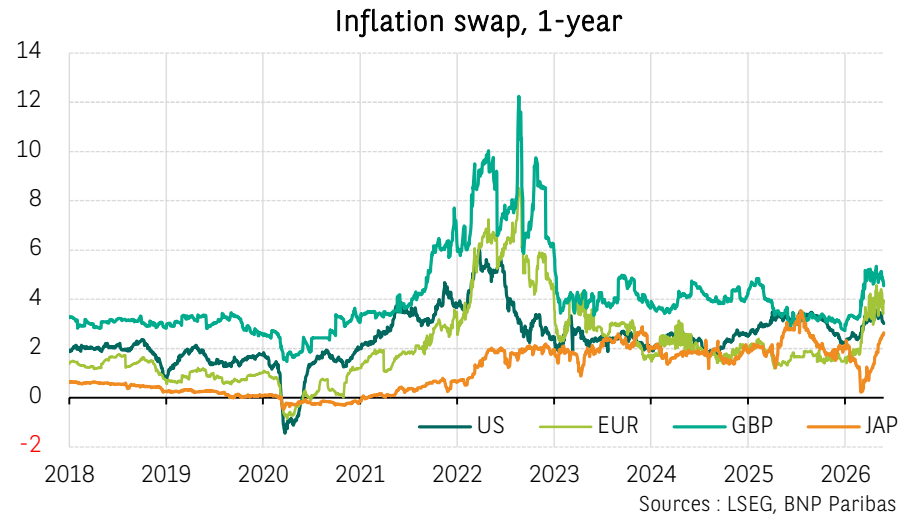
Inflation expectations in Japan



Market expectations: breakeven inflation rate



Market expectations: swap rate



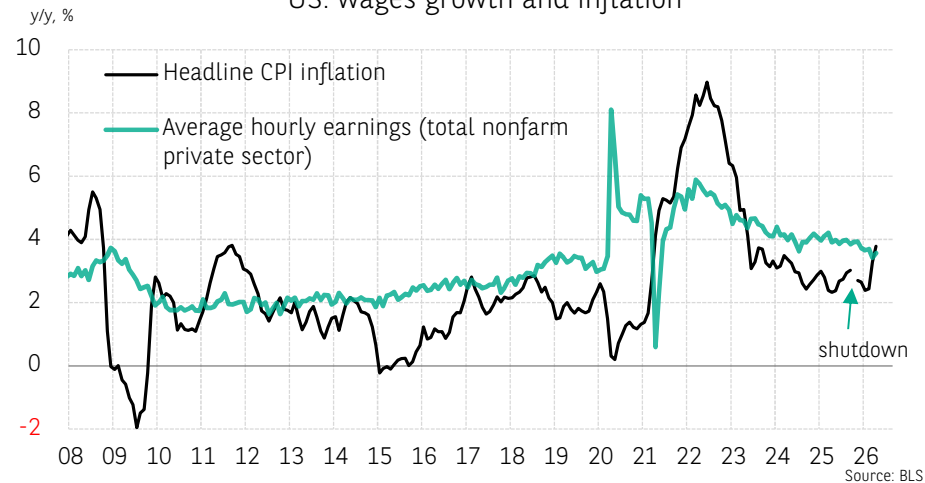
Inflation-wage dynamics:

There are still no signs of a wage-price spiral taking hold.

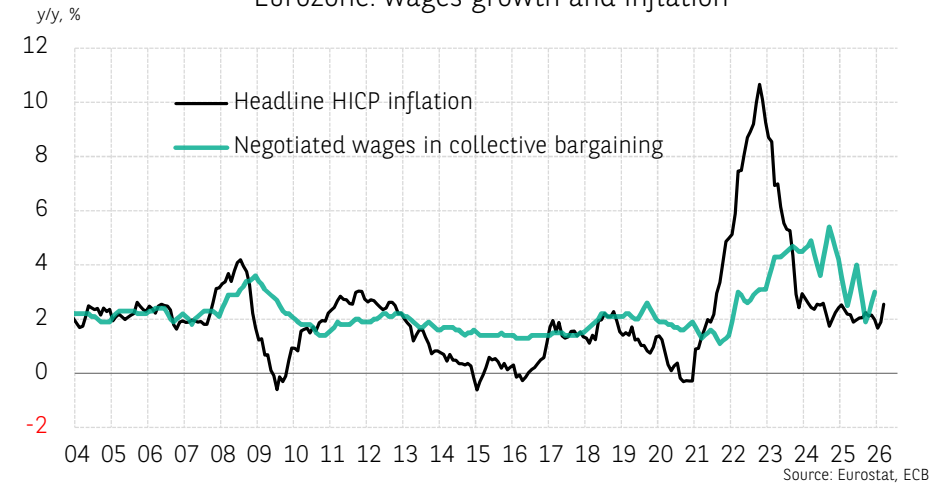


Inflation-wage dynamics

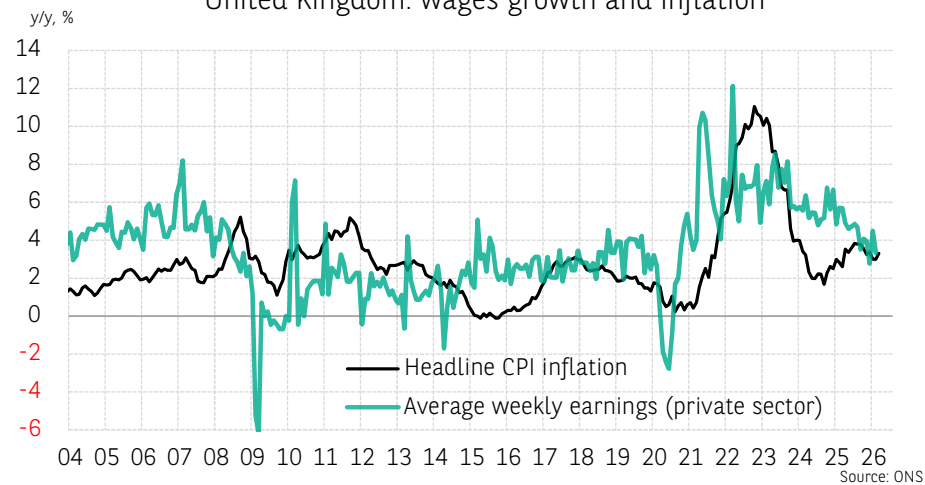
US: wages growth and inflation



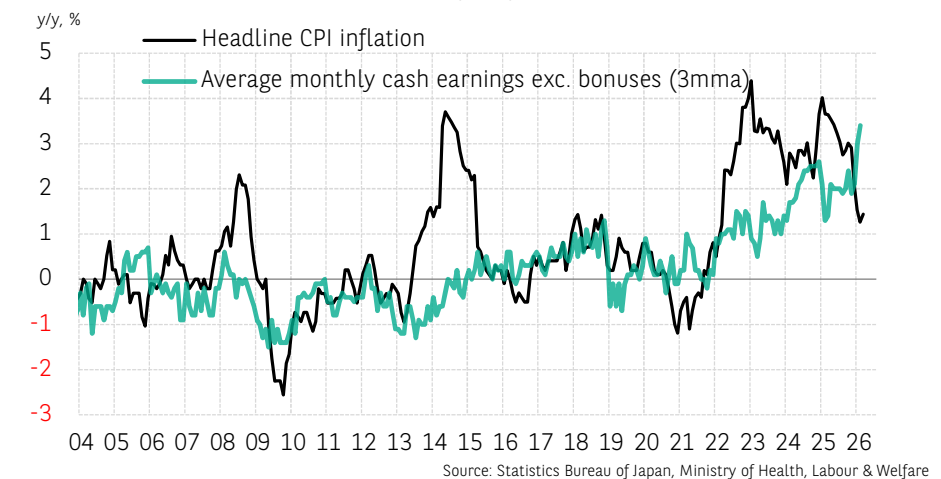
Eurozone: wages growth and inflation



United Kingdom: wages growth and inflation



Japan: wages growth and inflation



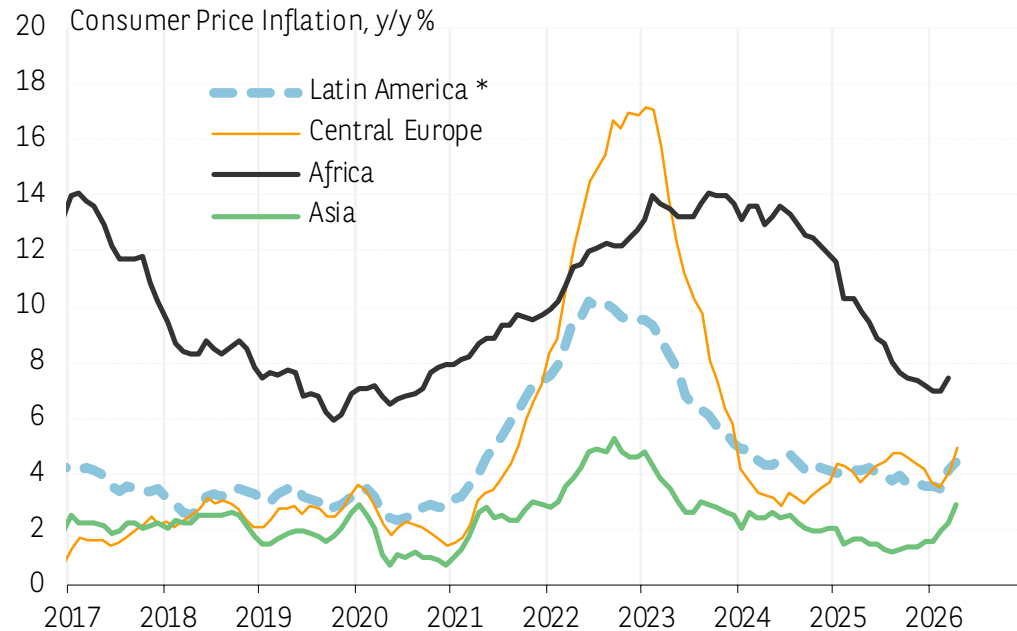
Emerging Economies:

The inflationary impact of the energy shock is spreading rapidly, though still moderately, across emerging economies.



Inflation dynamics in emerging economies: degree of generalisation

Emerging countries: Average inflation rates by region



Source: Central banks, Macrobond, BNP Paribas

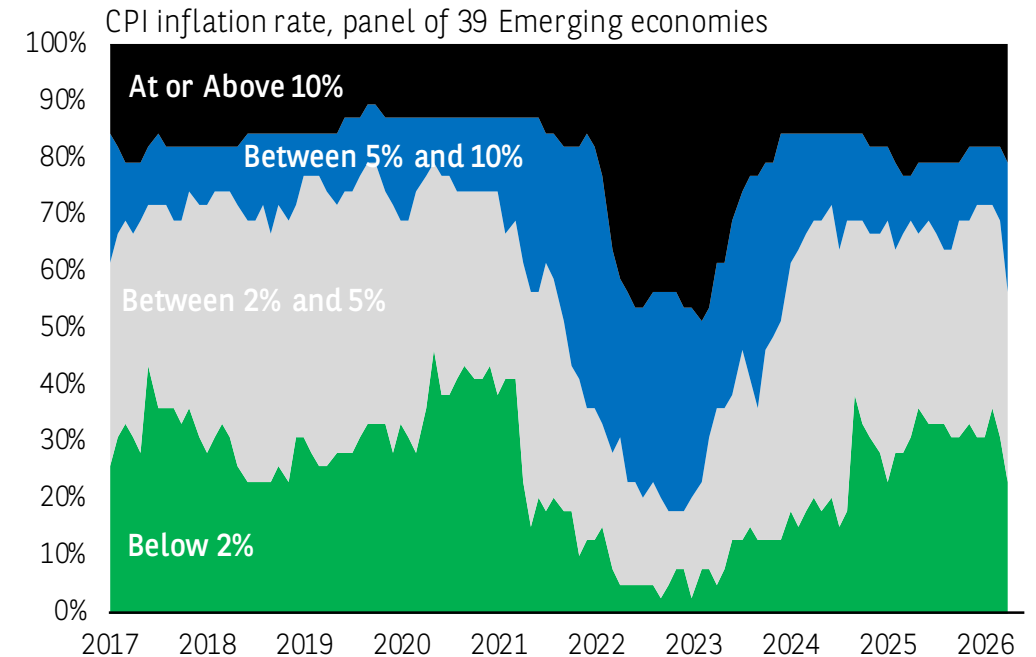
* Latin America: Brazil, Chile, Colombia, Mexico, Peru.

Central Europe: Bulgaria, Croatia, Czech Rep., Hungary, Poland, Romania, Slovakia.

Afrique: Algeria, Angola, Egypt, Kenya, Morocco, Nigeria, South Africa, Tunisia.

Asia: China, Hong Kong, India, Indonesia, Malaysia, Philippines, Singapore, South Korea, Taiwan, Thailand, Vietnam.

Emerging countries: Widespread increase in inflation pressures



Source: Central banks, Macrobond, BNP Paribas

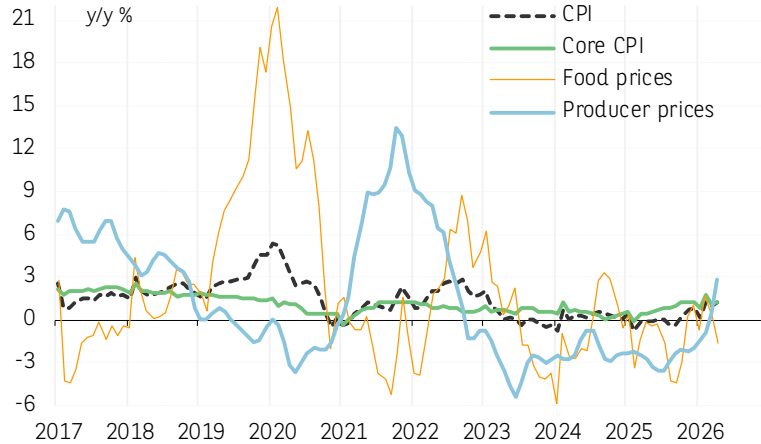


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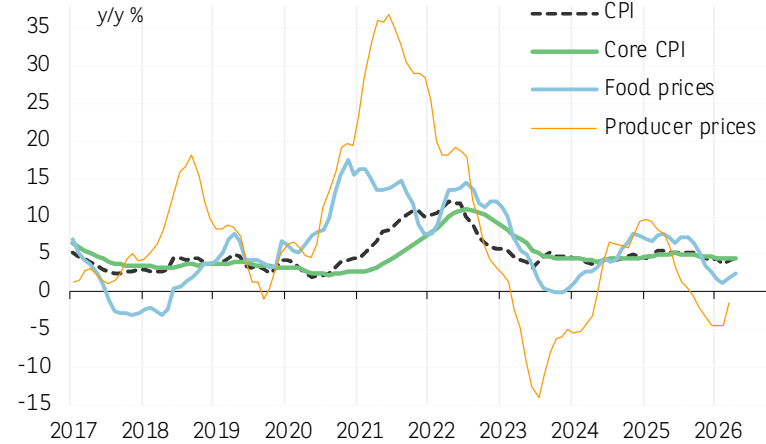
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Dynamics and breakdown of inflation in six large emerging economies

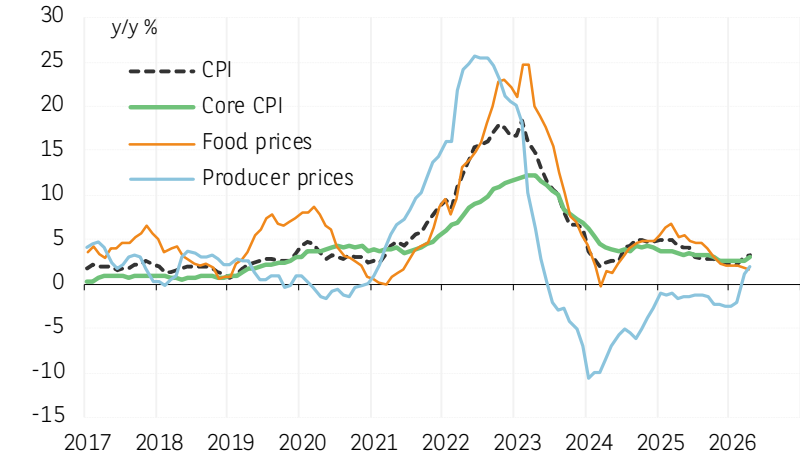
China



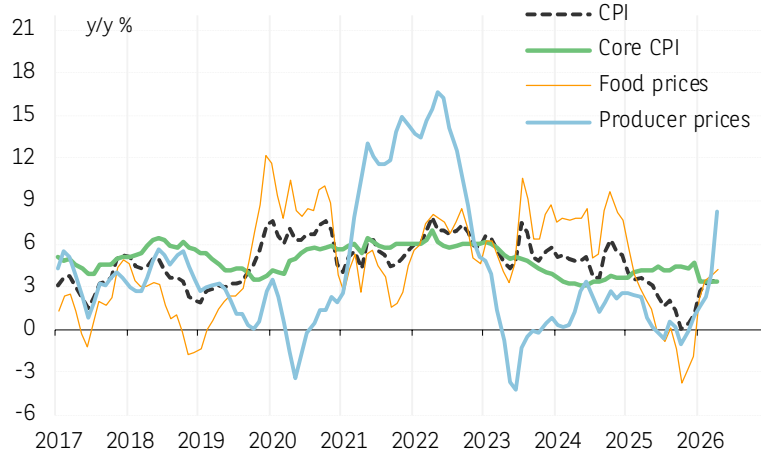
Brazil



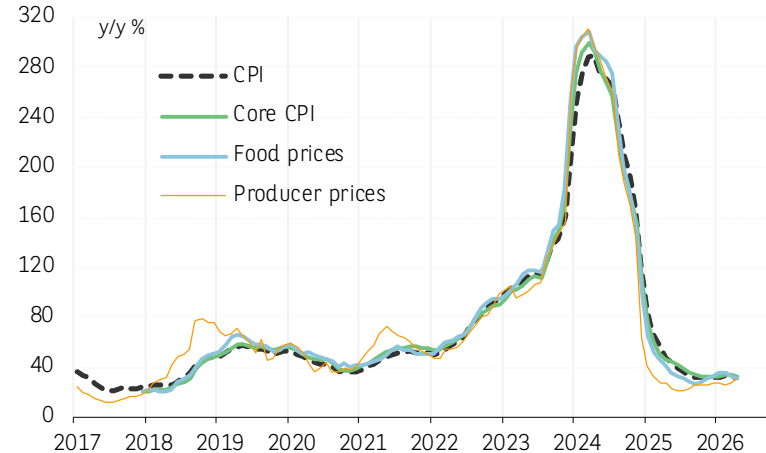
Poland



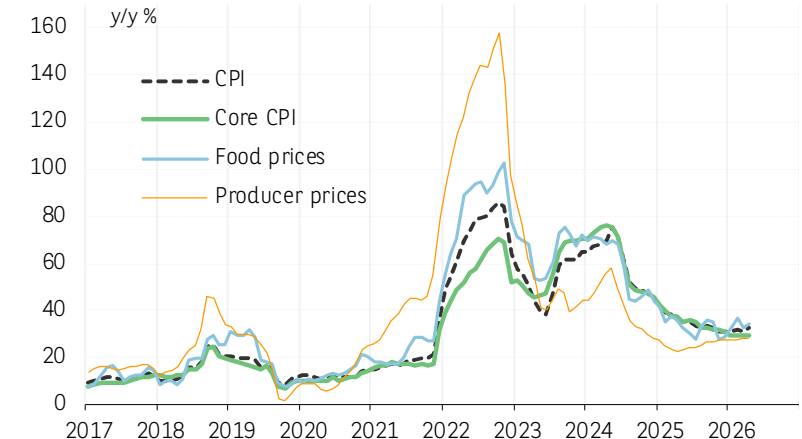
India



Argentina



Türkiye



Source: Central banks, Macrobond, BNP Paribas



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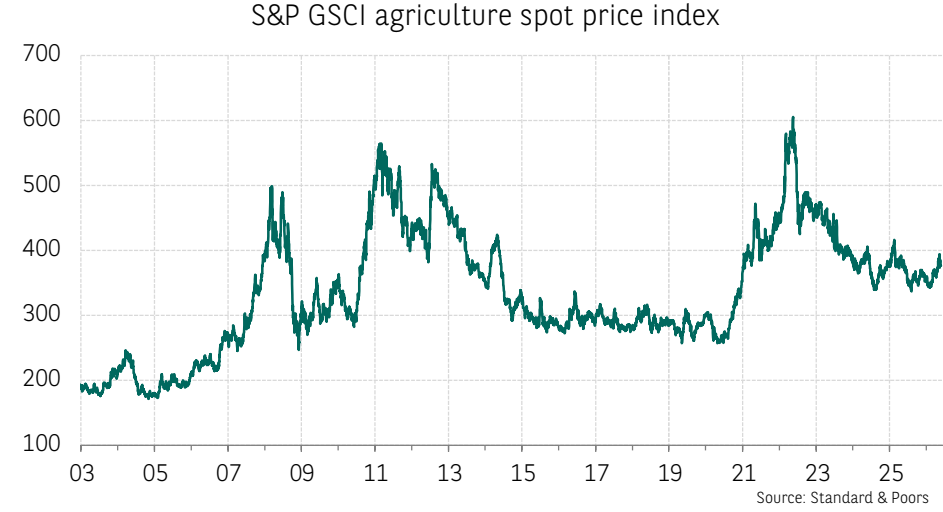
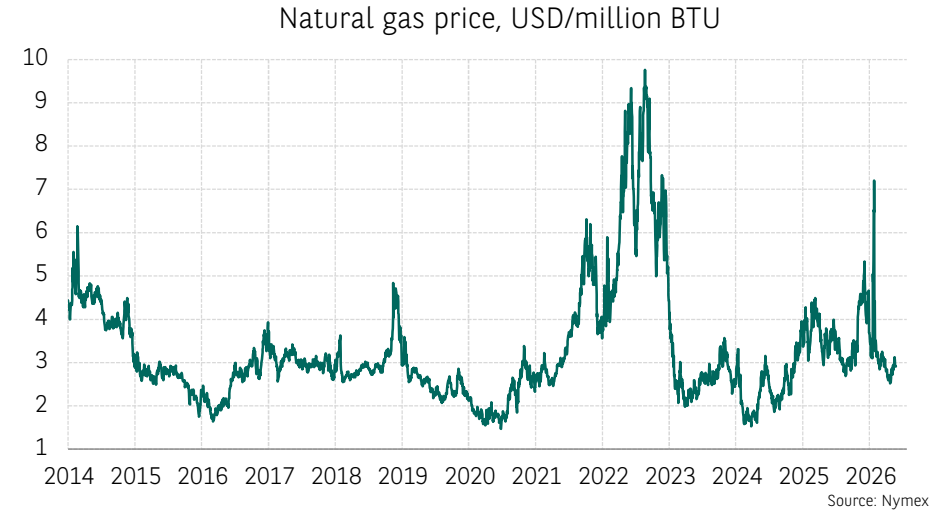
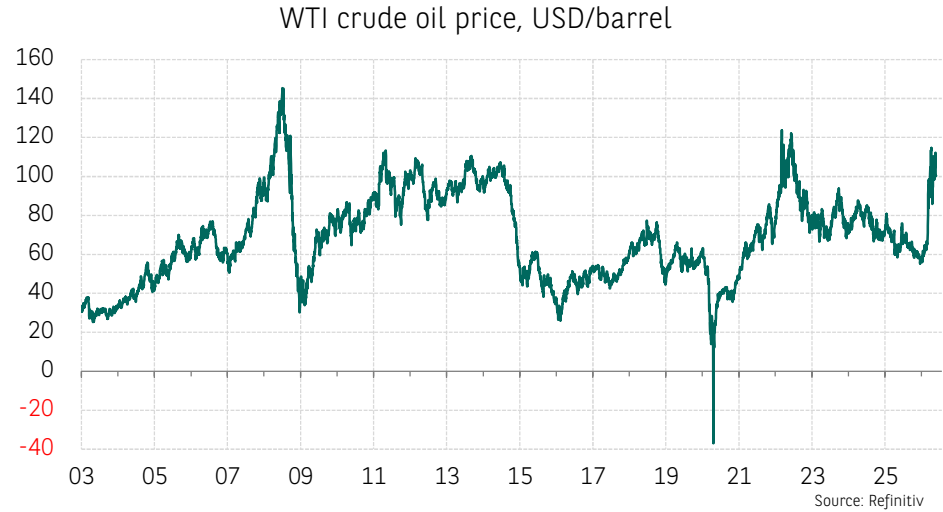
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Commodities:

Commodity prices remain high, but are stabilising.



Commodities



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UNITED STATES: LABOUR PRODUCTIVITY GROWTH SET TO CONTINUE

Anis Bensaidani

The outperformance of US growth is underpinned by productivity gains that are significantly higher than those of the previous decade. This acceleration is due more to the spillover effects of past investments and post-pandemic changes (such as remote working) than to artificial intelligence (AI). The roll-out of AI is too recent for productivity gains to have already made their mark at the macroeconomic level. In the medium term, however, AI is expected to support the upward trend.

Productivity is driving US growth

Since 2022, US growth has proved resilient in the face of a succession of shocks, including inflation, monetary tightening and tariffs. On an annual average basis, growth has consistently outperformed its long-term rate (1.8% according to the Congressional Budget Office [CBO] and the IMF). According to our forecasts, this strength is set to continue in 2026 and 2027 (see [EcoPerspectives United States: Growth and Full Employment tested by Uncertainty](#)), with strong productivity gains being the key driver. Following a temporary surge linked to the pandemic crisis (which is depicted as a “bump” on the chart before correction), hourly labour productivity growth reached an annual average of +2.4% between 2023 and 2025, compared with +1.3% between 2014 and 2019.

The delayed impacts of past investment are fuelling productivity gains

Investment in AI is a powerful driver of current US growth (see [Chart of the Week United States: a “K-Shaped” investment](#)). However, this momentum simply extends a trend from the previous decade, which was already driven by digital sectors. It is therefore likely that the current increase in hourly productivity is primarily the result of past investments. The IMF also notes a concentration of productivity gains in sectors with “the highest investment in intellectual property” (IMF).

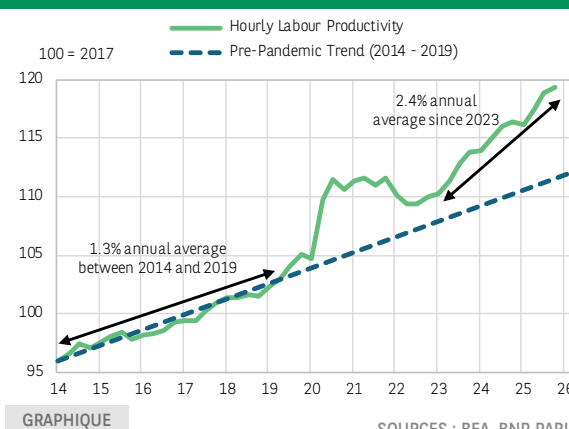
The role of changes in the labour market

Changes in the labour market complete the picture. The first evolution is remote working: according to WFH Research, 27% of paid working days were carried out from home in 2025, compared with an average of 6.2% between 2016 and 2019. However, the Bureau of Labor Statistics (BLS) identifies a positive correlation between the adoption of remote working and productivity growth ([Beyond the Numbers, 2024](#)), which is linked to the aforementioned investment in digital technology. Indeed, Maria D. Tito ([FEDS Notes, 2025](#)) sees a link between the ‘ability to work remotely’ and ‘technological trends’ that have improved the remote working experience. Two further developments in the labour market are considered to be conducive to productivity: a marked increase in business start-ups and higher worker turnover’ ([IMF Working Paper, 2024](#)).

Will AI sustain this trend in the long term?

Expectations of future productivity gains driven by AI underpin the current investment cycle. US institutions are showing a moderate level of optimism regarding the degree of support AI is expected to provide. The Fed has raised its median projection for long-term GDP growth to 2.0% in Q1 2026 (+0.2 percentage points, the highest increase since 2016). As for the CBO, it considers the adoption of generative AI to be a ‘modest’ contributor to productivity and growth in its 10-year outlook ([CBO, 2026](#)). These estimates focus primarily on the impact of AI on growth through the ‘supply’ channel and productivity gains. Additionally, we must consider the ‘demand’ channel already at work through current business investments and household consumption expenditure which are supporting growth.

United States: sharp acceleration in productivity compared with the pre-Covid period



Completed on 22 May 2026

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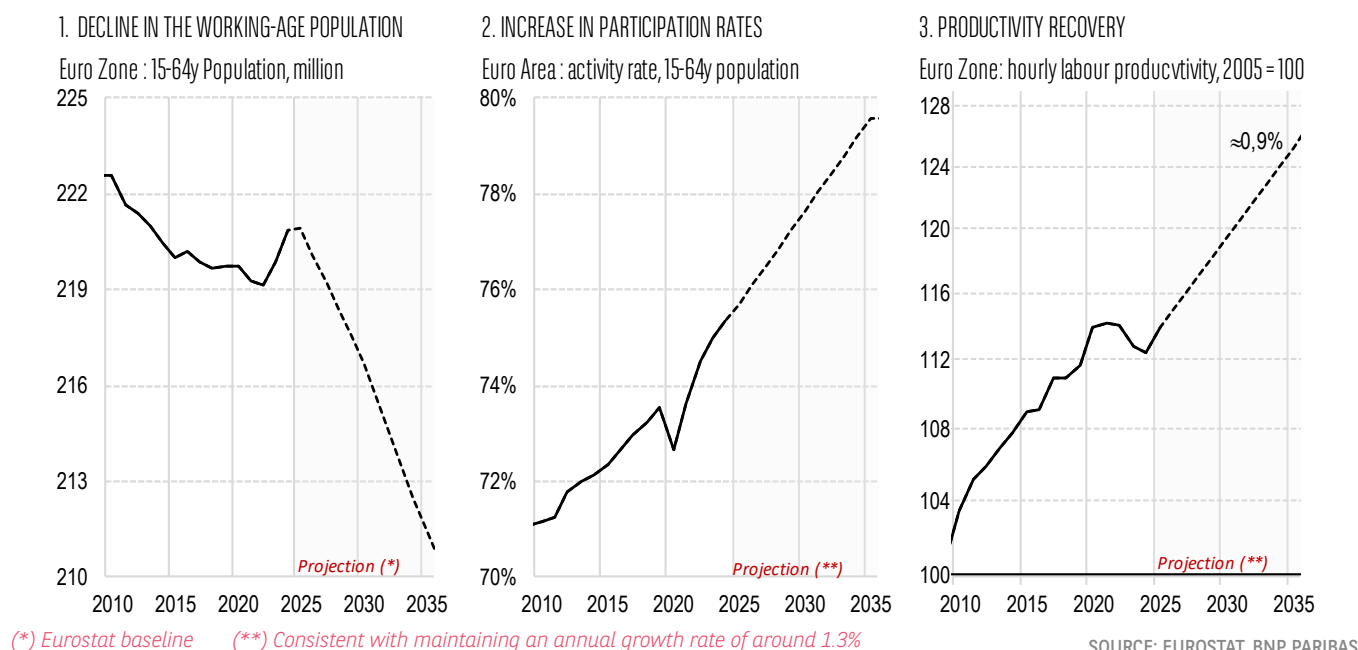
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MAINTAINING POTENTIAL AS WE AGE: THE CASE OF THE EUROZONE

The Eurozone is experiencing rapid population ageing, which, at first glance, does not inspire much optimism regarding its growth prospects. However, the decline in its working-age population can be countered by effective migration policies (as seen in Italy and Spain), as well as by an increase in labour force participation rates. Furthermore, much will depend on a recovery in productivity, which experienced a sudden stop following the Covid-19 pandemic.

MAINTAINING GROWTH MOMENTUM IN THE EUROZONE: THE FACTORS INVOLVED



Population ageing is a phenomenon seen in all countries, both developed and emerging, and is fundamentally a positive development. It reflects the fact that, due to advances in medicine and improvements in living and health conditions (such as the expansion of vaccination coverage, water supply and electricity networks), life expectancy is rising. Globally, life expectancy at birth has increased from 46 years in 1950 to 73 years in 2024; in Western societies, it surpasses 80 years.

However, the ageing of populations is also attributed to declining birth rates. Globally, the fertility rate (the average number of children per woman) has been in almost continuous decline since the early 1970s. In the Eurozone, it fell below the natural replacement level as early as 1975, reaching a record low of 1.3 in 2024.

As the large post-war generations enter their senior years, they are not being replaced by a comparable number of younger individuals. According to Eurostat, people aged 65 and over are projected to account for more than a quarter of the Eurozone population by 2035 (numbering 95 million) compared with just 15% in the early 1990s¹.

Even when immigration is taken into account, the so-called 'working-age' population (those aged 15-64) is expected to see an accelerated decline (see below).

Under these circumstances, the risk repeatedly highlighted by the 'Draghi' report² is that Eurozone will struggle to generate sufficient wealth (in terms of GDP) to meet the challenges that lie ahead (such as the green transition, rearmament, and ensuring the sustainability of healthcare and pension systems).

Its so-called 'potential' growth – defined as the maximum rate at which its economy can grow without generating inflationary pressures – is presently estimated at 1.3% per year. But what about the future? The answer to this question typically involves examining the two key factors that drive economic growth: on the one hand, the total number of hours worked, and on the other, the productivity of each of those hours (as GDP is simply a combination of the two).

1 See Eurostat, 'EUROPOP' database, available here: [Database – Population and demography – Eurostat](#). The estimates presented here are based on the central projections from the 2023 version of the EUROPOP database.

2 See Draghi M. (2024), *The Future of European Competitiveness*, September.



WORK MORE?

From a macroeconomic perspective, 'working more' does not necessarily translate in an increase in individual working time. In fact, as technological progress occur and lead to productivity gains, working hours per head often decrease. During the year 2025, an employee in the Eurozone will have worked 120 hours less on average than in 1995, while simultaneously generating an additional €15,000 in GDP (at constant 2025 prices).

If the total number of hours worked is nevertheless increasing, it is due to a growing number of individuals participating in the workforce. In the Eurozone, the labour force participation rate (which refers to the proportion of the population within a specific age group that is either in employment or actively seeking employment) is on an upward trend. Among 15-64 year-olds, this rate has increased by nearly 6 percentage points over the past two decades, reaching nearly 76% in 2025, a figure that exceeds that of the United States (73.7%). It is also rising among those aged 65 and over, although it remains below the OECD average.

This can be seen as the result of structural measures taken across Europe, which have included the relaxation of labour market regulations, notably to encourage the hiring of young people; raising the statutory retirement age and enhancing vocational training to boost the participation of older workers; and promoting women's participation in the workforce, in line with the objective set out in the Treaty of Lisbon.

Despite the ageing and shrinking of its working-age population, Eurozone has not yet seen a decline in the number of people in work (see *Chart 1*). Looking ahead, however, the question remains, especially as the demographic landscape is becoming increasingly challenging. Some countries, such as Italy and Spain, are already opting for greater immigration³, which remains a key factor in economic projections for the next ten to fifteen years (since they focus on populations that are already born). In its central scenario for 2035, Eurostat does not foresee a decline in net inflows of foreign workers into the Eurozone, which are expected to remain at around 1 million per year (*i.e.* the average over the last ten years, excluding the exceptional influx of refugees from Ukraine). Based on this premise, the working-age population is still expected to decline: *ceteris paribus*, we estimate that it would fall by between 5 and 6 million people by 2035. Maintaining a positive trend therefore requires a continued rise in labour force participation rates, which cannot be simply decreed but depends on public policy decisions, which by their very nature are rarely easy to implement.

A DEMANDING ROADMAP

Assuming that efforts to integrate or retain people in the labour market continue at the same pace, labour force participation rates for those aged 15-64 and those aged 65 and over are projected to reach 80% and 10% respectively by 2035 (*Chart 2*). Although these targets may appear daunting for the Eurozone as a whole, they have in fact already been surpassed in Germany; by contrast, France stands out for its low participation rate among older people (4.4% for those aged 65 and over).

The roadmap has its local nuances and is not without its challenges; nevertheless, it offers an alternative to a future that could otherwise be rather bleak. Under the conditions outlined above, the 'Euroland' labour force would no longer be destined for decline, but would continue to grow, albeit at a slower pace (+0.3% per year between 2025 and 2035, compared with +0.7% per year between 2015 and 2025).

The decline in structural unemployment is a fairly widespread trend (in France, it is estimated to have fallen by 1.3 percentage points over the past decade⁴), and its continuation could further improve the outlook. By targeting an unemployment rate of 5% in the Eurozone by 2035 (down from just over 6% today), employment growth would exceed that of the labour force, standing at +0.4% per year. A conservative estimate regarding individual working hours suggests a similar rate of growth in the total number of hours worked (+0.4% per year). While this trend remains positive, it would still be slower than the previous decade's rate (+1% per year from 2015 to 2025).

WORKING MORE EFFICIENTLY?

To remain on a growth trajectory of +1.3% per year, or even higher, the Eurozone ultimately has no choice but to sustainably improve hourly labour productivity, which has stalled since the Covid-19 pandemic. The long-term goal should be at least +0.9% per year, which, once again, cannot be mandated by decree but is contingent on political decisions, which the Draghi report has done much to highlight. In line with the work of Philippe Aghion, winner of the 2025 Nobel Prize in Economics, it would be essential to promote innovation and all that facilitates it. The European Economic Simplification Act, aimed at facilitating business activity (which was recently adopted in France), is clearly part of this trend. The 'One Europe, One Market' initiative, which aims to enhance the integration of capital markets and foster the development of venture capital at EU level, is another example.

As an encouraging sign, and after years of decline or stagnation, hourly productivity in the Eurozone is reported to have recently rebounded (+1.4% in 2025 according to Eurostat estimates). The pressing question at hand is: what could be the impact of the widespread deployment of artificial intelligence (AI)?

Here, several viewpoints clash. The most pessimistic forecasts predict that, in the long run, we may see the 'end of work' – that is, the replacement of all or part of human tasks by machines, leading inevitably to increased unemployment. Conversely, the most optimistic analysts note that history is punctuated by episodes of 'creative destruction', during which waves of innovation do indeed eliminate jobs, but also create new ones that drive progress. An extensive report on the implications of AI produced by BNP Paribas Global Markets highlights that the internet revolution of the 1990s and 2000s did not result in a fundamental increase in unemployment, particularly in the United States, where it originated⁵. This results in quite optimistic conclusions: well positioned in the deployment of AI, and also poised to make significant investments through Germany, the Eurozone is likely to counterbalance the adverse impacts of its ageing population through enhanced productivity gains. Compared to a baseline 'business as usual' scenario, its GDP could potentially rise by as much as 0.2 percentage points per year over the next ten years.

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³ In Italy, a three-year decree on migration flows signed in 2025 authorises nearly 500,000 new arrivals by 2028, in addition to the 450,000 work permits already issued between 2023 and 2025.

⁴ See Banque de France (2026), *Labour market reforms and the decline in structural unemployment in France: a retrospective 2015-2025*, Bulletin No 264, May.

⁵ BNP PARIBAS Markets 360 (2026), *A Hitchhiker's Guide to the Macro Impact of AI*, Deep Dive, 15 April.



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ADVANCED ECONOMIES

UNITED STATES

The Fed is closer to tightening than to easing. Kevin Warsh has been officially appointed Chairman of the Fed by Donald Trump and unanimously elected Chairman of the FOMC by its members. He is expected to initiate a 'change of regime' regarding the measurement of inflation, communication (which will be less frequent), and the Fed's balance sheet (which will be reduced in size). The FOMC minutes of 28-29 April confirm that the "overwhelming majority" of committee members recognise that the return of inflation to target has been delayed, while the labour market and economic growth appear to be on the right track. A "majority" of participants indicated that a tighter monetary policy "would become appropriate" if inflation remains above 2%. The Minutes indicate that the members in favour of abandoning the "dovish bias" (a view recently adopted by Governor Waller) outnumbered the two dissenting votes cast during the meeting. The market probability of at least one rate hike before the end of 2026 now stands at 80%. Long-term inflation expectations have risen to 3.9% (according to the University of Michigan). *Coming up: PCE inflation and Q1 GDP (Thursday).*

EUROPEAN UNION

Trade agreements. The European Parliament and the Council have provisionally approved the trade agreement with the United States (without requiring prior compliance with US commitments), providing for the lifting of tariffs on the majority of US imports into the EU. The agreement's sunset clause will come into force at the end of 2029. The agreement may be suspended if, by the end of 2026, the US has not lifted tariffs on steel. The European Parliament is scheduled to vote on the agreement between 15 and 18 June. Furthermore, the EU and Mexico have finalised a trade agreement and a comprehensive strategic partnership.

EUROZONE

Stabilisation in confidence surveys, growth in intra-zone trade. Household confidence recovered to -19 in May (-20.6 in April). The composite PMI fell (-1.3 m/m to 47.5), partly due to one-off effects (see the comment on France), particularly in manufacturing (-0.8 m/m to 51.4), while the services PMI fell by 1.2 m/m to 46.4. The rise in input costs (+2.2 m/m to 70.5) is not being passed on to selling prices (+0.1 m/m to 56.9). The rise in negotiated wages slowed to 2.5% y/y in Q1 (3% in Q4). Exports (+2.2% m/m in March) are driven by intra-European trade. The European Commission (EC) has lowered its growth forecast to 0.9% in 2026 and 1.2% in 2027 (in line with the ECB's baseline scenario). Inflation is expected to reach 3% in 2026 and 2.3% in 2027. *Coming up: car registrations (Monday); EC survey (Tuesday).*

Germany: Improvement in confidence surveys, in May have partially reversed the pessimism seen in April. This is evident in the income prospects regarding household confidence (-29.8; +3.3 m/m) and expectations regarding the Ifo business climate (84.9; +0.7 m/m). The composite PMI stabilised in May (48.6; +0.2 m/m), driven by services (47.2; +0.3 m/m) and despite a deterioration in manufacturing (49.9; -1.5 m/m). The rise in input prices is accelerating, while the increase in selling prices is slowing down. The rise in producer prices (+1.7% y/y in April) remains confined to refined oil. Q1 growth is confirmed at 0.3% q/q, driven by exports and public demand, while household consumption stagnated and investment declined. China became the leading foreign investor in Germany in 2025, overtaking the United States. *Coming up: inflation and unemployment (Friday).*

Italy: Exports rose sharply in March, by 7.4% y/y, mainly to EU countries. *Coming up: inflation and Q1 GDP (Friday).*

France: A decline in services, robust performance in industry and construction. The INSEE business climate index stabilised at 94 in May (97 in March), while the composite PMI contracted to 43.5 in May (-4.1 m/m). Both indicators are in line for services (92.6; -1.7 m/m versus 42.9; -3.6 m/m), weighed down by the hotel industry and retail sector. However, they show a divergence in industry: +2 m/m to 102 for INSEE (bolstered by aerospace and intermediate goods); -3.9 m/m to 48.9 for the PMI (survey conducted later and affected by the reduction of two working days in May compared with May 2025). According to INSEE, activity is rebounding in construction (97, +1 m/m), following a 1.5% q/q decline in output in Q1. Sales of new homes rose in Q1 (including a 4% quarter-on-quarter increase for households). France remained the top destination for foreign investment in Europe in 2025 (AI, defence, energy, software, logistics) according to EY. Although the number of projects fell by 17%, employment levels remained stable. The government plans to increase fuel subsidies to EUR 1.2 billion, equivalent to 0.03% of GDP (an extension of sector-specific support and an increase in support for households). *Coming up: household confidence (Wednesday); GDP, inflation and employment (Friday).*

JAPAN

Strong growth in Q1, inflation moderated by government measures. GDP growth reached +0.4% q/q (+0.2pp) in Q1, driven by exports and household consumption. Export momentum continued in April (+14.4% y/y). In May, the composite PMI (51.1; -1.1 m/m), services PMI (50.0; -1 m/m) and manufacturing PMI (54.5; -0.6 m/m) all declined. Core inflation (excluding unprocessed food) fell to +1.4% y/y in April (-0.4pp), driven by energy costs (-3.9% y/y, -1.8pp m/m), while inflation in services excluding imputed rents (+1.2% y/y; -0.8pp m/m) is being moderated by favourable fiscal measures. *Coming up: industrial production and consumer confidence (Friday).*

UNITED KINGDOM

A slowdown in economic activity, employment and (temporarily) inflation. The composite PMI (48.5 in May; -4.1 m/m) is being dragged down by the services sector (47.9; -4.8 m/m). The manufacturing PMI remains stable at 53.7. Inflationary pressures on input and selling prices remain high. Household confidence rose to -23 in May (+2 m/m) according to GfK. The unemployment rate reached 5% in March (+0.1pp m/m), while employment recorded its sharpest fall in six years in April (-100,000). Wage growth, excluding bonuses, stood at 3.4% over three months (previously 3.6%). CPI inflation fell to 2.8% y/y in April (vs 3.3% in March); core inflation stood at 2.5% (vs 3.1%). The reduction in Ofgem's regulated energy price cap has limited energy inflation. Producer prices rose by 4% y/y in April (+3% in March). Markets have pushed back their expectations for the BoE's first rate hike to September (July according to our forecast). The UK has concluded a trade agreement with the Gulf Cooperation Council countries.

EMERGING ECONOMIES

Emerging market currencies after three months of war: Emerging markets have largely avoided widespread stress, although the currencies that have recorded the sharpest depreciation since the start of the conflict are predominantly Asian currencies (PHP: -5.8% against the USD between 27 February and 25 May; IDR: -5.3%; KRW: -4.8%; THB: -4.5%; INR: -4.4%), as well as the Egyptian pound (-8.4%) and the Romanian leu (-4.2% against the USD and -2.8% against the EUR).



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These countries are raising concerns among investors due to their vulnerability to the energy shock and/or deteriorating fiscal and external imbalances. The Indian and Korean central banks are considering further measures to support their currencies, while Indonesia has just raised its key interest rates.

AFRICA & MIDDLE EAST

South Africa: Inflation rebounded in April. It accelerated to 4% y/y, up from 3.1% in March, driven by transport (+4.9% y/y) and fuel (+11%), for which administered prices were adjusted in April to track international price movements. Inflation has now reached the upper limit of the central bank's target range (3% $\pm$ 1%), which may prompt a potential increase in the key interest rate as early as next week.

Egypt: The Central Bank has left its key interest rates unchanged (20% for the overnight lending rate) against a backdrop of ongoing inflationary pressures (+14.9% y/y in April), an energy crisis and the depreciation of the pound.

Morocco: Successful capital markets debut. The government raised EUR 2.25 billion. The issue was divided into two tranches with maturities of 8 and 12 years. The favourable terms underscore the strength of the Kingdom's macroeconomic fundamentals.

Kuwait and Qatar: Inflationary pressures remained contained in April despite rising food prices. Inflation is even slowing in Qatar, at 2.6% y/y, following a rebound to 4.6% in March. It stands at 2.6% y/y in Kuwait (compared with 2.1% in March).

Trade agreement between the GCC and the United Kingdom. The short-term economic impact for the Gulf states is expected to be minimal as the bulk of exports is already exempt from customs duties (hydrocarbons). However, this agreement carries significant political weight at a time when the region is facing multiple tensions (war in Iran, divergence between Saudi Arabia and the United Arab Emirates).

ASIA

Indonesia: Interest rate hike. Despite moderate inflationary pressures (+2.4% y/y in April), key interest rates were raised by 50 basis points to support the rupiah, which has fallen to historically low levels against the dollar. Further measures are expected. The depreciation of the rupiah is attributable less to the energy bill than to a combination of financial and structural factors. Indonesia is dependent on foreign portfolio investment to finance its current account deficit and public financing needs. The growing risks of fiscal slippage (exacerbated by the energy subsidy policy) and issues related to governance under the Prabowo administration are two major sources of concern. The government's recent decision to tighten its control over exports of raw materials (nickel, coal, palm oil) has further alarmed investors.

Vietnam: Trade balance in the red. Exports of goods remained robust in April (+22.2% y/y in value terms, following 18.6% in Q1 2026), driven by technology goods, yet imports rose more rapidly (+35.7% in April, following +27.2% in Q1) due to rising energy costs. The trade balance has slipped into deficit (-USD 7.5bn over the first four months of 2026, compared with +USD 4.3bn over the same period in 2025). The dong has depreciated by just 1.2% against the USD since 27 February, supported by central bank interventions and buoyed by sustained strong export and FDI prospects. Vietnam's current account is expected to remain in surplus this year. However, foreign exchange reserves are quite limited to absorb the rise in hydrocarbon imports, and there is a significant risk of a rapid depreciation of the VND.

EMERGING EUROPE

Türkiye: New financial tensions. On 21 May, an appeals court in Ankara overturned the results of the 2023 congress of the Republican People's Party (CHP). This ruling invalidates the election of Özgür Özel as CHP leader and threatens to plunge the main opposition party into turmoil.

This announcement prompted non-resident investors to sell off equities and bonds. So far, the impact on the exchange rate and the risk premium has been limited: the lira fell by 0.8% against the dollar, and the CDS spread did not widen beyond 245 basis points. However, this announcement is fuelling market jitters, which have been particularly pronounced since the central bank released its inflation report last week, revealing an upward revision to its inflation forecasts.

LATIN AMERICA

Bolivia: Cabinet reshuffle on the horizon. After several weeks of heightened tension, President Rodrigo Paz, who has been in power since November 2025, has announced that a cabinet reshuffle is expected to take place in the coming days. In February, the World Bank announced its support for the new government's economic stabilisation programme (including reform of the hydrocarbons sector to attract foreign investment). The economic situation has deteriorated significantly, with ongoing shortages of dollars and fuel, while rising inflation (14.2% y/y in April) is exacerbating social tensions surrounding the government's reforms. In its April forecasts, the IMF highlighted that Bolivia was one of the region's most fragile economies. It forecasts a 3.3% contraction in GDP and average inflation of around 21% in 2026.

Chile: GDP contraction in Q1. The economy contracted more sharply than expected (-0.5% y/y). The decline in investment and industrial activity outweighed the rise in public spending and the strength of private consumption. However, the central bank's primary concerns continue to revolve around inflationary risks linked to the energy shock. Inflation reached 4.0% y/y in April, and it is likely that the key interest rate will remain unchanged at 4.5% at the meeting on 16 June.

COMMODITIES

On Monday, 18 May, the United States announced a 30-day extension related to the lifting of sanctions on Russian crude oil stored at sea (following the expiry of the previous extension on 17 May). This authorisation applies only to barrels of oil already loaded onto ships as of 17 April, and does not permit the loading of additional barrels. The impact on the market is expected to be limited. At the same time, the United Kingdom has also eased sanctions on imports of petroleum products (kerosene and diesel) from third countries, which are refined from Russian crude oil. These sanctions were introduced in October 2025 and are in addition to those targeting direct purchases of crude and refined oil imported from Russia, which remain in place.

Commercial stocks and strategic oil reserves in the United States continue to face significant pressure to sustain high levels of exports. The drawdown in the Strategic Petroleum Reserve reached an historically high rate for the second consecutive week, with a decline of 9.9 million barrels between the weeks of 8 May and 15 May (out of a total stock of 374 million).

The price of Brent fell below \$100/b on the morning of 26 May (\$99.3/b), down 11.5% compared with Monday, 18 May.



BLOCKADE OF THE STRAIT OF HORMUZ: THE OIL MARKET SOON TO RUN OUT OF OPTIONS

Pascal Devaux

Global oil market will soon have lost more than one billion barrels of crude and petroleum products

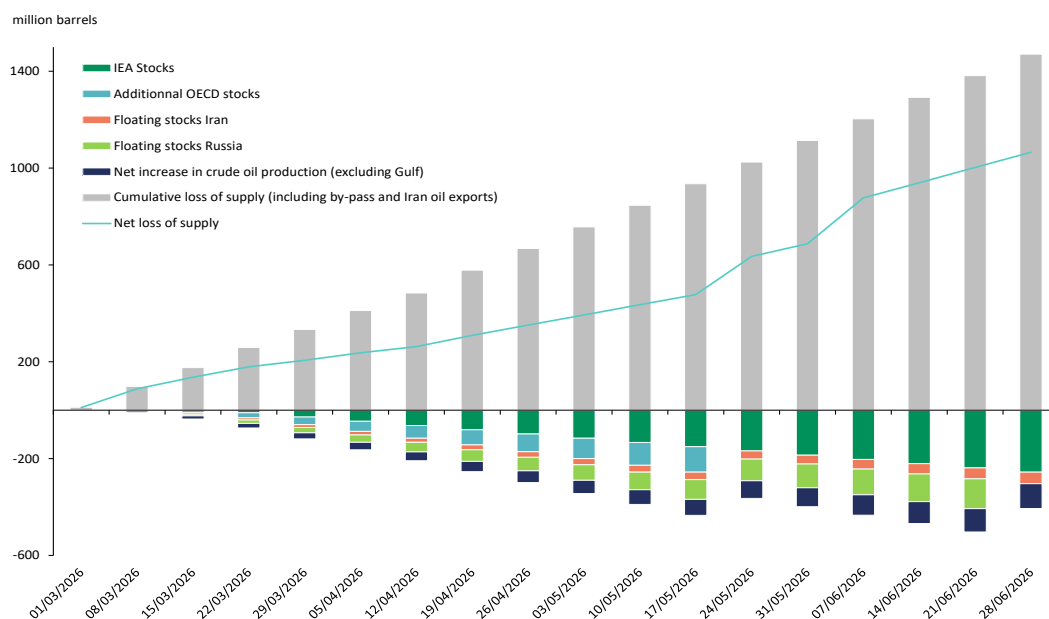


CHART 1

SOURCE: INTERNATIONAL ENERGY AGENCY (IEA), BNP PARIBAS

The blockade of the Strait of Hormuz over the past two and a half months has significantly reduced the amount of oil available globally. The use of regional bypass, and the release of commercial stocks and strategic reserves are only partial and temporary solutions. Without the restoration of oil flows through the strait, the growing shortfall in petroleum products will accelerate the rise in oil prices and destruction in global oil demand.

A considerable volume of oil is out of the market despite the use of alternative routes

Under normal circumstances, nearly 19.8 million barrels per day (mb/d) of crude oil and refined products pass through the Strait of Hormuz. Due to the blockade, part of this flow is being diverted through existing alternative transit infrastructures. Around 7 mb/d are thus being diverted through various bypass pipelines¹.

In addition, there were 2 to 3 mb/d of Iranian exports via the Strait until the US blockade was imposed on April 13th. Taking these bypass capacities into account, the volume of oil production absent from the market is estimated at around 9 mb/d, which remains considerable.

Massive stock drawdowns offer temporary relief

In response to this growing oil supply shortfall, the International Energy Agency (IEA) announced on March 11th the coordinated release of strategic stocks by member countries. Totalling a record 426 million barrels, these stocks consist of 70% crude oil and 30% refined products. Uncertainties remain regarding the pace at which these stocks will be released, but our assumption is at a rate of 2.5 million barrels per day. Added to these volumes are a further 100 million barrels of oil mobilised by other OECD member countries (Japan and South Korea). At the same time, the United States has temporarily eased certain sanctions on Russia's seaborne shipments (which may now be traded until the end of June) and Iranian shipments already in transit (thus allowing access to floating stocks). Finally, increased production in other oil-producing countries (the United States, Canada, Argentina, etc.) is also helping to ease global supply pressures.

Thus, the estimate of the net quantity of oil lost to the market takes into account the capacity to bypass the strait as well as the support measures implemented (chart 1).

¹ The East-West pipeline from Saudi Arabia to the port of Yanbu on the Red Sea, the Habshan-Fujairah pipeline from the United Arab Emirates to the Gulf of Oman, and the Kirkuk pipeline used by Iraq to the port of Ceyhan in Türkiye.

Is the surge in US exports sustainable?

Other external factors are helping to limit, at least temporarily, the effects of the current market disruptions and to contain price rises to a certain extent.

i/ Firstly, market disruptions and rising prices are reducing global oil demand. According to the latest IEA report, it could contract by 2.4 mb/d during Q2 2026 and decrease by a total of 0.42 mb/d over the year 2026 compared to 2025, reaching 104 mb/d.

ii/ Secondly, the United States has significantly increased its exports of crude oil and refined products. These exports reached an all-time high of 14.2 mb/d during the week of April 24th, compared with an average of 10.7 mb/d in 2025, according to the US Energy Information Administration (EIA). However, the sustainability of this US effort is raising questions. Maintaining a high level of exports implies increased drawdowns on domestic stocks (*chart 2*), which are falling at a very high rate (an all-time high during the week of May 8th). This is unsustainable in the short term, and could fuel market concern.

Furthermore, according to the US EIA, the retail price of gasoline in the United States now exceeds USD 4.50 per gallon. However, this trend is economically costly, particularly as a seasonal rise in fuel consumption begins. Furthermore, it could also be costly from a political perspective as November mid-term elections approach, at a time when US households' purchasing power is already weakened by persistently high inflation. It is therefore uncertain whether the US will continue this policy of sharply increasing exports for more than a few weeks, particularly for refined products.

iii/ Finally, the decline in Chinese imports of oil is limiting upward pressure on global prices, without, however, drastically reducing China's commercial stocks and strategic reserves (estimated at 1.4 billion barrels). According to some estimates, China has reduced its crude oil imports by an average of 3.6 million barrels per day (they are now reportedly at 8.1 mb/d compared with 11.7 mb/d before the war). This is notably the result of a decline in activity in the petrochemical and refining sectors in April (year-on-year). This contraction is likely to be temporary.

Markets are taking stock of the shock

Markets now seem to be taking the full extent of the current supply shortfall more clearly: nearly a billion barrels are estimated to be missing since the closure of the strait. This is particularly reflected in the narrowing of the spread between the price of a barrel of 'physical' oil (dated Brent, the nearest physical delivery) and the Brent futures price on international markets (now less than USD5 per barrel). Furthermore, Brent futures prices (maturing in December 2026) are trending upwards and remain close to USD92 per barrel, having reached their highest level on 4 May (*chart 3*).

Temporary solutions are running out of steam, raising market concerns

Tensions in the global oil market will continue to rise to the point that the gap between supply and demand becomes too wide for temporary solutions to be sufficient to mitigate it. For the United States, the drawdown of strategic reserves (Strategic Petroleum Reserve) and commercial reserves held by private companies could heighten concerns from the end of Q2 onwards.

The European Union, for its part, could face an abrupt market adjustment for refined products in June (through supply disruptions). Around half of the barrels to be delivered via the oil stocks released by the IEA to supply the market remain available. Yet the seasonal rise in consumption of petroleum products during the summer in the northern hemisphere risks rapidly depleting them. Therefore, the possibility of bringing an additional volume of oil to the market could be evoked, but it would be at the risk of reducing stocks to an alarming low level (which is difficult to estimate at this stage) and could push the market even further towards extreme pricing.

Pascal Devaux, with the help of Clara Ngo Ba Do (intern)
pascal.devaux@bnpparibas.com

The massive US stock release will be difficult to maintain in the short run

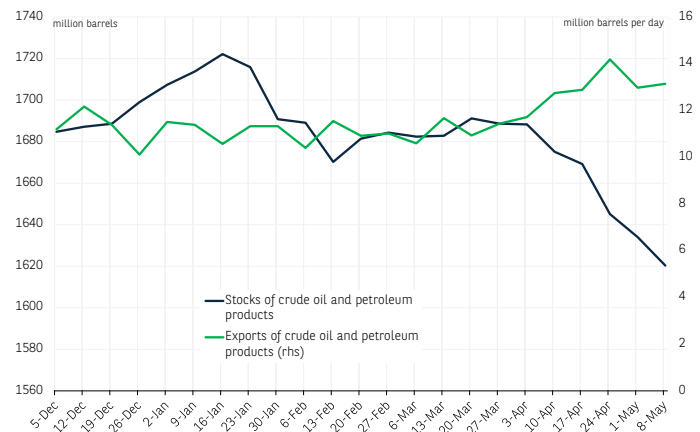


CHART 2

SOURCE: EIA, BNP PARIBAS

The energy shock is better priced by the market

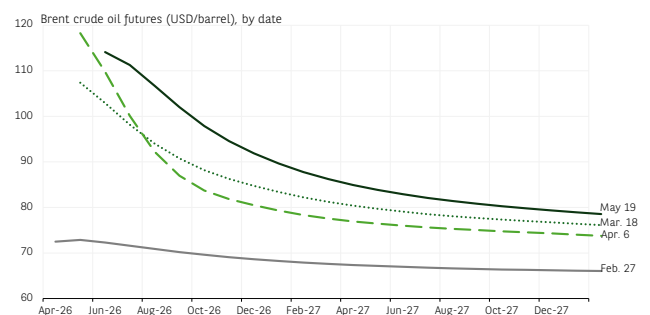


CHART 3

SOURCE: BLOOMBERG, BNP PARIBAS



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Energy shock: Dashboard 2026 vs. 2022



Energy shock: Dashboard 2026 vs. 2022

Will the same causes produce the same effects? In other words, will the war in Iran and the resulting surge in oil and gas prices lead to an inflationary shock comparable to that seen in 2022? Will their negative effects on growth be the same as those for the war in Ukraine and the subsequent energy shock? Although there are similarities, there are many uncertainties.

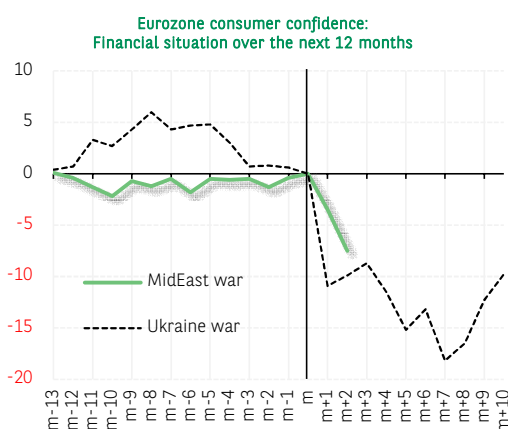
The ongoing energy-led inflation rise should be less strong, as demand is less dynamic and supply is less constrained today compared with the situation in 2022. Conditions do not appear to be conducive to a significant propagation of the rise in energy prices. However this will need to be closely monitored as transmission lags matter, and the return to normal oil production flows will take time while the strait of Hormuz remains blocked.

In addition, central banks have learned from the inflationary shock of 2021–2023. They are ready to react more quickly to counter any spillovers, second-round effects and spiral between price increases, inflation expectations and wages. Such second-round effects are not yet visible in the data, but central banks are on alert of any warning signs.

We have selected a set of indicators to track the impact of this new energy shock — caused by the war in the Middle East — on activity and prices in the Eurozone, the United States, oil and gas markets and emerging countries, and to see how much the current situation resembles that of 2022 at the outbreak of the conflict in Ukraine.

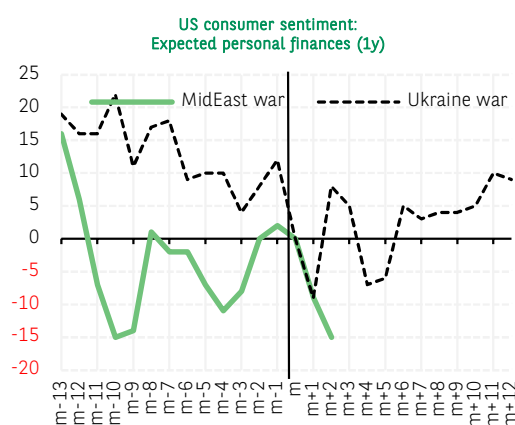
This dashboard featuring charts and comments will be updated on a monthly basis for as long as necessary.

Eurozone/US: Household confidence falters under the impact of rising energy prices



Change since m = 0 = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

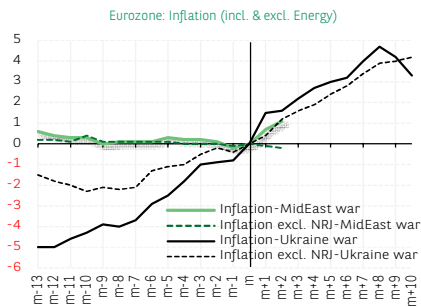


Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

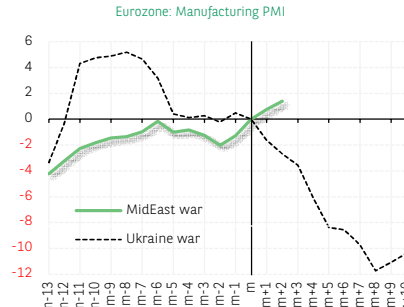
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures); the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month $m=0$, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month $m=0$.

The assessment of the available data for April is more negative than in March. Inflation rose by 1.1 percentage points in two months, an increase that is however still solely driven by the "energy" component. Excluding energy as well as excluding "energy and food," inflation recorded a new slight decline in April. However inflationary pressures are mounting, through rising input prices and — new development in April — the beginning of an increase in output prices according to PMIs surveys. The lengthening of delivery times is not a good sign either. The good news, coming from confidence surveys, is the further improvement in the business climate in the manufacturing sector (driven by stockpiling in anticipation of price increases). But it is weakened by the new sharp deterioration of the business climate in services and by the further decline in consumer confidence.

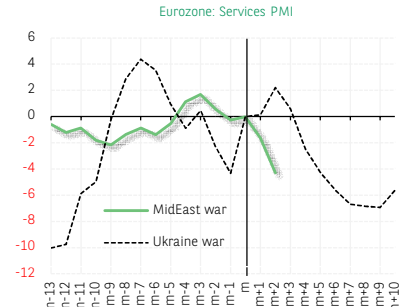
April 2026:
The inflation rise remains energy-led



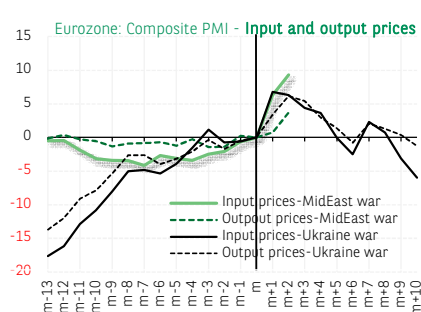
April 2026: Business confidence in the manufacturing sector remains well-oriented



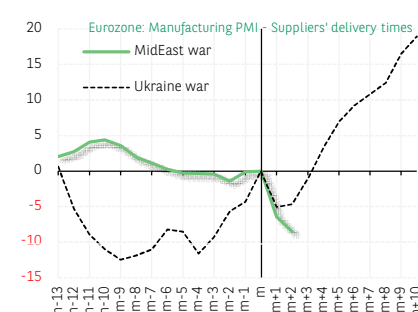
April 2026: Business confidence in services further deteriorates



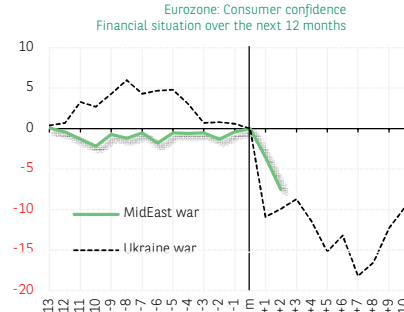
April 2026: Sharp rise in input prices and increase in output prices



April 2026: Further lengthening of delivery times, signaling rising tensions on supply



April 2026:
Sharp fall in consumer confidence



Change since $m=0$ = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas

United States: Iran war pushes inflation higher and sustains downward pressure on household sentiment

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

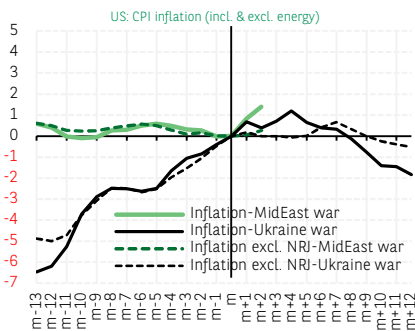
CPI inflation recorded its largest monthly increase since 2022 in March, before reaching 3.8% y/y in April (+1.4pp in two months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up only moderately.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

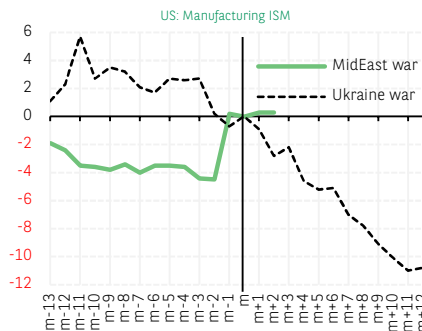
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet materially raised their price plans.

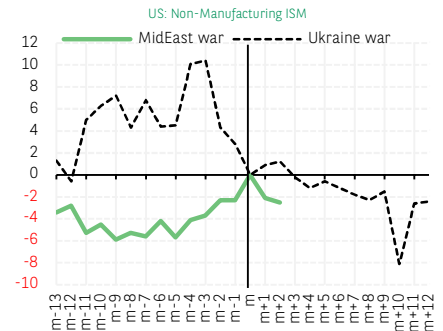
April 2026:
Energy-related inflation bounce



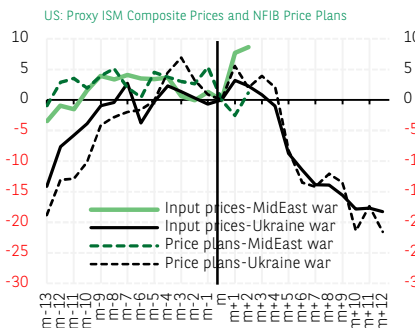
April 2026: Positive trend for manufacturing
business sentiment



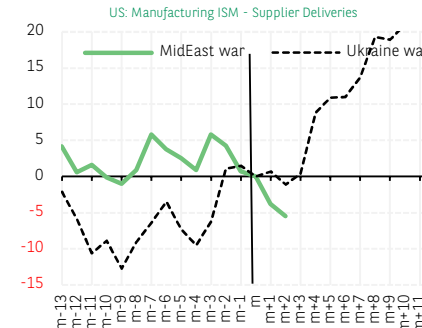
April 2026: Services business sentiment down
but still buoyant



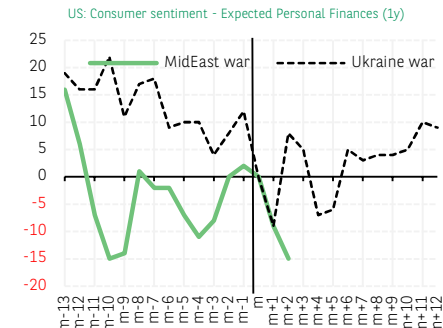
April 2026: Sharp rise in input prices, moderate
rise in price plans



April 2026:
Longer delivery times



May 2026:
Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

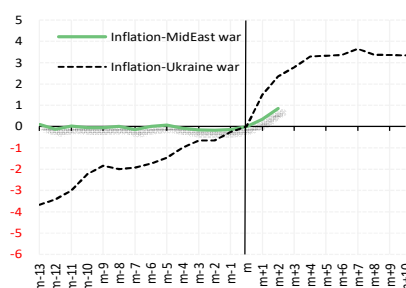
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 but the inflation shock is spreading

In April 2026, the inflationary impact of the oil price shock is spreading as the average CPI inflation rate for the main emerging economies reached 4.8% year-on-year, compared with 3.9% in February. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. However, manufacturers' opinion on the trend in input & output prices have deteriorated significantly. The contagion of oil and gas prices to fertiliser and oil-derived input prices is being felt more acutely.

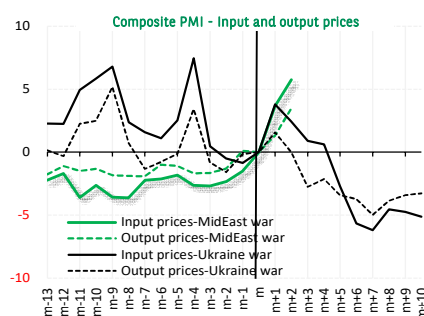
As anticipated in March, the impact on manufacturing activity is far less severe than in 2022, as the business climate has become less negative. By comparison, prior to the shock of 2022, the business climate had continued to deteriorate significantly.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment in the main emerging markets rebounded (+USD 38.9 billion) following the massive outflows in March (-USD 85.7 billion), which were revised upwards from the first estimates. The return of foreign investors to the Chinese, Taiwanese and Korean markets accounts for most of the rebound. It should be noted, however, that investment outflows from Indian markets continued. At first sight, the oil shock has generated much higher volatility in portfolio investments flows than in 2022, but volatility was concentrated in a few markets.

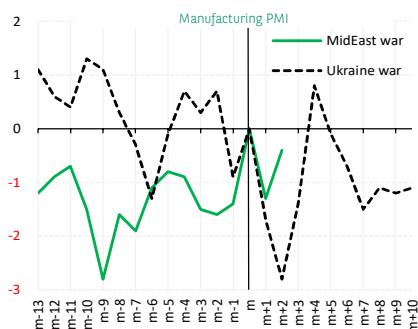
April 2026 :
A much less severe CPI inflation rebound ...



April 2026: ... but a stronger acceleration in
input and output producer prices

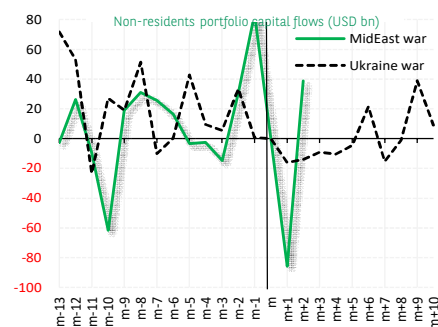


April 2026 : Better business confidence
after the March shock



Change since m = 0 = February 2026 / February 2022

April 2026 :
A marked rebound in portfolio investments



Source: National Statistical Offices, IIF, S&P Global, BNP Paribas



Oil & gas: The sharp rise in U.S. exports is providing temporary relief to the oil market, but prices remain very high

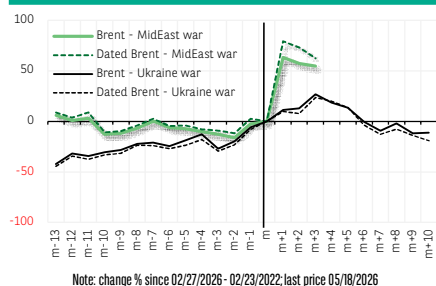
For now, European oil and gas prices appear to be reacting more strongly to the energy shock caused by the war in the Middle East than they did to the shock that followed Russia's invasion of Ukraine.

Oil: The growing loss of barrels available on the market due to the closure of the Strait of Hormuz, repeated attacks on production capacity in the Gulf, and restrictions on traffic through the Strait increase the risk of a physical oil shortage in the short term. This has led to a sharp reaction in the prices of physical barrels (dated Brent). In recent weeks, better pricing of this risk of shortage has caused the prices of futures (Brent) to converge with that of the physical barrel (dated Brent). Furthermore, the sharp rise in oil exports from the United States and, to a lesser extent, the decline in Chinese imports have eased tensions in the physical market and pushed prices lower.

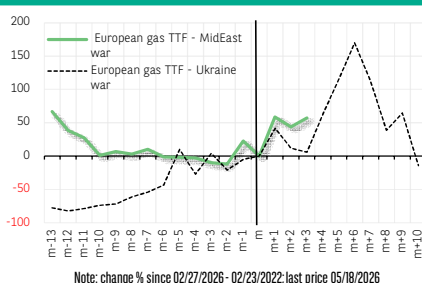
Gas: The reaction of the spot gas price in Europe (TTF) has been more moderate than that of oil. This is due in particular to 1) European countries' limited direct dependence on gas from the Gulf, 2) the reduction in European demand as winter ends, and 3) the decline in Asian demand. Nevertheless, TTF prices remain high and have trended upward over the past month due to the ongoing blockade of the Strait and the start of the restocking period in Europe.

Electricity: Unlike 2022, wholesale electricity prices in Europe have been falling since the start of the conflict. Gas prices remain an important determinant of wholesale electricity prices, but progress in decarbonation of the electricity mix since 2022 and favorable weather conditions explain this recent development.

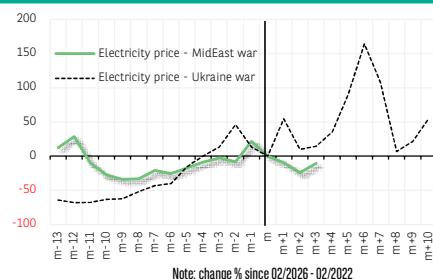
May 2026: Narrowing spread between the physical barrel price and futures price



May 2026: Rebound in LNG prices in Europe



May 2026: Wholesale electricity prices in Europe have not reacted yet



Source: Bloomberg, Ember, BNP Paribas



ECONOMIC RESEARCH

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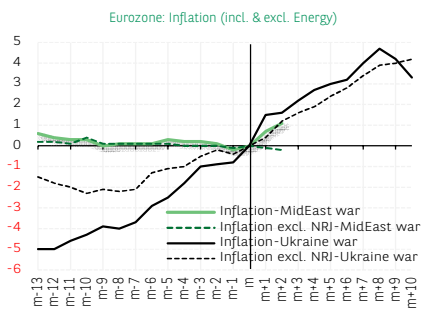


Eurozone: The inflation rise remains energy-driven, but pressures are mounting and consumer and services sector confidence is deteriorating sharply

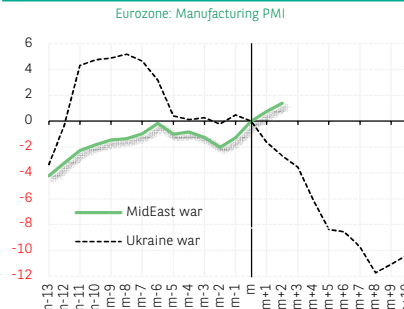
We have selected two inflation measures (with and without energy) and six survey indicators: business confidence, as measured by the PMIs in the manufacturing and services sectors; the "input prices" and "output prices" components of the composite PMI (in order to identify direct inflationary pressures); the "suppliers' delivery times" component of the manufacturing PMI (a direct indicator of possible supply difficulties and supply-demand imbalance, and therefore, indirectly, of inflationary pressures in the making); household confidence, as reflected in its "assessment of financial situation in the next 12 months" component (in order to capture the impact of inflation on purchasing power). The trends in each of these indicators are observed relative to month $m=0$, corresponding to the start of the conflict, more or less during the year that follows and the year that precedes the event. Each line does not represent the level of the indicator but its cumulative variation compared to month $m=0$.

The assessment of the available data for April is more negative than in March. Inflation rose by 1.1 percentage points in two months, an increase that is however still solely driven by the "energy" component. Excluding energy as well as excluding "energy and food," inflation recorded a new slight decline in April. However inflationary pressures are mounting, through rising input prices and — new development in April — the beginning of an increase in output prices according to PMIs surveys. The lengthening of delivery times is not a good sign either. The good news, coming from confidence surveys, is the further improvement in the business climate in the manufacturing sector (driven by stockpiling in anticipation of price increases). But it is weakened by the new sharp deterioration of the business climate in services and by the further decline in consumer confidence.

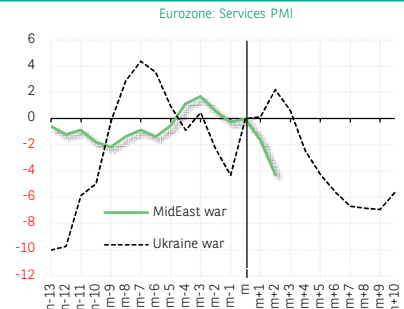
April 2026:
The inflation rise remains energy-led



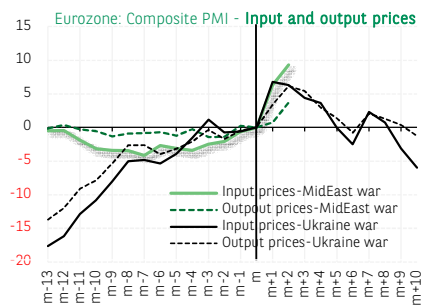
April 2026: Business confidence in the manufacturing sector remains well-oriented



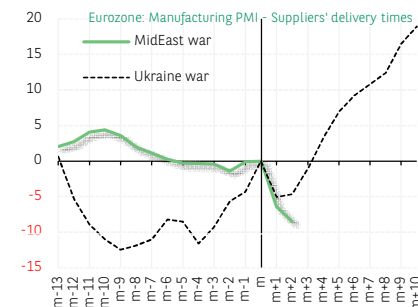
April 2026: Business confidence in services further deteriorates



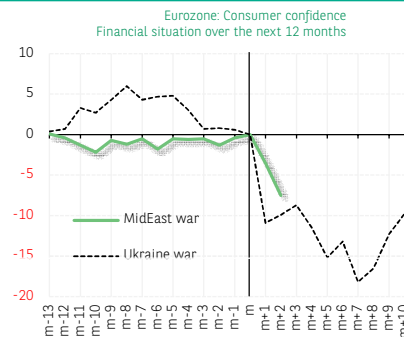
April 2026: Sharp rise in input prices and increase in output prices



April 2026: Further lengthening of delivery times, signaling rising tensions on supply



April 2026:
Sharp fall in consumer confidence



Change since $m=0$ = February 2026 / February 2022

Source: S&P Global, Eurostat, European Commission, Macrobond, BNP Paribas



United States: Iran war pushes inflation higher and sustains downward pressure on household sentiment

The Iran war delivered a quick, though relatively contained, negative impact to US activity data and surveys.

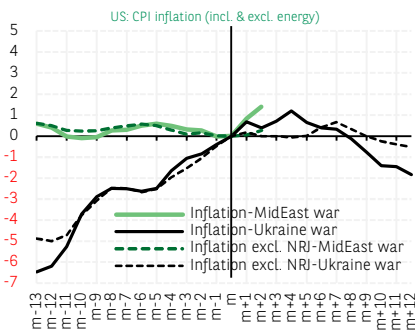
CPI inflation recorded its largest monthly increase since 2022 in March, before reaching 3.8% y/y in April (+1.4pp in two months and a highest since 2023) – almost entirely on the back of gasoline prices, with the non-energy index edging up only moderately.

Business sentiment, which was on an upward trajectory before the shock, stayed resilient but signaled a faster input-price growth (a leading indicator of inflation) and longer delivery times, both directly linked to Middle East turmoil and coming on top of the issue of tariffs.

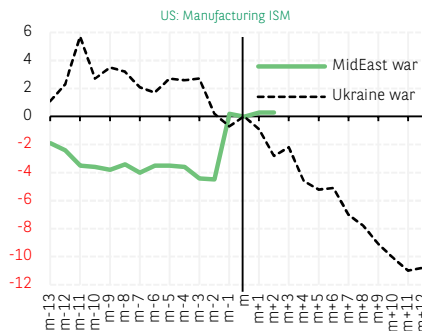
Meanwhile, the outlook of households, which were already low on optimism, has further deteriorated due to their sensibility to gasoline prices, while inflation expectations were rising.

However, macro conditions are significantly less inflationary than in 2022, and small businesses have not yet materially raised their price plans.

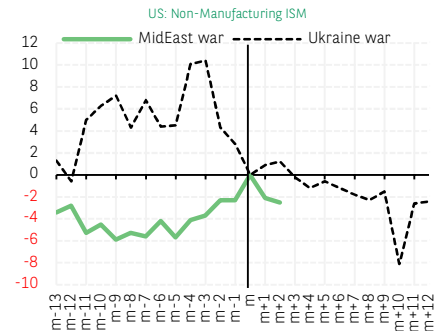
April 2026:
Energy-related inflation bounce



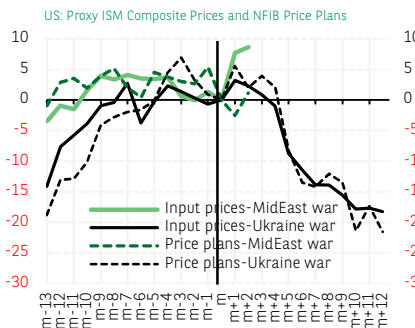
April 2026: Positive trend for manufacturing
business sentiment



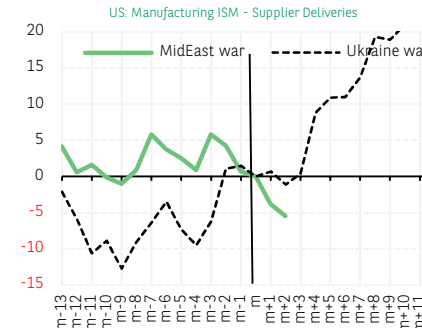
April 2026: Services business sentiment down
but still buoyant



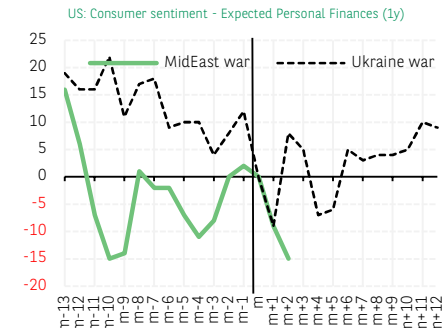
April 2026: Sharp rise in input prices, moderate
rise in price plans



April 2026:
Longer delivery times



May 2026:
Growing concerns among households



Change since m = 0 = February 2026 / February 2022

Source: BLS, ISM, NFIB, University of Michigan, BNP Paribas

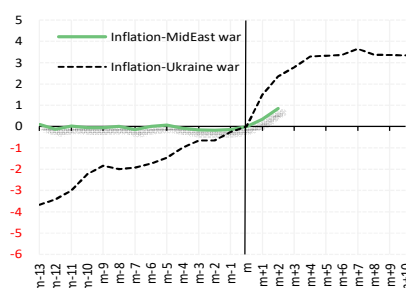
Emerging economies: Manufacturing activity seems to be holding up much better than in 2022 but the inflation shock is spreading

In April 2026, the inflationary impact of the oil price shock is spreading as the average CPI inflation rate for the main emerging economies reached 4.8% year-on-year, compared with 3.9% in February. The shock is still contained compared to 2022 due to limited spillover to agricultural and food prices. However, manufacturers' opinion on the trend in input & output prices have deteriorated significantly. The contagion of oil and gas prices to fertiliser and oil-derived input prices is being felt more acutely.

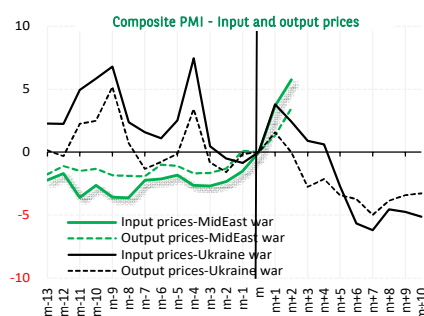
As anticipated in March, the impact on manufacturing activity is far less severe than in 2022, as the business climate has become less negative. By comparison, prior to the shock of 2022, the business climate had continued to deteriorate significantly.

According to estimates by the Institute of International Finance (IIF), non-resident portfolio investment in the main emerging markets rebounded (+USD 38.9 billion) following the massive outflows in March (-USD 85.7 billion), which were revised upwards from the first estimates. The return of foreign investors to the Chinese, Taiwanese and Korean markets accounts for most of the rebound. It should be noted, however, that investment outflows from Indian markets continued. At first sight, the oil shock has generated much higher volatility in portfolio investments flows than in 2022, but volatility was concentrated in a few markets.

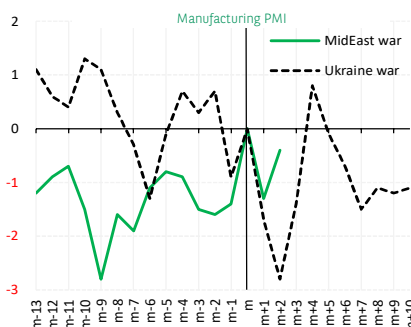
April 2026 :
A much less severe CPI inflation rebound ...



April 2026: ... but a stronger acceleration in
input and output producer prices

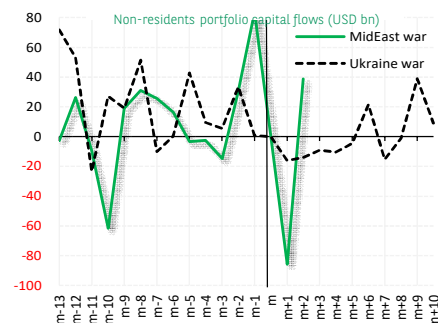


April 2026 : Better business confidence
after the March shock



Change since m = 0 = February 2026 / February 2022

April 2026 :
A marked rebound in portfolio investments



Source: National Statistical Offices, IIF, S&P Global, BNP Paribas



THE IMPACT OF THE ENERGY CRISIS ON PUBLIC FINANCES IN EMERGING ASIA

Johanna Melka

Rising subsidies should moderately widen fiscal deficits

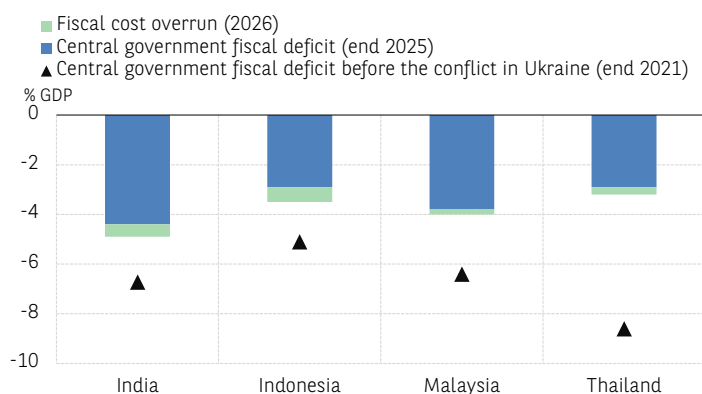


CHART 1

SOURCE: MOF, BNP PARIBAS

Indonesia: more vulnerable to rising US long-term yields

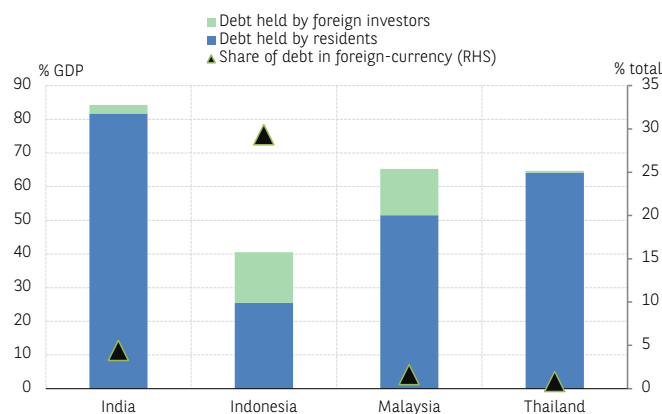


CHART 2

SOURCE: MOF, BNP PARIBAS

Emerging Asian countries are particularly vulnerable to the energy shock caused by the conflict in the Middle East. Beyond supply issues, rising prices pose a significant risk to these countries, where domestic demand is a major driver of economic growth. To limit the impact, some Asian countries (notably India, Indonesia, Malaysia and Thailand) have opted to partially subsidise energy and fertilisers. The additional cost to their public finances is expected to remain manageable provided that the average crude oil price does not exceed USD 100 per barrel over the year. However, this subsidy policy poses risks to their public finances, particularly if external financing conditions tighten. Indonesia is the country most exposed to a rise in US long-term interest rates.

Increased subsidies to contain the cost borne by households

In response to the sharp rise in international energy prices, India and Indonesia (whose growth is mainly driven by domestic demand) have kept pump prices fixed since the start of the conflict in the Middle East. Malaysia has chosen to exclusively keep stable the price of the fuel mainly used by households (RON 95). Meanwhile, Thailand, after leaving its prices unchanged in the early weeks of the conflict, has ultimately decided to target only the most vulnerable households and businesses by providing them with partial direct subsidies. India has also increased its fertiliser subsidies so as not to increase significantly production costs for farmers, at a time when a number of elections were taking place in states where the ruling party historically did not hold a majority.

Such a strategy will undermine the ongoing fiscal consolidation.

What would be the fiscal cost if the price of a barrel of Brent crude averaged USD 92 in 2026?

Asian countries are in a much more comfortable fiscal position than they were on the eve of the energy crisis triggered by the war in Ukraine in early 2022. At that time, they were just emerging from the pandemic and their fiscal deficits had reached unprecedented levels.

The impact on public finances of the increased subsidies introduced since the start of the conflict in the Middle East is expected to remain modest (see Chart 1) as long as the average crude oil price does not exceed USD 100 per barrel over the year. The cost is estimated at between 0.2% of GDP in Malaysia and 0.6% of GDP in Indonesia, assuming that currencies stabilise at current levels, as any further depreciation against the dollar would automatically increase the cost incurred. In India, the resulting cost from increased fertiliser subsidies and the loss of fiscal revenue caused by the reduced excise duties on petroleum products is estimated at 0.5% of GDP. India, like Indonesia, Malaysia and Thailand, has the capacity to absorb this new shock to its public finances. Nevertheless, the increase in subsidies will delay their fiscal consolidation. Indonesia's fiscal deficit could exceed the 3% of GDP threshold set by parliament in 2026 (unless the government reduces significantly other kind of expenditures), which would cause significant concern among foreign investors.

Which countries would be most vulnerable to a rise in US long-term interest rates?

Rising bond yields are another source of risk for these countries. So far, central banks have kept their key policy rates unchanged and the rise in long-term rates has remained contained. However, a significant rise in US bond yields could change the situation. The most exposed country would be Indonesia, whose domestic market is too small to cover the government's financing needs and offset any tightening of financing conditions on international markets.

Since the start of the conflict in the Middle East, ten-year bond yields in emerging Asia have risen less than during the war in Ukraine. The increase ranged from 0 bps in Malaysia to 49 bps in Thailand (compared with an average of +65 bps in 2022). However, this trend could intensify should there be a rise in US long-term rates, which would weigh on these economies via three channels: i) capital outflows ii) downward pressure on currencies and iii) an increase in debt servicing costs. The most exposed countries would be those with the highest interest burdens (India), with short maturities, debt held more widely by foreign residents (Indonesia and Malaysia) and denominated more widely in foreign currencies (Indonesia).

The country whose government is least exposed to these risks is Thailand, as its debt (64.2% of GDP) is almost exclusively denominated in domestic currency and held by residents, whilst its interest burden is low (6% of revenue).

By contrast, although modest (40.5% of GDP), the structure of the Indonesian government's debt is viewed as the most fragile among the countries studied. Over 37% is held by foreign investors and more than 29% is denominated in foreign currency (see Chart 2). Furthermore, interest payments on its debt are already high (17.1% of its fiscal revenue in 2025), and higher than the level recorded in other countries, with the exception of India.

In Malaysia, although a significant proportion of government debt (65.3% of GDP) is also held by foreign investors (21.1% of the total), this debt has long maturities, which reduces its vulnerability to volatility in international financial markets. Furthermore, the domestic capital markets and the local investor base are sufficiently developed to finance the government's needs.

Finally, although the Indian government's debt is the highest (84.3% of GDP), its structure is risk-free, as it is almost exclusively denominated in local currency and held by residents. On the other hand, the interest burden on the debt is already very high (37.1% of its budget revenue), which severely constrains its investment spending. A significant rise in (domestic) interest rates represents the main risk.

Johanna Melka

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